

Annual report
2022



VTB: Reliability Strategy

VTB BANK (PJSC) ANNUAL REPORT FOR 2022 WAS APPROVED BY THE ANNUAL GENERAL MEETING OF SHAREHOLDERS OF VTB BANK (PJSC) (PROTOCOL NO. 61 AS OF 3 JULY 2023).

Part of the information in the annual report is not disclosed and is not provided in accordance with Decree of the Government of the Russian Federation No. 400 “On the specifics of disclosure and provision of information subject to disclosure and provision in accordance with the requirements of the Federal Law “On Joint Stock Companies” and the Federal Law “On the Securities Market” “(for insider information - Decree of the Government of the Russian Federation dated 04/09/2019 No. 416 “On the features of disclosure of insider information subject to disclosure in accordance with the requirements of the Federal Law “On Counteracting the Misuse of Insider Information and Market Manipulation and on Amendments to Certain Legislative Acts of the Russian Federation”) and by the decision of the Board of Directors of the Bank of Russia dated June 23, 2023 “On Determining the List of Information of Credit Institutions, Non-Bank Financial Institutions, services in the financial market, subject to disclosure in accordance with the legislation of the Russian Federation or Bank of Russia regulations, which credit institutions, non-bank financial institutions, as well as organizations providing professional services in the financial market, has the right not to disclose from July 1, 2023 until December 31, 2023 inclusive, and the list of information provided for by the legislation of the Russian Federation or the regulations of the Bank of Russia, which the Bank of Russia does not disclose on its official website in the information and telecommunications network “Internet” from July 1, 2023 to December 31, 2023 inclusive.

Contents

Statement by the President and Chairman of the Management Board	04
VTB Group today	
Mission and values	08
VTB in the financial services market 2022	10
Financial highlights	12
1. Management report	
1.1. Russian economy and banking sector	16
1.2. 2022 key events	20
1.3. Implementing VTB Strategy in 2022	28
1.4. Quality Management	38
1.5. Results overview	42
1.5.1. Financial review	42
1.5.2. Corporate-investment business	47
1.5.3. Medium and Small business	54
1.5.4. Retail business	61
1.6. Risk management	86
2. Corporate governance	
2.1. Overview of the corporate governance system	102
2.2. General meeting of shareholders	108
2.3. Supervisory Council	111
2.4. Control and audit	125
2.5. Investor relations	135
2.6. Disclosure policy	144
3. Sustainable development	
3.1. Strategy of sustainable development	150
3.2. Social projects	152
3.3. Personnel	159
3.4. Responsible resource management	166
4. Financial statements in accordance with IFRS	170
5. Annexes	
5.1. Share capital	176
5.2. Dividends	178
5.3. Long-term development programme	181
5.4. Key performance indicators system	182
5.5. Non-core asset management	183
5.6. Procurement	184
5.7. Report on compliance with the principles and recommendations of the corporate governance code	186
5.8. Information on VTB Bank's significant transactions	201
5.9. VTB Bank's details and contacts	202

Statement by the President and Chairman of the Management Board



Dear VTB Group customers, shareholders and partners!

The year of 2022 was a serious test for the entire Russian banking sector and, without exaggeration, probably the most difficult year in the history of VTB Group. Taking into account our traditional leadership in servicing foreign trade operations, in the investment banking business, as well as a broad international presence, the Bank became one of the most obvious targets for the sanctions strike and actually absorbed the largest part of the losses suffered by the Russian financial system as a result of illegal unilateral restrictive measures imposed on Russia.

In a situation of the most difficult and unprecedented challenges, the economic and financial authorities and the systemically important banks, including VTB, acted clearly, smoothly and

accurately. The banking sector provided high-quality banking services to citizens and businesses, continued lending and fulfilled all its obligations to customers and depositors. The key result of the last year for us is the preservation of customer base and all major product competencies; the Bank continued to develop – to increase its loan portfolio, as well as to refine its product line and services. In 2022, the Bank's customer base in Russia reached 18 million, an increase of 1 million, while the Group's total assets amounted to RUB 24.4 trillion, up 17% year-on-year.

One-time losses were significant. However, in autumn of 2022 we returned to profitability. We have actively started the current year of 2023, which is confirmed by the strong results of the 1st quarter.

As the year's major milestone, we decided to acquire Bank Otkritie Financial Corporation. In December 2022, VTB purchased 100% of shares in Otkritie Bank from the Bank of Russia for RUB 340 billion. Following its consolidation, the Group's assets grew by 20%. Going forward, we plan to fully merge Otkritie and transfer its business and customers to VTB Bank, so we expect great synergies in terms of cost savings on overlapping operations, network optimisation and sales growth across the combined customer base.

The Group's loan portfolio amounted to RUB 17.4 trillion, up 18.1% year-on-year, while the retail loan portfolio increased by 17.5% to RUB 5.6 trillion. The share of retail business in the Group's total loan portfolio remained at 32% as of the end of 2022, which corresponds to the level of the end of 2021.

The mortgage market, like other segments, faced serious challenges in 2022. Despite this, VTB Group's mortgage loan portfolio demonstrated an organic growth of 14.5%, and with the consolidation of Otkritie Bank the Group's mortgage loan portfolio increased by 27.9% to RUB 3.3 trillion in 2022. VTB Bank achieved close to record mortgage sales in its history, with borrowers taking out around 208 thousand housing loans worth more than RUB 964 billion (in 2021, sales exceeded RUB 1 trillion). As part of the preferential initiatives, the Bank issued more than half of its mortgage loans (54%), doubling their share from 2021.

In complicated operating conditions the Group's Medium and Small Business segment stood the test, while also meeting all the strategic targets set in 2019. We doubled the number of SME customers, with more than 130 thousand businesses opting for our services in 2022, which brought our active customer base

to a record high of more than one million entrepreneurs and businesses. I consider this segment particularly important today, when private initiative gains momentum and small and medium businesses are key to transforming the economy thanks to their flexibility and drive for innovations.

Our bank-wide digitalisation efforts proved specifically helpful as we were overcoming the challenges. In 2022, we took stock of the first stage of our four-year digital transformation initiative. Despite the challenges of the pandemic in 2020–2021 and unprecedented sanctions pressure in 2022, the Bank achieved all its digital transformation goals. In particular, VTB transitioned to electronic document flow, finally migrated to cutting-edge microservice IT infrastructure and was the first Russian bank to develop an omni-channel platform, which made it possible for its customers to fully switch to remote servicing. The Bank was also the first in Russia to test digital rouble transfers between customers.

As a Bank with extensive experience and expertise in servicing foreign trade, we are actively working on the development of settlements in national currencies. In a short time, VTB managed to establish cross-border settlements in most national currencies with 'friendly' countries.

The high pace and effectiveness of changes would have been impossible without strong corporate governance, which we nurture and cherish. In 2022, our focus was on adapting VTB's relevant framework to the negative impacts of sanctions. It was particularly important to strike a balance between the special disclosure procedure and the need to remain transparent and keep stakeholders fully informed about the Bank's operations. I am pleased to note that in 2022 the number of VTB shareholders has grown to a record 789 thousand, an increase of 37%.

Based on an annual independent review, the Russian Institute of Directors raised VTB Bank's national corporate governance rating to 8+, which corresponds to the Best Corporate Governance Practices indicator. According to experts, the Bank introduced a number of positive changes, including in sustainable development. As one example, the Bank's Supervisory Council approved the new version of the Corporate Governance Code in 2022, which provides for ESG standards. As part of the Sustainable Development Strategy for 2022–2025, we implemented 323 social projects worth RUB 15.2 billion in 2022.

Looking back at 2022, I think it is important to note that together with the Russian economy, we did not just survive in the most

complicated conditions, but continued to actively develop, increase our customer base, introduce new products and services, as well as remain a reliable and convenient partner for millions of customers who trust that every day VTB is solving their financial objectives. I am proud of the work that VTB team accomplished last year, and thank all employees of VTB Group for their dedication, daily care of our customers, the ability to think and act unconventionally and find ways out of the most difficult situations. The events of last year have once again shown the correctness of our strategic line – to develop as a modern socially responsible high-tech bank in partnership with the leaders of the Russian economy.

In 2023, we got off to a good start. A strong dynamic has been gained. We expect to maintain this pace until the end of the year, increase the volume of business and customer base and earn a record profit by the end of the year. We will do everything possible to justify the trust of shareholders, continuing to strengthen the leadership position of VTB Group in all segments of the Russian banking market.



Andrey Kostin
President and Chairman
of VTB Management Board

VTB Group today

Values

MISSION

We help people make their plans a reality, by creating the best financial solutions. We are a team of professionals working for our clients and for the entire country.

IDENTITY

VTB Group is the leading Russian financial institution with a strong presence in key international markets.

VISION

A universal financial group that is developing both dynamically and sustainably, one that is focused on being the first-choice financial partner for its customers and that provides the most convenient and cutting-edge solutions to meet their needs.



WE VALUE OUR CUSTOMERS

We put our customers' needs first. We trust our customers and strive to earn their trust. We listen to our customers and act upon their feedback.



WE ARE PROACTIVE

We are passionate about what we do. We are proactive in addressing common challenges. We go beyond formal duties.



WE WORK AS A TEAM

We respect and trust each other. We support each other and help our colleagues grow. We achieve common goals.



WE ARE CONSTANTLY IMPROVING OUR PERFORMANCE

We are open to changes. We start by changing ourselves. We are not afraid to experiment.



WE ARE RESPONSIBLE FOR OUR RESULTS

We are focused on the result, not the process. Each of us is responsible for our contribution to the achievement of common goals. We openly discuss our successes and failures.

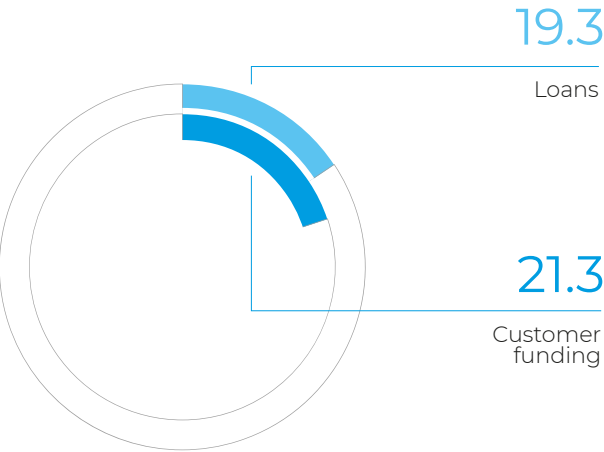


VTB in the Financial Services Market 2022

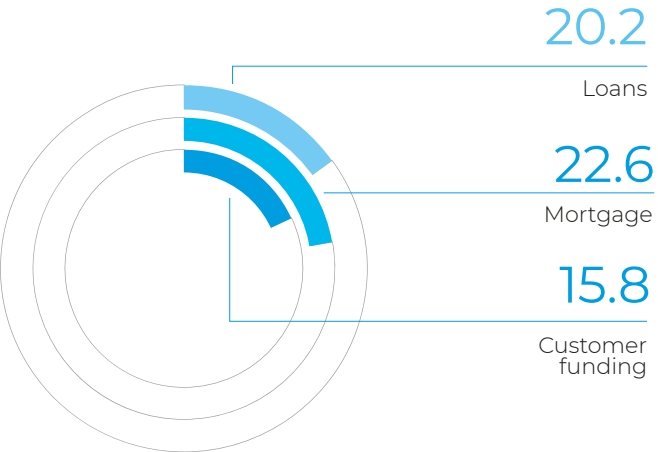
Market shares of VTB Group in Russia as of 31 December 2022, %



Corporate business



Retail business

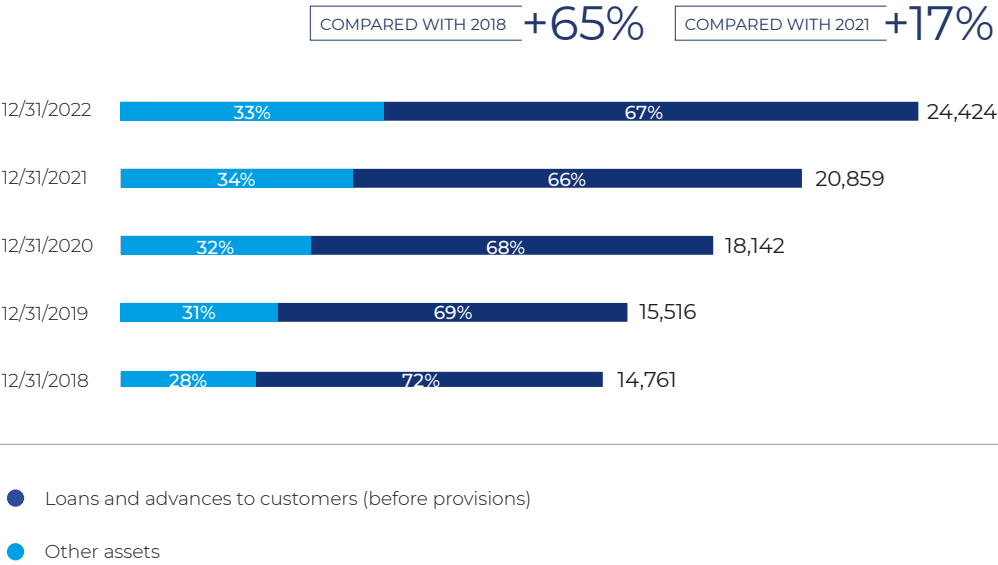


VTB Bank's credit ratings

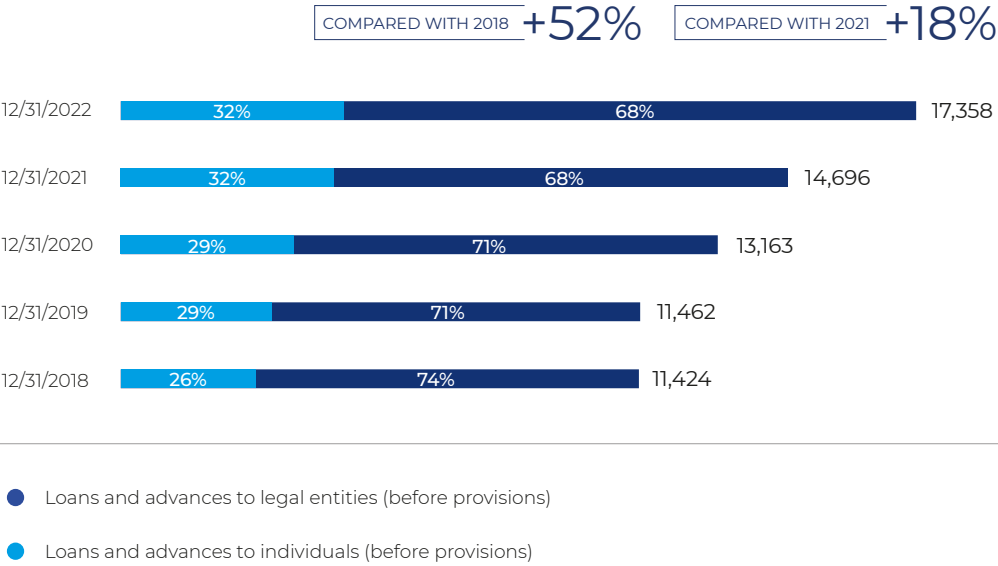


Key financial highlights

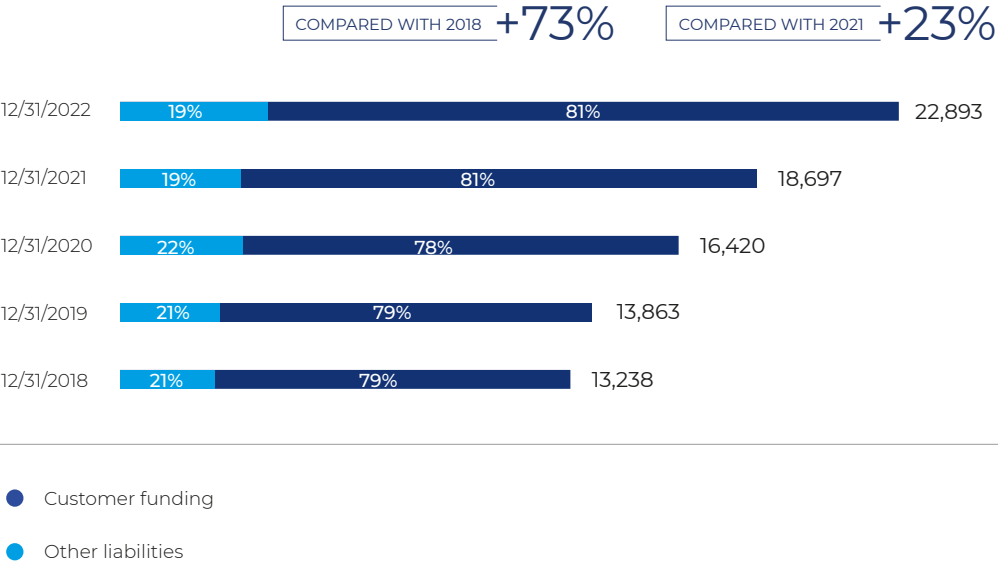
Total assets, RUB billion



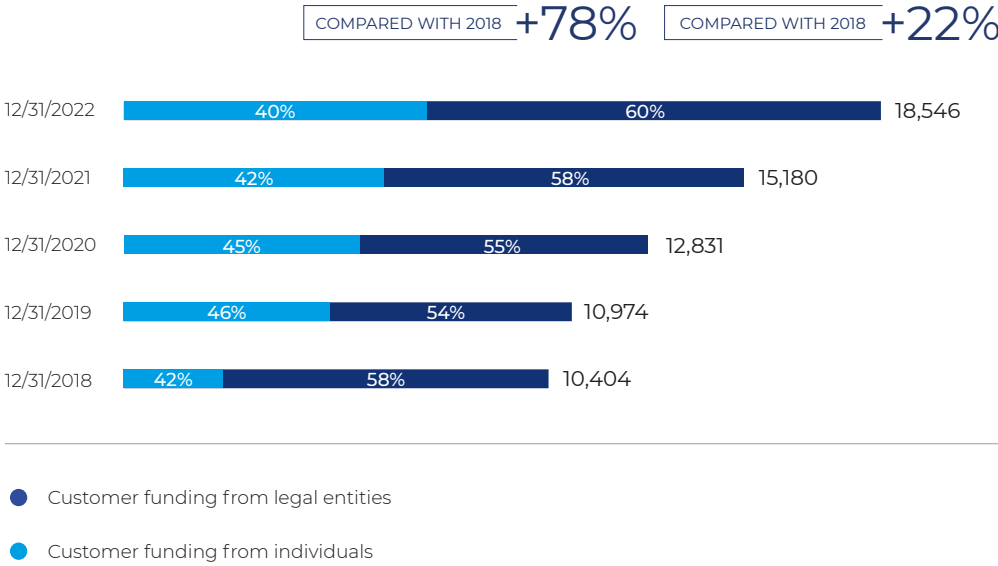
Customer loans, RUB billion



Total liabilities, RUB billion



Customer funding, RUB billion





In 2022, the Bank continued to develop – to increase its loan portfolio, as well as to refine its product line and services. The Bank’s customer base in Russia reached 18 million (+1 million in 2022).

Together
we create
the future

SECTION CONTENT

1.1.	Russian economy and banking sector	16
1.2.	2022 key events	20
1.3.	Implementing VTB Strategy in 2022	28
1.4.	Quality Management	38
1.5.	Results overview	42
1.5.1.	Financial review	42
1.5.2.	Corporate-investment business	47
1.5.3.	Medium and Small business	54
1.5.4.	Retail business	61
1.6.	Risk management	86



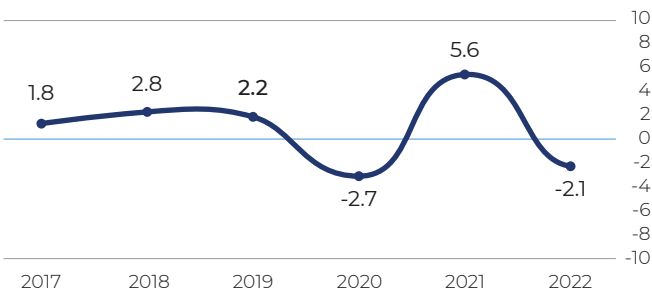
1.1. Russian economy and banking Sector

Economy

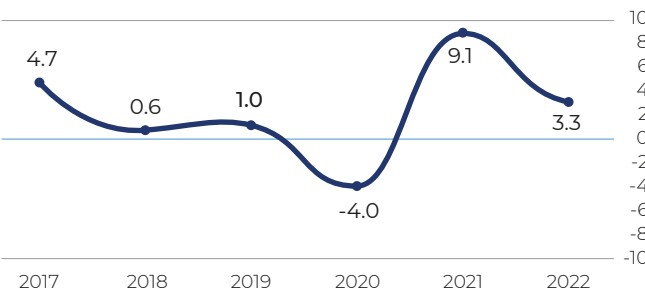
The reporting year was a turning point for the Russian economy and banking sector. Unprecedented sanctions imposed on Russia, and the severance of ties with global financial institutions – from international payment systems to financial data vendors – dramatically changed the external environment and hit hard the domestic financial sector.

MACROECONOMIC INDICATORS (% change year-on-year)

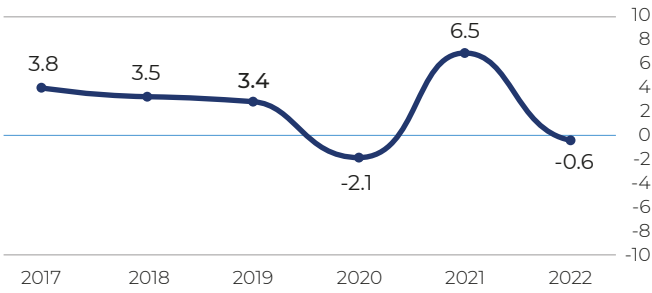
Gross domestic product, %



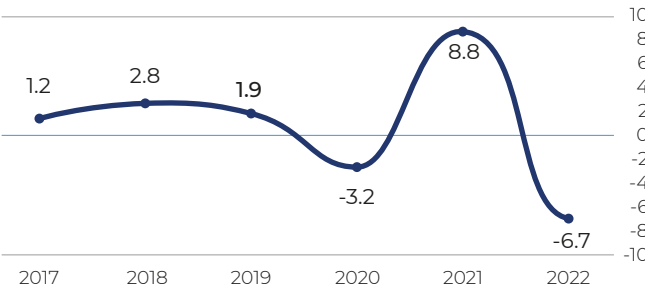
Gross savings of core capital, %



Industrial production, %



Retail turnover, %



The first six months of 2022 saw steps taken to overcome the effects of these sanctions, with regulatory relief granted to Russian financial institutions, measures enacted to protect the stock market, and restrictions introduced for cross-border capital flows. These steps helped to protect personal funds as well as the national financial system and economy from the damaging impact of sanctions, maintain financial stability amid partially frozen international reserves, ensure resilience of banks and other financial service companies, and enable them to carry on business and support the industries.

The second half of the year saw the country gradually loosen its anti-crisis policy, develop new systemic approaches for the near future and start putting them into action.

In 2022, the Russian GDP fell by 2.1% amid large-scale sanctions, according to Rosstat. That said, household consumption in money terms shrank by 1.4%, government consumption rose by 2.8%, and gross savings of core capital came in at 3.3%.

The Russian economy underwent structural transformation, with mixed trends seen across industries.

Throughout the reporting period, agriculture and construction remained strong growing by 6.7% and 5% year-on-year, respectively, on the back of all-time high grain yields and meat production along with a record 102.7 million m² of housing commissioned.

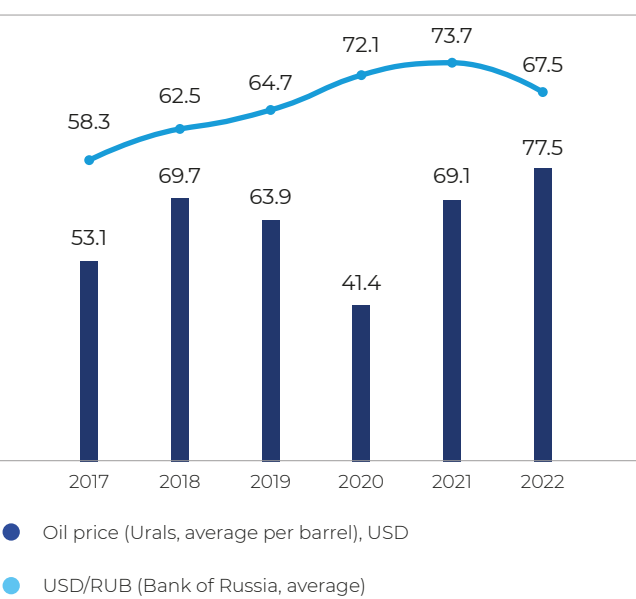
A mass exodus of foreign business from Russia brought about a 0.6% decrease in industrial production as at the year-end, with uneven breakdown by industry.

As a result of weak consumer demand and shrinking gas supplies, wholesale and retail trade for the full year declined by 6.7% and 14.5%, respectively.

Gas production decreased by 11.8% year-on-year driven by a plunge in European exports, while oil production rose by 2% on the back of oil and oil product exports redirected to friendly countries.

In 2022, budget deficit figures were among the highest in Russia's history, with federal expenditure hitting RUB 31.1 trillion and, up 31.4% from the level set by Federal Law No. 390-FZ On Federal Budget for 2022 and 2023 and 2024 Planned Periods dated as of 6 December 2021. Revenues came in at RUB 27.8 trillion, up 11% from the statutory level. As a result, budget deficit reached RUB 3.3 trillion, or 2.3% of GDP. The fiscal rule was suspended from February 2022 and resumed for foreign exchange transactions in early 2023. This means that for the most part of the year the government did not use surplus oil and gas income of RUB 5.1 trillion resulting from high energy prices to purchase foreign currency. The budget gap was bridged using a portion of funds accumulated by the National Wealth Fund for previous periods.

Oil price and exchange rates, %



Inflation and Bank of Russia key rate, %



Inflation was lower than officially forecast by the Ministry of Economic Development. In December 2022, it was 11.9% year-on-year, with the most aggressive increase in prices seen in spring on the back of external shocks (for example, in March only consumer prices went up 7.6%) followed by inflation slowdown. However, households' and firms' inflation expectations remained high over the year. In early and late 2022, the Bank of Russia key rate stood at 8.5% and 7.5%, respectively, but its path was volatile. In spring, the regulator raised its key rate to 20% to respond to external shocks and maintain stability, among other things, then brought it gradually down to 7.5% in September. Since then, it has remained flat. At the end of the year, the Bank of Russia became more concerned with rising pro-inflation risks, and in February 2023 it signalled its readiness to increase the key rate in case they materialise.

Banking Sector

A comprehensive government support for lending to corporates and individuals coupled with regulatory relief in the challenging macroeconomic environment led to growth of Russian banking assets in 2022. According to the Bank of Russia's statistics for the banking sector, assets went up 14.8% year-on-year in 2022 as compared to 15.9% in 2021, while the penetration of services as percentage of GDP decreased by 3 p.p. to 89%.

In March 2022, the Bank of Russia had to raise its key rate to 20% in response to the negative effects of sanctions, deteriorating geopolitical situation and high inflation. This translated into higher interest rates on loans, subsequent weakening of credit demand and a decrease in banks' risk appetite.

Nevertheless, banks were able to grow their loan portfolio thanks to government support for lending and the key rate falling to 7.5% over the year (the level of 2021 year-end) amid slowing inflation and lower risks for their financial stability.

In the reporting period, loans to legal entities, including financial organisations, increased by 13.0% year-on-year as compared to 16.1% in the previous year. Strengthening of rouble against the US dollar by 5.6% year-on-year slightly slowed down portfolio growth, even though the share of loans in foreign currencies shrank to 16% from 24% in the previous year.

Subsidised mortgage lending programmes were the main driver of expansion in mortgage loans, which grew 17.6% year-on-year as compared to 26.6% in 2021. Overall, retail loans grew by 9.5% year-on-year vs 23.2% in 2021, as high interest rates and lower risk appetite among banks dramatically slowed down the issuance of other loans.

Overdue loans went up 14% year-on-year in the retail business, while staying flat in the corporate business. Pre-IFRS 9 provisions for credit losses rose by 6%, with IFRS 9 adjustments and revaluations going up by RUB 328 billion to reach the level of 2020 year-end.

Lower interest rates on deposits seen in the second half of 2022 and the outflow of funds over the year did not affect the account balances of individuals (excluding escrow accounts), which grew by 5.5% year-on-year as compared to 5.7% in 2021. Funding from legal entities went up 19.6% year-on-year vs 21.3% in the previous year. The share of deposited currency slumped from 20% to 11% in the retail segment and from 27% to 18% in the corporate segment.

Deteriorating macroeconomics forced banks to build up provisioning, with net interest margin down by 30 b.p. year-on-year to 4.0% due to higher funding costs. This had a negative impact on the banking industry's financial performance, as profits were as low as RUB 203 billion compared to RUB 2.4 trillion in 2021 and return on equity slumped to 1.8% from 21.1%.

Summing up the results of the challenging 2022, we can say the Russian financial system managed not only to stay resilient, but also to quickly and effectively adapt to a new reality.

1.2. 2022 Key Events

Sanctions against VTB in 2022

In 2022, unfriendly countries imposed heavy sanctions on VTB.

On 24 February 2022, the US included VTB and other Russian banks in the Specially Designated Nationals and Blocked Persons List (SDN), and the UK froze VTB assets on the same day. Shortly after that, EU and some other countries introduced similar sanctions against VTB. As a result of these sanctions, VTB Group perimeter saw significant changes and its business came under pressure. Despite the restrictions, our infrastructure kept working normally, and the Bank continued to contribute a lot to government efforts to support the economy, among other things, by offering its own programmes to all groups of customers facing financial hardship.



January

VTB completes the integration of Zapsibkombank into the Group

VTB successfully completed legal formalities to integrate Zapsibkombank into the Group and merge it with BM-Bank. As part of Zapsibkombank integration launched in 2018, the banks united their office networks and product lines to offer customers cutting-edge and high-tech digital services.

New ESG version of VTB Bank's Corporate Governance Code approved

The Bank's Supervisory Council approved the new version of the Corporate Governance Code setting forth initiatives to embed ESG standards into VTB operations.

The Code introduces provisions on the Bank's commitment to ESG principles and inclusion of ESG factors in its integrated risk management system and evaluation of risk materiality. The new version secures the Supervisory Council's key role in defining priority areas of sustainable development and social and environmental responsibility along with an option of electing a supervisor from among its members in charge of ESG-related areas (initiatives).

Additionally, the Supervisory Council expanded the remit of the Council's Strategy and Corporate Governance Committee. From now on the committee's scope of authority includes strategic objectives and priorities in sustainable development and social and environmental responsibility, while the committee itself is now officially renamed as the Strategy and Sustainability Committee.

The respective decisions were made as part of the Sustainable Development Strategy for 2022–2025 approved in November 2021 (Minutes No. 17 dated 19 November 2021).



February

VTB launches a car super service

VTB was the first bank to launch an online platform for a full range of car acquisition and operation services, including purchase using own funds or on credit, tax, fine and parking payments, topping up transponder balances, and subscriptions. After adding the vehicle from the road police database in just a click, owners can access all car

services such as fee-free payments of fines and parking, use of toll roads and CMTPL (compulsory motor third-party liability insurance) policies. They can also sell their vehicles through the Bank's partners.

VTB Bank's corporate governance rating upgraded

Based on an annual independent review, the Russian Institute of Directors (RID) raised VTB Bank's national corporate governance rating to 8+, which corresponds to the Best Corporate Governance Practices indicator.

As part of the review, the RID analyses such components of corporate governance as shareholder rights, activities of governing and oversight bodies, and disclosure scope. According to experts, VTB introduced a number of positive corporate changes, including sustainable development, which served to upgrade the rating.

VTB completes a large-scale upgrade of data warehouse

VTB completed a large-scale upgrade of its corporate data warehouse accommodating databases for reporting, business analysis and advanced analytics. The upgrade helped cut time to prepare financial reports by 30% and reduce the Bank's expenditures, while also improving the quality of analytical data and making the process of developing mandatory and tax reporting systems less labour intensive. The project will deliver RUB 1.2 billion in savings over a period of five years.

VTB is the first in Russia to test digital rouble transfers between customers

VTB was the first to successfully test digital roubles issued by the Bank of Russia based on its trial platform.

To enable customer transactions with the digital rouble, the Bank developed a prototype of a special mobile app. Customers can register as platform users, create a digital wallet, exchange cashless roubles on their account to digital ones and send them to another user. The testing saw successful transfers of digital roubles between Promsvyazbank and VTB customers.



March

VTB cards have no expiration date

From now on, VTB cards have no expiration date. The Bank keeps processing cards issued by foreign payment systems, which remain valid in Russia. The decision of international payment systems to discontinue operation in Russia did not affect the service provided to VTB customers domestically.

VTB launches yuan deposits

VTB customers can now make deposits in yuans. The most attractive alternative to deposits in other currencies, such deposits also allow for portfolio diversification.

VTB starts selling gold bars

VTB was one of the first market players to start selling investment-grade gold bars. Individual orders are available for bars of 999 pure gold. Payment options include roubles and foreign currencies as part of the new Federal Law On Amending Articles 6 and 7 of Federal Law of Russian Federation No. 55-FZ Dated 14 March 2022 On Amending the Federal Law on the Central Bank of the Russian Federation (Bank of Russia) and Certain Laws of the Russia Federation as Regards Changing the Terms of Loan Agreements, and Article 21 of the Federal Law On Amending Certain Laws of the Russian Federation.

The minimum and maximum orders are 1 kg and 100 kg. Customers can take away physical gold or leave the bars in custody of the Bank free of charge for three months.



April

The Retail Business develops a one of a kind service for lawful heirs

In early April, our Retail Business launched a one-stop-shop competence center unique in Russia. Heirs, including potential ones, can now get fast answers to questions concerning payment of inheritance or insurance indemnities or fulfilling loan obligations, inter alia. The service is remote. All they need to do is to call a toll-free bank number.

VTB customers can now accept payments using a QR code in the mobile bank for business

SMEs can now use VTB Business Lite app to receive QR code payments using the Faster Payments System. The new feature of the mobile bank enables stores, cafés, restaurants, beauty parlours and other trade and service businesses to accept payments without cards, terminals or additional equipment.

VTB security solutions win eight Cybersecurity Excellence Awards 2022

Our team won eight international 2022 Cybersecurity Excellence Awards, including the main prize – Grand Trophy. The annual event recognises companies from all over the world for outstanding achievements in information security.

A solution to detect fraudulent calls for VTB Online app received a golden medal for the hottest security technology of the year.



May

VTB launches a service for settlements between businesses and the self-employed using the Faster Payments System

VTB launched Settlements with the Self-Employed service in its VTB Business Lite mobile app. The new solution will help customers fast track their payments to self-employed contractors serviced by any bank and save money thanks to a fixed transfer fee. It performs an automatic check of the self-employed status before transferring funds, which eliminates the risks of settlements with deregistered contractors.

VTB migrates IT virtualisation to a Russian platform

In line with its import substitution strategy, VTB migrated IT virtualisation services required for the operation of its banking apps to an OpenStack platform not reliant on imports. Powered by open source software, the platform is a component of the VTB.Cloud platform.

OpenStack makes the Bank independent of foreign vendors and imported software, which delivers a positive economic effect. It also supports security and fault tolerance levels in compliance with applicable requirements.

VTB tops the rating of innovative Russian banks

In 2021, VTB topped the list of the most innovative banks compiled by the Skolkovo Foundation and its resident DSight. The rating experts highlighted the Bank’s breakthrough in implementing digital services.

VTB became the leader thanks to its vigorous deployment of innovations and digital services, cooperation with startups, and a proactive role in piloting digital rouble as noted by researchers.

VTB payroll service wins a Frank Payroll Award 2022

Following a 2022 survey of Russia’s major banks, VTB received a Frank Payroll Award as the best bank for lending to payroll customers. The experts highlighted a high share of loans issued to employees from companies that are the Bank’s payroll customers. According to the analysts, the Bank’s customers noted attractive rates and preferential terms of service.

VTB connects to SBPay

VTB was one of the first leading banks to enable payments of purchases in retail outlets and online via the Faster Payments System using the SBPay app. What distinguishes the Faster Payments System from standard ones is that it does not need bank card details. The payment is made directly from a customer’s account. Today, purchases via the Faster Payments System are available in more than 243 thousand retail outlets and online stores supporting faster C2B payments.



June

VTB announces the termination of its Depository Receipts Programme

Given the sanctions imposed on VTB Bank by the USA and other countries and based on Russian Federal Law No. 114-FZ On Amending the Federal Law On Joint-Stock Companies and Certain Laws of the Russian Federation dated 16 April 2022, the Bank does not think it possible to further run the Depository Receipts Programme.

In accordance with the Deposit Agreement between VTB and The Bank of New York Mellon, the programme was to be closed within 90 days from the date of the depository bank’s termination letter, which was submitted on 2 June 2022. Hence, VTB Depository Receipts Programme was terminated on 1 September 2022.

Following the termination of the programme, depository receipts were also delisted from the London Stock Exchange (LSE).

VTB launches cross-border money transfers in national currencies

VTB launched money transfers to Belarus, Kazakhstan, Armenia and Azerbaijan. To use bank details for the transfer in VTB Online, customers need to go to Payments, choose In Foreign Currency through Bank Details and an account, and enter the amount, purpose, bank code, full name, address and transferee account. For a transfer in Belarusian rouble, tenge, dram or manat, they need to open a current account in the selected currency, buy this currency and perform a transaction.



July

VTB starts issuing preferential car loans

VTB started to accept applications as part of a state-run car lending programme. The programme makes it possible to purchase a car worth up to RUB 2 million manufactured in 2022. The discount for the Far Eastern Federal District is 25%, and for other regions – 20%.

Eligible for the programme are families with one or more underage children, customers who purchase the first car, and employees of healthcare and educational institutions. Preferential terms are also available to car owners who wish to use a trade-in arrangement for a car older than six years provided they owned it for no less than one year.

VTB launches an IT procurement service for businesses

VTB kicked off an IT procurement service for small and medium enterprises to select and order solutions from the leading manufacturers and distributors of equipment and software.

VTB introduces a payroll service for businesses

VTB kicked off payroll services for SMEs in its VTB Business Lite app. The service will help accountants of such payroll customers make all the necessary transactions to pay salaries.



August

VTB offers a new lending programme to SMEs

VTB began issuing preferential loans to small and medium businesses at 3–4.5% per annum. Businesses from priority industries can get investment loans for up to 10 years to modernise production or upgrade fixed assets. A reduced rate will be effective for five years.

VTB’s foreign trade digital ecosystem wins Finaward’2022

VTB’s foreign trade ecosystem became a winner of Finaward’2022, an annual competition for innovations and achievements in the financial industry, as a solution for a B2B ecosystem or marketplace.

Launched in October 2021, the ecosystem offers digital products and online services for importers and exporters, including user-friendly functionality for foreign exchange control, one-click payments, live currency exchange rates and transactions at a desired rate, convenient international transfers (including in national currencies), screening of foreign contractors, contract revision, customs solutions and much more.



September

VTB launches cross-border money transfers to China

VTB was the first Russian bank to offer money transfers to China in yuans. The service is available through remote channels or in the Bank’s offices.

Individuals can make cross-border transfers to legal entities in compliance with FX laws.

VTB offers yuan deposits for businesses

Our corporate customers can make deposits and hold their minimum account balances in Chinese yuans. An attractive alternative to deposits in other currencies, yuan deposits also allow for portfolio diversification.

As part of the new service, the Bank offers the most favourable customised terms based on market rates. Customers can select various amounts and deposit periods. Interest is paid to a deposit account in the corresponding currency.



October

VTB chatbot is a Top 3 solution according to Chatbot Rank 2022 from Markswebb

VTB chatbot made it to the Top 3 best chatbots in mobile banks for individuals according to Chatbot Rank 2022. The Russian consulting agency Markswebb made a survey to determine which banking chatbots are the best in responding to customer queries and simulating human interaction.

As part of the survey, VTB chatbot efficiently processed 86% queries and was the most successful in answering questions from the first attempt without asking the customer to reword the query. Markswebb also noted the virtual assistant’s ability to take both simple and complicated questions according to users.

VTB recognised as the most innovative Russian bank in the first half of 2022

In 1H 2022, VTB topped the list of the most innovative banks compiled by the Skolkovo Foundation and its resident DSight. The recognition came as a result of our proactive use of innovation management tools, cooperation with startups, efforts to create an innovative organisational structure, and participation in testing digital rouble.

VTB kicks off a new service to issue mortgage loans for the newly constructed housing remotely

VTB offered a new solution for issuing mortgage loans to new customers. They can now request an on-site service when purchasing new-build housing from a developer. The Bank’s manager will visit a borrower to open an account, then the borrower can execute a mortgage transaction without the need to go to the office.



November

CNews Awards names VTB Business Internet bank the project of the year

VTB Business for SMEs won CNews Awards as the project of the year. In the reporting year, the Internet bank became fully independent from imports after it migrated to domestic IT components. While maintaining its functionality and quality of service, we transferred VTB Business from foreign to Russian open-source software which ensured the stability of operation and customer data security.

VTB receives Russia’s Financial Elite Award

VTB won Russia’s Financial Elite Award, an annual prize in the financial industry, in two categories – Internet Bank of the Year for Entrepreneurs and The Mobile Bank of the Year for Business.

The expert council recognised the Bank’s efforts to develop its VTB Business Internet bank and VTB Business Lite mobile app. Servicing over one million users, these remote channels enable SMEs to make virtually all financial transactions without visiting the Bank’s office.

VTB tops the NCR rating

VTB Bank received a top rating of AAA.ru, outlook stable, from the National Credit Ratings (NCR) agency, which proves its leading positions in the key segment of the Russian banking market, strong diversification of business and a very high probability of extraordinary support from the government. NCR ratings are widely used in the regulatory framework by the Bank of Russia, the Russian Government and other companies and organisations.



December

Frank RG and Globus Consulting rank VTB Business as a Top 3 Internet bank

VTB Business was named a Top 3 Internet bank for micro- and small enterprises and a Top 3 Internet bank for small and medium businesses according to Frank RG and Globus Consulting. Frank RG also recognised VTB as the best bank for CEOs.

VTB wins Time for Innovation and Digital Leaders awards

Our SME solution won in five categories of the Time for Innovation contest and in ten categories of the Digital Leaders Award. The awards are granted annually to the best digitalisation projects and online services.

VTB Business Lite won as the technological innovation of the year in the Finance and Consulting category of the Time for Innovation award, while VTB Business was named the organisational and management innovation of the year. These channels were instrumental in moving SME services online. The service to issue a qualified electronic signature to entrepreneurs available in more than 300 VTB offices across Russia topped as the innovation of the year. VTB Cifra, our online mobile app to outsource accounting services, became the best servicing solution.

VTB wins The Best in Russia award

VTB Business won the Best in Russia award as the best Internet bank for SMEs. Supported by the Chamber of Commerce and Industry of the Russian Federation, the award ceremony was held in Moscow.

VTB Business is powered by a unique omnichannel platform, which makes it possible for SMEs to fully switch to remote servicing and cut transaction time. Additionally, the Internet bank reduced the workload of the Bank’s Contact Centre.

For the second year running, we made it to the platinum list of Russia’s Best Employers rating from Forbes.

The Bank received a platinum ranking in two categories – Employees and the Society and Corporate Governance, and a golden prize in the Environment category.

The organiser recognised VTB’s leadership among Russia’s major employers. In 2022, Forbes’ rating focused on social aspects, such as the quality of HR practices and social responsibility in crisis situations.

VTB Private Banking wins Wealth Navigator Awards 2022

VTB Private Banking team reaped prizes in four categories of the annual national Wealth Navigator Awards, which focuses on private banking and wealth management.

The Bank of Russia and VTB Bank sign an agreement to sell Bank Otkritie Financial Corporation

On 22 December 2022, VTB Bank signed an agreement with the Bank of Russia to acquire 100% of shares in Bank Otkritie Financial Corporation. On 23 December 2022, VTB Group obtained control over Otkritie and its subsidiaries.

VTB launches direct payments in Indian rupees

VTB enabled its SME customers to make direct payments in Indian rupees. Entrepreneurs can now make settlements without double conversion and streamline their work related to foreign trade contracts with India.

Direct settlements make it possible to fix the price and payment amount in the national currency, obtain customised quotations on market terms and reduce costs by avoiding additional conversion. There is also no need for pre-approval of transactions, which facilitates cooperation of Russian and Indian companies.

Prior to that, VTB had obtained the permission from the Reserve Bank of India to perform settlements in the national currency and open vostro accounts in Indian rupees. VTB has an active branch in India, which makes such settlements independent and safe as we use our own channels to exchange financial information.

VTB registers a record increase in the number of retail shareholders

As at 1 December 2022, the number of VTB shareholders increased by 37% year-on-year to a record high of 789 thousand, with individuals making up a substantial 787 thousand.

1.3. Implementing VTB Strategy in 2022



VTB'S STRATEGIC VISION

We are a universal financial group that is developing both dynamically and sustainably, one that is focused on being the first-choice financial partner for its customers and that provides the most convenient and cutting-edge solutions to meet customer needs.

17

MILLION

ACTIVE RETAIL CLIENTS

+1 MILLION RETAIL CLIENTS IN 2022

Main Development Trends in the Retail Business

Despite the heavy sanctions pressure on its retail business, VTB successfully adapted to the new economic reality. In 2022, along with implementing a set of measures to minimise the impact of sanctions, we also focused on improving the accessibility of our financial services, digitalising them, and creating and developing socially significant products and services. The number of our active customers reached 17 million (up 1 million year-on-year).

In the reporting year, VTB Bank carried out continuous work to improve the convenience, quality and functionality of VTB Online: more than 650 new deliveries improved the functionality. Users have logged into VTB Online for more than 200 million times a month and issued through it every 2nd most popular retail product of the Bank. For the whole year 2022 issued 7.5 million products – twice as many as in 2021 (3.7 million). Internet Banking was as close as possible to the mobile application in terms of user experience on mobile devices.

Building socially responsible business credentials is among the key strategic priorities of VTB Group. In June 2022, VTB launched its Family Capital strategic initiative. It seeks to provide targeted support to the population by offering comprehensive services to Russian families, including all the financial and public services they may need, as well as benefits from the Bank at every stage of their family's development.

As part of VTB's service development initiatives seeking to streamline and digitalise real estate transactions, the Bank offers customers a full range of services throughout the real estate acquisition process, from search to occupancy. In 2022, a total of 285 thousand transactions were made using one or more services in the Bank's housing ecosystem.

As part of programmes aimed at achieving the “Best Branches and Consultants” goal, VTB continued to build its core network by introducing a new concept at its best-performing and most popular branches. In late October 2022, the Bank launched a multi-format branch in the Moscow International Business Centre. The largest of its kind in Moscow, it boasts an area of over 2,000 m² and a team of some 100 employees across all business lines serving 20% more clients than the network average. The new flagship office consolidated the operations of five sales points at once, surpassing them in infrastructure efficiency by 1.5 times.

>76%

BANKING PRODUCTS

ARE AVAILABLE ONLINE

Main Development Trends in the Medium and Small Business

Despite of significant changes in the external environment, VTB continued to expand its active SME customer base and multiplying its market coverage. In 2022, the number of VTB's active SME customers increased by 15% year-on-year. The Bank now serves over 1 million entrepreneurs. Equally important for the Bank in 2022 was to maintain and increase transactional activity, making rouble payment services as convenient and fast as possible.

As a part of initiatives targeted at becoming a leading digital bank in the SME segment, VTB made more than 76% of its SME product offering available online. As of the end of 2022, over 1 million customers were signed up to the VTB Business Internet bank.

In 2022, the Bank actively supported state subsidised and preferential lending programmes for SMEs. VTB continued to simplify SME access to preferential lending by liberalising a number of requirements for borrowers and expanding the possibility of restructuring existing loans. The largest portion of the loan portfolio consists of subsidised loans under the programmes launched by Russia's Ministry of Agriculture (Programme 1528, Programme 512, and Programme 375). As of 1 January 2023, VTB signed 2,743 loan agreements under these programmes, with the Bank's relevant loan portfolio amounting to RUB 255 billion (a 34% increase over the year). A considerable portion of loan agreements signed in 2022 was also made under the preferential financing programmes for SMEs run by Russia's Ministry of Economic Development. As of 1 January 2023, more than 4.2 thousand loan agreements were in effect under Programme 1764 of the Ministry of Economic Development, with the relevant loan portfolio standing at RUB 139 billion. We continued cooperating with SME Corporation, including as part of its SME Lending Programme. As of 1 January 2023, the Bank had 1,432 loan agreements in effect under this programme, with the relevant loan portfolio of approximately RUB 39 billion.

Among the Bank's strategic targets for Small and Medium Business in 2022 was the development of the self-employed customer segment. In 2022, the Settlements with the Self-Employed service was added to the VTB Business Lite mobile app and VTB Business Internet bank, featuring the following key capabilities: payment transfers to self-employed contractors via the Faster Payments System by phone number, automatic checks of the contractor status before the transfer, fixed transfer fees (2.5%), cash receipts available for all payments, payment templates and registration of the self-employed person's income with the Federal Tax Service. The self-employed customers were also given access to collateralised car loans through the Bank's online banking system.

Capabilities of the VTB Online personal accounts for the self-employed were expanded, now featuring income registration, tax calculation and payment, cash receipt cancellation, modification of the activity type and region, deactivation of the self-employed status, and online access to non-banking services and products. The latter include home insurance, Health Companion and Protect Children insurance products from SOGAZ, services of the VTB Pension Fund, Lawyer 24 legal support service, and Internet service for trade management.

In 2022, one of VTB's priorities was to actively develop its foreign trade digital ecosystem and launch new products for customers, engaged in foreign trade with friendly countries such as convenient foreign exchange control, purchase and sale of foreign currency, cross-border payments, customs services and a range of new advisory services.

In 1H 2022, we developed and launched a general taxation service for limited liability companies and individual entrepreneurs, which can be easily activated by customers in the mobile app. Also in 2022, we released the Cifra mobile app demo to help users learn about its features, and a smart chatbot, which reduced the time of customer request processing fivefold, boosting the CSI (Customer Satisfaction Index) measuring customer perceptions of operators' performance by 25%.

As part of the import substitution programme, an IT procurement service was launched on the Business Connect platform to serve as one-stop shop for promptly selecting and ordering any software and equipment from 12 leading manufacturers and major distributors.

Main Development Trends in the Corporate Investment Business

The key focus of the Corporate Investment Business in 2022 was to minimise the impact of sanctions imposed on the Bank, while also supporting customers amid the changing market environment.

At the end of the year, the Bank managed to maintain its corporate client coverage at 85%, which is in line with the target.

In 2022, we actively participated in government business support programmes. In particular, the Bank took part in more than 15 preferential lending programmes for the Corporate Investment Business clients. The end borrowers were companies operating both in the domestic and foreign markets. In the face of a high key interest rate set by the Bank of Russia, VTB joined preferential lending programmes to finance working capital for critically important industrial, agricultural and transport companies.

The share of electronic document flow with customers exceeded 90%. As part of measures to drive the lending process efficiency and boost digitalisation of lending products, we continued to develop our Digital Credit platform. In 2022, the time to approve a loan was reduced by 37%.

In 2022, we ensured uninterrupted performance of the Bank's services involving foreign exchange transactions and diversified our product offering. We also significantly expanded the range of foreign exchange transactions and settlements in currencies of 'friendly' countries: the Chinese yuan, Vietnamese dong, Armenian dram, Azerbaijani manat, Kazakhstani tenge and Belarusian rouble, etc. For corporate customers, we also introduced foreign exchange transactions and settlements in Indian rupees. The Bank launched a new product, Financial Messaging System Service Bureau, enabling the financial document exchange among the users of the Financial Messaging System without the need for a direct connection to the system. The use of the FMS as an alternative to SWIFT helps companies gain access to the secure exchange of financial information amid the sanctions.

As part of initiatives aimed at strengthening our position in the investment banking business, in 2022 we achieved significant growth in retail customer transactions with physical gold and impersonal metal accounts.

The structured bond business also grew significantly in 2022 following the departure of foreign players from the Russian market, with VTB becoming the No. 1 market player by the number of transactions in 2022.

Digital Transformation



In 2022, VTB Bank completed the implementation of its Development Strategy for 2019–2022 and successfully finalised the first stage of its digital transformation.

Despite the challenges of the COVID-19 pandemic and unprecedented sanctions pressure, VTB achieved all its the digital transformation goals.



KEY TECHNOLOGICAL DEVELOPMENT PRIORITIES OUTLINED IN THE BANK'S DEVELOPMENT STRATEGY FOR 2019–2022:

- a reliable and flexible platform;
- a new production model coupled with new expertise;
- internal efficiency.

19

DIGITAL TRANSFORMATION PROGRAMMES

304

DIGITAL TRANSFORMATION PROJECTS

In order to achieve these goals, in late 2019 the Bank launched seven digital transformation programmes. The number of programmes increased to 12 in 2020, 16 in 2021, and 19 in 2022. As a result, a total of 304 projects were launched as part of the digital transformation programmes by the end of 2022. The first stage of technological transformation enabled VTB to upgrade its IT infrastructure, while also improving its reliability and functionality.

The Bank's technological development efforts in 2022 were focused on securing its technological sovereignty and completing large-scale programmes to transform the IT infrastructure and migrate to targeted IT solutions.

85 %

CORPORATE CLIENT COVERAGE

The main negative impact of Western sanctions on the Bank was the discontinuation of support by software providers from unfriendly countries, which entailed a number of risks. These risks can only be eliminated through a complete transition to Russian software alternatives and engaging domestic software developers, especially with regard to the Bank's critical infrastructure. The Bank intends to achieve technological sovereignty by ending dependence on Western solutions and opting exclusively for domestic software that meets import substitution requirements. VTB plans to fully complete this transition in the near future.

VTB began implementing its proprietary developments and relevant Russian technology several years ago. Import substitution has already affected all IT solutions and tools used by any Bank employee.



Key achievements of VTB's import substitution programme:

- VTB service platform (development and expansion);
- VTB.Cloud platform;
- user experience monitoring solutions;
- CRM automation solutions;
- complex software products (production and operation).

The Bank also completed the first stage of its transition to Russian office software. Domestic digital products have already been installed on all VTB workstations. The Bank discarded foreign video conferencing systems for external meetings and consultations. In less than six months, it developed and rolled out proprietary video conferencing software. The platform was integrated with the information system to support the meetings of the Bank's collective bodies. More than 100 collective body meetings have already been conducted using the system. The Bank is ahead of schedule in meeting its import substitution targets.

RESULTS ACHIEVED ACROSS KEY STRATEGIC AREAS OF IT DEVELOPMENT IN 2022

Next-generation IT architecture:

- In 2022, VTB was the first Russian bank to develop a fully omni-channel platform based on a microservice architecture. The platform features horizontal scalability, high reliability and impressive performance. It was built as part of VTB's large-scale technological transformation, which addresses several strategic objectives, including the transition of the Bank's IT infrastructure to a microservice architecture and import substitution. The effect of implementing the omni-channel platform was RUB 29.1 billion.
- 11.5 million retail customers make over 50 million payments and transfers through VTB Online each month.
- 1 million of Small and Medium Business customers use the Internet bank.

8x

SHORTENING THE TERM OF INTRODUCTION THE PRODUCTS TO THE MARKET

New approach to development process management and tools

- As part of this strategic area, the time to market for IT products was reduced eightfold.
- 91% was the share of solutions implemented into commercial operation with a complete set of documents.
- 95% was the share of delivery of new capabilities in the target IT architecture.

35

THOUSAND

EMPLOYEES EQUIPPED WITH REMOTE WORKPLACES

Next-generation infrastructure

- 100% of users and systems were transferred to the targeted user data directory (Active Directory) as part of the next-generation infrastructure development.
- All users now have access to the Bank's infrastructure and cloud technologies for the digital business development (VTB.Cloud portal).
- A product builder was developed.
- Remote workstations were set up for 35 thousand Bank employees.

Reliability, availability, and security

- The critical information systems had a 99.99% availability.
- As part of the transition to the new IT architecture, 100% of the products for legal entities were moved to a single targeted automated banking system.
- The Bank is developing internal mechanisms to monitor system failures and receive information about malfunctions before they affect customers. In 2022, the percentage of system malfunctions detected as part of internal monitoring was 84%.

New operating model

- To reduce operational costs, the Bank increased the share of automatic processing of operations to 99.1%.
- As a result, operational staff was reduced by 30.7%.
- Opex savings achieved in 2020–2022 totalled RUB 1.9 billion.

In 2022, VTB was the first Russian bank to develop a fully omni-channel platform.

RUB 29.1 billion

EFFECT OF IMPLEMENTING THE OMNI-CHANNEL PLATFORM

99.99%

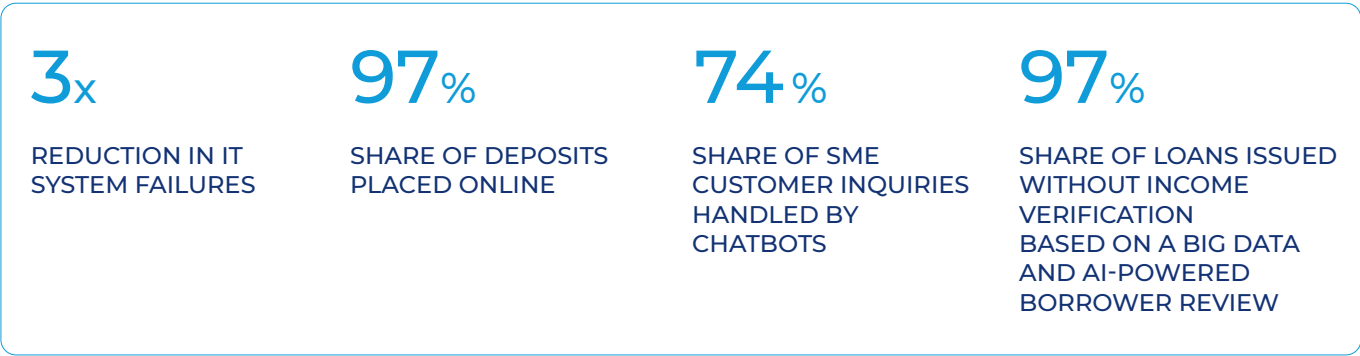
CRITICAL SYSTEMS AVAILABILITY

100%

SHARE OF PRODUCTS MOVED TO THE TARGETED AUTOMATED BANKING SYSTEM

TECHNOLOGICAL ACHIEVEMENTS IN 2022

- The Retail Business mobile app ranked among the Top 2 mobile banking apps in Russia in the Best Preparedness for Change category as part of the Go Banking Awards 2022.
- The Medium and Small Business mobile app ranked among the Top 3 mobile banking apps in Russia in Marksw Webb Digital Corporate Banking Rank 2022.
- The number of IT system failures reduced by three times.
- The quality of implementing new IT functions required by core business lines increased threefold.
- 97% of new customer deposits were placed online.
- 74% of SME customer inquiries were handled by chatbots.
- 97% was the share of credit cards issued without income verification, with borrower review relying on big data and AI-powered technology.



BUILDING TECHNOLOGICAL PLATFORMS

The Bank’s technological achievements were made possible thanks to its strong focus on building technological platforms. As part of its platform building efforts in 2022, the Bank implemented projects for customers across the Retail Business, Medium and Small Business, and Corporate Investment Business.

Retail Business:

- **VTB Online.** The Bank maintained the availability and uninterrupted operation of its digital channels, and made significant progress in transforming its Internet bank into a full-fledged VTB Online mobile app, having it added to a number of app stores (RuStore, AppGallery, Mi Store and more).
- **Daily Banking.** The Bank relaunched and continued to develop the service of cross-border transfers in soft currencies to China, Kazakhstan, Belarus, Armenia, Azerbaijan, Vietnam and Iran, while also significantly improving the customer journey for transfers via the Faster Payments System (SBPay). We also updated and relaunched the loyalty programme for our customers with a focus on developing the Bank’s payment services (integration with SBPay, QR-code payments in VTB Online).

- **Lending products.** The Bank launched a fully digital mortgage process, auto loans with deferred collateral, and Mir credit cards, while also making credit cards available to new payroll customers.
- **Targeted platforms.** VTB developed and implemented a new front-end system for servicing retail customers across its network, called VTB Pro. It features key financial services and enables the Bank to quickly introduce new ones, significantly accelerating their implementation for customers. This is a proprietary product of the Bank that will help it maintain full technological sovereignty. As a microservice platform, VTB Pro replaced a foreign monolithic solution no longer fit for building advanced front-end systems. The platform was developed fully in-house using VTB’s cutting-edge technology stack, with no off-the-shelf solutions involved.

In addition, in 2022 VTB enabled the modification of isolated products without halting entire systems, and secured a substantial decrease in the time to market its products. Furthermore, VTB Online was also migrated to targeted platforms.

Medium and Small Business:

- We transferred lead generation and targeted marketing processes, as well as the functionality for account opening and information updating, to the omni-channel platform.
- A total of 8.9 thousand agents and partners of medium and small businesses migrated to the new Agent Account and Partner Account online banking services.
- More than 800 thousand customers migrated from the previous online banking system to the new omni-channel platform.
- A process for approving individual deposit terms and non-reducible account balances was developed.
- **Development of business environment:** in 2022, the Bank’s Closer to Business portal for entrepreneurs was visited by 400 thousand people, with 780 thousand entrepreneurs accessing its educational resources to improve their business management skills.
- **Marketplace development:** VTB introduced 21 non-banking services for its small and medium-sized business customers. The services, which cover legal support, accounting and tax management, trademark registration, and accounting systems, are now available through a single interface, alongside with conventional banking services.
- **We launched new consulting services for businesses engaged in foreign trade,** including the expert review of contracts, updates on important developments in foreign trade, training on foreign currency laws, foreign partner verification, customs and logistics services, as well as a virtual customs card. VTB is focused on developing an ecosystem of services for companies engaged in foreign trade to help them streamline their foreign trade operations and make their interactions with foreign partners more efficient, convenient, and secure.

Corporate Investment Business

- 86% of VTB's customers successfully migrated to the new and improved version of the Bank's online banking system.
- VTB developed a one-stop mobile app for cash collection and cash transactions for large companies, digitalising its customer interactions to optimise and significantly simplify the customer journey. The app offers improved customer service and provides the opportunity to achieve meaningful operational cost savings for all parties involved, which is fully in line with VTB's ESG strategy.
- VTB successfully implemented the Financial Messaging System developed domestically as an alternative to SWIFT, with modifications made to all our information systems involved in payments.



PAPERLESS BANKING

VTB is consistently implementing the digital transformation strategy for its business. Our Paperless Banking programme seeks to make a meaningful environmental difference, while also helping us enhance the quality of customer service, reduce operational costs, and streamline internal processes. VTB's customers have already experienced the benefits of its digitalisation efforts, enjoying the improved convenience of banking services, the advantages of making regular financial transactions online, and faster customer service. Going forward, VTB will continue to prioritise digitalisation with a view to maintaining its position as a technological leader in the financial market.

VTB launched its Paperless Banking programme in late 2020. In just two years, the Bank successfully transitioned to efficient paperless document storage and electronic document flow. Currently, 97% of documents are processed and stored electronically, resulting in cost savings of over RUB 3.5 billion since the programme's launch. Over the past two years, the Bank reduced its paper consumption by 900 million sheets (more than 4.5 thousand metric tonnes), saving approximately 100 hectares of forest.

To cut down on paper use, VTB introduced new tools and paperless technologies. The Bank significantly reduced the number of printed document forms for new retail customers, with the comprehensive retail banking service agreement now fitting on just one page. The most popular banking services are being digitalised. By the end of 2022, VTB was offering 99% of its retail products and services online. As a result of these improvements, more than 80% of retail customers now sign about 50 thousand paperless documents at the Bank's branches every day.

The vast majority of VTB's products and services are available remotely using an electronic signature. Documents related to cash loans, credit and debit cards are most often signed digitally, saving time for customers. Signed documents are always available to customers in My Documents section of VTB Online. The Bank also introduced remote transactions for purchasing finished housing through real estate agencies and reduced the number of paper documents requested from customers as part of loan agreements by obtaining relevant electronic documents from official sources.

The use of electronic document acceptance and signing technologies enabled the Bank to eliminate the traditional paper document flow for legal entities as well. Remote servicing systems, which employ electronic signatures, have become the primary mode of interaction with corporate clients. This enables corporate clients to make nearly all financial transactions without visiting the Bank's branches. Currently, over 1 million VTB customers use remote servicing channels. In the Medium and Small Business segment, 99% of Rouble payments and settlements and 97% of deposit and account balance transactions, are processed electronically. The Bank accepts 98% of subsequent account opening and information update documents remotely. Additionally, the list of documents required to open an account for a new client was reduced.

VTB aims to establish fully digital interaction with its large corporate clients. To achieve this, the Bank minimises the paper document flow to the extent permitted by the law while also streamlining business processes. For example, in 2022, the Bank implemented a standard form that confirms the accuracy of the information provided in the customer's personal account, including the parameters of selected products and services. This has eliminated the need to print individual documents for each product. Now, up to 80% of information about customers and their related parties is pre-filled from external official sources, which enables the Bank to avoid requesting copies of all documents from customers. VTB also established an on-site service that enables clients to submit documents required for opening an account and connecting to the online banking system, complete the identification process, and sign the necessary forms without visiting the Banks' branches.

Electronic document flow with the lending process participants was transferred to the counterparty's personal account, where the necessary documents can be signed and submitted to the Bank. At the same time, the list of documents that can be submitted electronically to obtain and monitor products is constantly expanding. Documents can also be signed using an electronic signature. Additionally, VTB offers its customers the option to submit financial reporting through 1C software. Using a special service, customers can easily generate, sign and submit a set of statements to the Bank, with the data transmitted in an encrypted format.

In 2022, VTB has almost completely transitioned to the paperless document flow internally, while also digitalising its document storage and interaction with government agencies. Since the launch of the Paperless Banking programme, the Bank's 23 thousand counterparties have transitioned to electronic document exchange. Additionally, the Bank has introduced electronic self-service tools for its employees, and moved its staff training online.



1.4. Quality Management

VTB's quality management system is designed to give us a long-term competitive edge that comes from a robust customer experience across the segments in which the Bank operates.

Quality Management System: Core Principles



CUSTOMER CENTRICITY



CONTINUOUS IMPROVEMENT OF PRODUCTS, SERVICES, AND CUSTOMER EXPERIENCE ACROSS ALL CUSTOMER INTERFACES



QUALITY AS A SECURITY COMPONENT OF PRODUCTS (SERVICES) THROUGHOUT THEIR LIFECYCLE

The quality management of customer experience is integrated into all structural units of the Bank.

- The Bank has in place the Customer Experience Quality Centre that operates as a standalone unit coordinating the Bank's quality system and implementation of its customer centricity strategy.
- The Bank's functional units work to identify deficiencies in the customer experience quality, find the root causes, develop and take steps to improve the customer experience.
- In 2022, the previously introduced system of customer experience KPIs gained increased momentum. The system relies upon survey indicators reflecting what the end users think about their customer experience, operational metrics describing the actual quality of the processes, as well as the Bank's internal services quality assessment results. Covering most of the Bank's employees, from top management to front-line staff, the quality KPI system allowed the team to effectively focus on improving performance in priority areas and to rectify weak spots while addressing 2022's challenges.

Key Focus Areas for Improving Quality Management Performance in 2022

The customer experience management at VTB relies on a combination of interconnected tools and processes conducive to handling customer feedback in a timely manner, identifying their problems, prioritising and implementing improvements and tracking their effectiveness.

1. DEVELOPMENT AND AUTOMATION OF THE CUSTOMER EXPERIENCE MONITORING AND ANALYSIS SYSTEM

Measuring customer experience quality

- The Bank has put in place a system for measuring the quality of customer experience. The system is used to conduct regular customer assessments in the Retail Business, Medium and Small Business, and Corporate Investment Business segments.
- We continue to make comprehensive assessments of customer experience across key interactions between a customer and the Bank with more than 2.5 million customers providing feedback on service quality in 2022. The feedback helps product and service channel owners identify process weaknesses, predict risks, develop, implement, and see the effect of respective improvements.

Voice of Customer platform

- In 2022, the Bank continued full-scale implementation of the Customer Feedback Management Platform leveraging Russian software solutions for better customer feedback management. The platform serves to enhance survey efficiency, improve coordination of the customer needs and feedback analysis activities, and provide prompt analysis and reports on assessment results.
- For faster data processing, we introduced a text analytics framework which keeps improving the speed and efficiency of processing all available comments of the customers. The resulting data is then used by our product and service teams to launch new initiatives for a more satisfying customer experience.

Social media and web monitoring

For an instant feedback response, we have developed and deployed tools to continuously monitor customer reactions in social networks, geo-services, mobile app stores and review sites. This provides more feedback channels and helps gain a more comprehensive view of the customer experience quality.

Interactive quality dashboards

One of the quality management system's priorities in 2022 was the development of interactive BI dashboards helping our business teams promptly and independently analyse customer feedback. By late 2022, the system included more than 40 dashboards for all business segments.

2. IMPROVING CUSTOMER KNOWLEDGE AND DATA-DRIVEN
DECISION-MAKING COMPETENCES

Automated customer survey service platform for product teams

- In 2022, VTB completed deploying its survey service platform which enables our product teams to find the best possible solutions at different stages of product development. With the platform, the Bank can have customers involved in the process by interviewing service users and testing them, sharing best practices in interface development and customer experience management, and re-viewing customer journeys and the functionality of new solutions. In 2022, the teams completed around 300 projects relying on the research services offered by the platform.

Customer Knowledge Library

- We have developed and regularly update a Customer Knowledge Library for our product and service teams. The library contains analytical reports on customers, markets, trends, etc. to help the teams keep abreast of the latest developments and create products and services aligned with customer needs. Currently, the Library has over 500 reports.

3. ENHANCING THE SYSTEM OF INTERNAL CUSTOMER EXPERIENCE
MANAGEMENT

One of the key principles underpinning the Bank's quality management practices is to have employees of all levels engaged in the process. Superior internal customer experience lays the groundwork for ever-increasing loyalty from external customers.

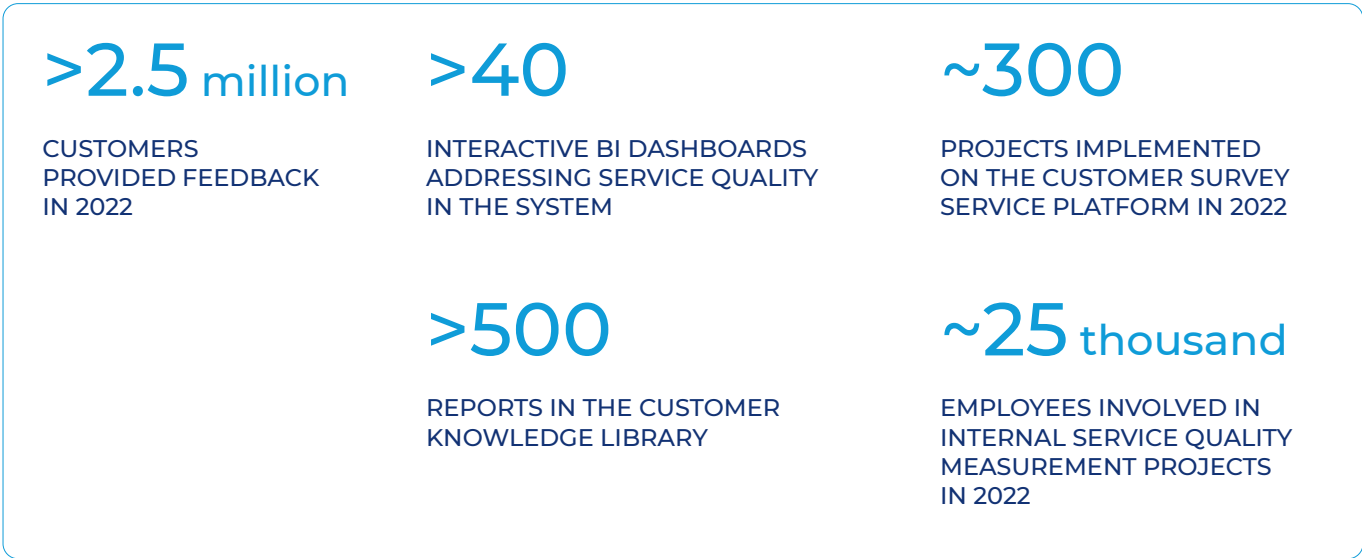
- VTB conducts regular bank-wide assessments of the quality of internal services. In 2022, the assessment covered over 100 in-house processes and services with more than 25 thousand employees involved in measuring internal quality.
- The Bank has also put in place a continuous improvement system for internal services based on user feedback received during the measurements. After each measurement, service owners make plans to improve their processes. A consolidated improvement plan, as well as a report of progress made against that plan, are openly published on the Bank's internal portal.

4. PROMOTING THE CULTURE OF CUSTOMER FOCUS AS PART OF
THE “WE VALUE OUR CUSTOMERS” APPROACH

A key dimension of the quality management system is to maintain a high standard of customer focus culture among the Bank's employees.

- The Bank has implemented ethical principles to underpin employee approaches to customer relations in various scenarios.

- VTB has developed and launched a series of training programmes on customer service and customer experience management. The programmes were completed by more than 10 thousand employees from across the Bank's functions, including product and service owners, managers, front-line staff, etc.



1.5. Results Overview

1.5.1. Financial Review

In 2022, VTB Group took the first blow among Russia's largest financial institutions to be affected by the toughest restrictions. With geopolitical risks realised, the Bank suffered much more than other credit institutions sanctioned by unfriendly states. Business areas, specifically supporting the nation's foreign trade operations, including major Russian exporters, and the corporate investment business, where VTB Group was leading the way, highly reliant on the international financial infrastructure and focused on global markets, were considerably hit by the sanctions.

VTB Group posted substantial losses as it saw its foreign assets frozen and foreign subsidiaries deconsolidated, while its borrowers and customers were facing difficulties in FX settlements with no currency risk hedging instruments available in the market.

VTB GROUP KEY IFRS FINANCIAL RESULTS

Analysis of VTB Group's IFRS Income Statement

NET INTEREST INCOME	321.0		change year-on-year ▼ 50%	Net interest margin (NIM) 1.8% ▼ 2.0 pp
NET FEE & COMMISSION INCOME	146.8		▼ 7%	
OTHER INCOME	-466.7		▼ 26x	
NET OPERATING INCOME		1,1	▼ 100%	
PROVISION CHARGE	-514.3		▲ 342%	Cost of risk (CoR) 2.5% ▲ 1.8 pp
STAFF COSTS & ADMINISTRATIVE EXPENSES	-284.0		▼ 8%	Cost to assets 1.5% ▼ 10 bp
TAX	184.6			
NET PROFIT (LOSS)	-612.6			Return on equity (RoE) -42.6% ▼ 59 pp
vs RUB 327.4 billion in 2021				

The Group ended 2022 with a financial loss of RUB 613 billion, mainly driven by:

- losses net of gains on transactions with foreign currencies and precious metals** (RUB 300 billion before tax). As a result of the sanctions introduced in 2022, VTB Group suffered from an unprecedented FX liquidity outflow and was forced to buy foreign currency from exporters on the open market as it was no longer able to offset outflows by raising foreign currency through swap transactions with the Bank of Russia, whose reserves were frozen as well. Along with the forced termination of derivatives contracts, the sanctions prevented the Bank from hedging its increasingly longer open currency position as it was facing outflows of customer funds in US dollars and euros;
- losses from disposal of subsidiaries, associates and joint ventures** (RUB 229 billion before tax), mainly due to VTB Group losing control over VTB Bank Europe and VTB Capital Plc following the sanctions imposed on the Group;
- extraordinary (sanction-driven) provisions for credit losses on debt financial instruments and other financial assets, and credit-related commitments** (RUB 344 billion before tax);
- losses from interest rate risk** (RUB 33 billion before tax).

The Group's 1H 2022 results were largely affected by a sharp increase in the cost of risk, loss on revaluation of its foreign currency position and financial instruments, and losses from frozen accounts and investments in subsidiaries. However, 4Q saw the Group generating a net profit all over again.

net interest income
RUB 321.0 ^{-50.3%} BILLION
net interest margin 1.8%

net fee and commission income
RUB 146.8 ^{-7.4%} BILLION
net commission margin 0.8%

provision charge
RUB 514.3 ^{+343.4%} BILLION
cost of risk 2.5%

staff costs and administrative expenses
RUB 284.0 ^{-8.0%} BILLION
costs / assets 1.5% (-10 b. p.)

Net interest income and net interest margin

In 2022, net interest income was RUB 321.0 billion, down 50.3% year-on-year. Net interest margin for 2022 stood at 1.8%, down 200 b.p.

Net fee and commission income

Net fee and commission income for 2022 was RUB 146.8 billion, down 7.4% year-on-year.

Provision charge

Cost of risk in 2022 was 2.5% compared to 0.7% in 2021. At the same time, provision charge in 2022 came in at RUB 514.3 billion, up 343.4% year-on-year.

Staff costs and administrative expenses

Staff costs and administrative expenses amounted to RUB 284.0 billion in 2022, down 8.0% year-on-year. The ratio of staff and administrative expenses to average assets in 2022 was 1.5%, down 10 b.p. year-on-year.

Net profit

RUB 612.6 ^{-287.1%} BILLION

Return on equity

-42.6% (-59 p.p.)

Net profit (loss)

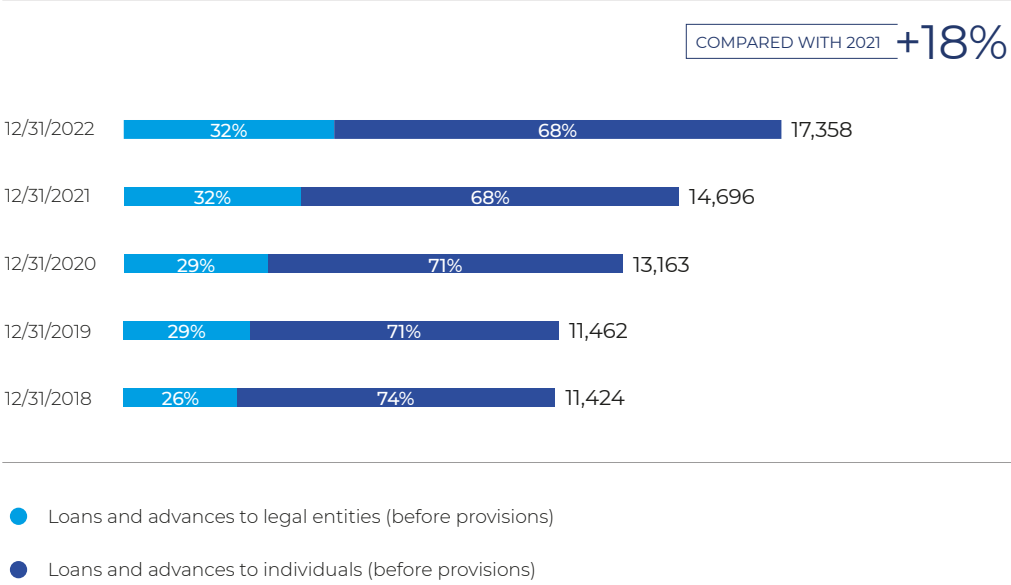
VTB Group posted a net loss of RUB 612.6 billion and a return on equity of -42.6% for 2022 under the International Financial Reporting Standards (IFRS).

ANALYSIS OF VTB GROUP'S IFRS BALANCE SHEET

Assets

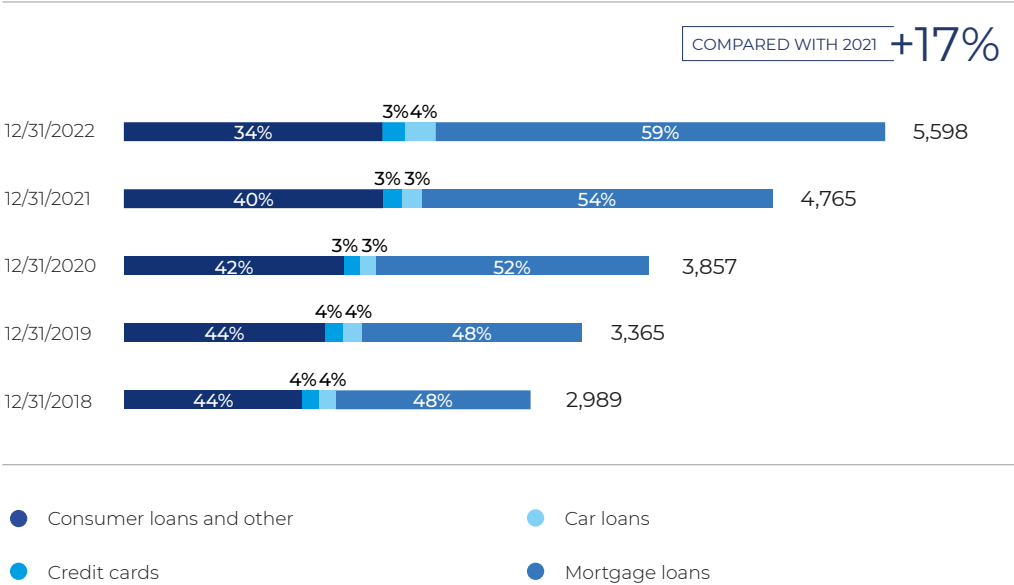
Amid an extremely challenging operating environment, the Group has retained its leadership across key business areas. As of 31 December 2022, the Group's total assets amounted to RUB 24.4 trillion, an increase of 17% vs 31 December 2021. A key component of the Group's total assets is loans and advances to customers (after provision charge), which account for 66% of the Group's assets.

Customer loans, RUB billion



The total loan book before loan loss provisions amounted to RUB 17.4 trillion, up 18.1% year-on-year. At the same time, loans to individuals rose by 17.5% in 2022 to RUB5.6 trillion. As a result, the share of retail in the Group's total loan book remained at 32% at the end of 2022, flat year-on-year.

Retail loan portfolio structure, RUB billion

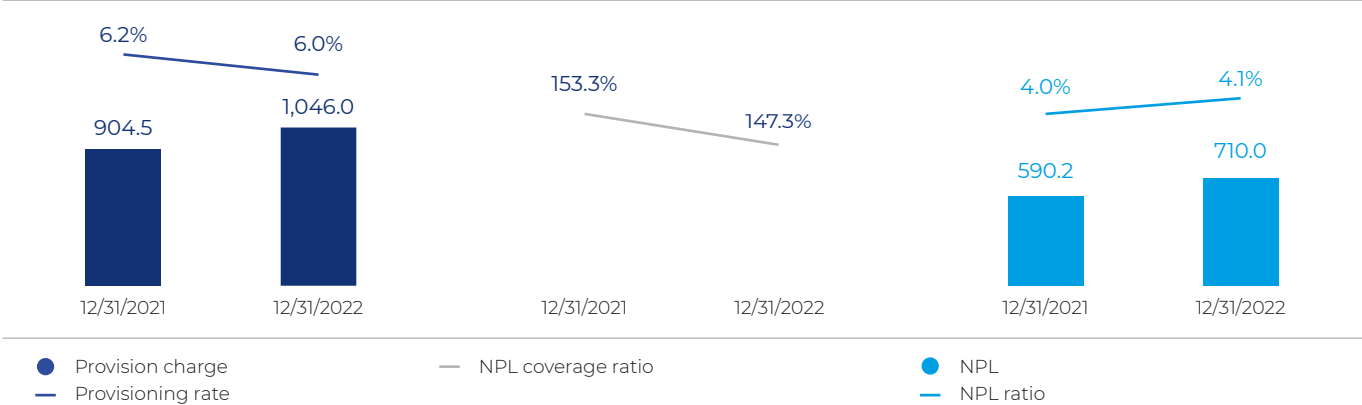


The mortgage market, like other segments, faced serious challenges in 2022. Despite this, the Group's mortgage loan portfolio delivered a 27.9% growth to RUB 3.3 trillion as of 31 December 2022. During the year, VTB Bank achieved the second best mortgage sales in its history, with borrowers taking out around 208 thousand housing loans worth more than RUB 964 billion (in 2021, sales exceeded RUB 1 trillion).

Asset quality

The share of non-performing loans (NPL) in VTB Group's total loan portfolio remained unchanged since the beginning of the year at 4.1% (vs 4.0% as of the end of 2021). The provision coverage of the total loan book was 6.1% (6.0% as of 31 December 2022, 6.2% as of 31 December 2021). The NPL coverage was 147.3% (compared to 153.3% as of 31 December 2021).

Asset quality, RUB billion

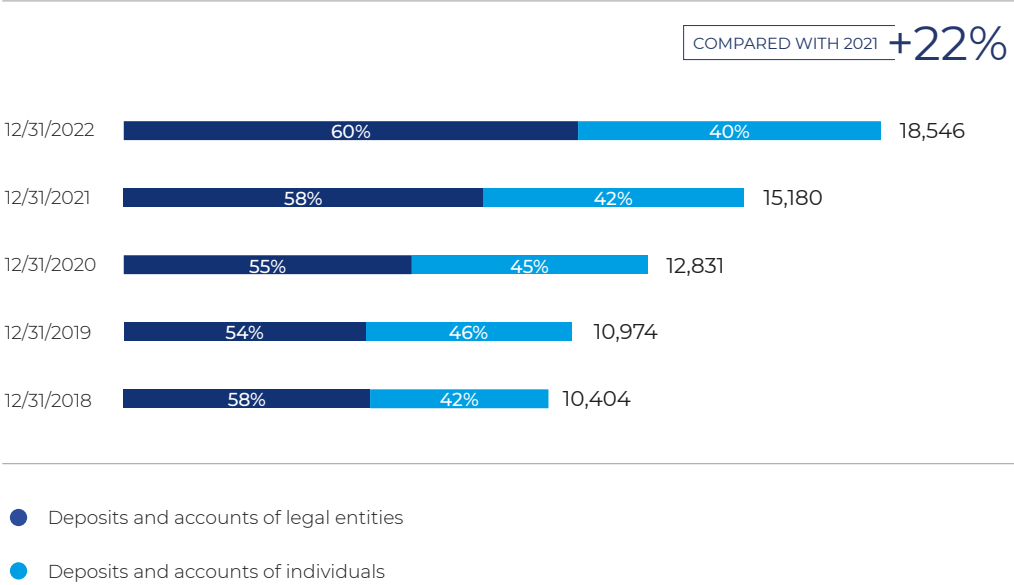


Liabilities

As of 31 December 2022, the Group's total liabilities amounted to RUB 22.9 trillion, up 22.8% year-on-year.

In 2022, the Group's total customer funding increased by 22.2% to RUB 18.5 trillion, with the funding from legal entities going up by 27.1% and that from individuals rising by 15.5%.

Customer funding, RUB billion



At the end of 2022, the structure of the total customer funding shifted towards term deposits on the back of a stronger depositors' interest sparked by higher interest rates. The share of term deposits as of 31 December 2022 was 76% compared to 61% as of the end of 2021. The currency structure of the Group's liabilities also changed significantly in 2022, with the share of foreign currencies in total customer funding decreasing from 33% as of 31 December 2021 to 12% as of 31 December 2022.

Capital and capital adequacy

As sanctions were imposed on VTB, it became essential to maintain VTB Bank's capital base and capital adequacy to comply with regulatory requirements of the Bank of Russia. VTB Bank observes the required capital adequacy ratios with the application of regulatory relief by the Bank of Russia.

In order to offset the negative impact of the sanctions on the Bank's regulatory capital, VTB initiated measures to increase the capital in 2023 by means of two additional issues of ordinary shares. Moreover, the Bank plans to increase its capital using net profits to be generated in 2023.

VTB Bank (RAS): capital and capital adequacy taking into account post balance sheet events, RUB billion

INDICATOR	2022	2021	CHANGE, %
Capital			
CET 1	1,063.1	1,195.6	-11.1%
Tier 1	1,451.7	1,565.7	-7.3%
Total	1,659.0	1,754.4	-5.4%
Capital adequacy (%)			
CET 1 N1.1 (min. 4.5)	6.99	7.22	-0.23
Tier 1 N1.2 (min. 6.0)	9.55	9.44	0.11
Total N1.0 (min. 8.0)	10.93	10.63	0.30
Risk-weighted assets	15,173.6	16,506.4	-8.1%

As of 1 January 2023, the Bank's total regulatory capital was RUB 1.7 trillion, down 5.4% year-on-year.

As of 1 January 2023, the CET 1 of RUB 1.1 trillion and the Tier 1 capital of RUB 1.5 trillion comprise the bulk of the total capital.

In 2022, the CET 1 capital decreased by RUB 132.5 billion or 11.1%, while the Tier 1 capital dropped by RUB 114.0 billion or 7.3%.

The Bank's capital adequacy ratios are at levels exceeding the regulatory minimums. As of 1 January 2023, the N1.0 ratio (total capital) was 10.93% (minimum allowable value – 8%), N1.1 (CET 1 capital) was 6.99% (minimum allowable value – 4.5%) and N1.2 (Tier 1 capital) was 9.55% (minimum allowable value – 6%).

Risk-weighted assets (RWA, the denominator of the capital adequacy ratio) decreased by 8.1% to RUB 15,173.6 billion as of the end of 2022.

1.5.2. Corporate Investment Business

The Corporate Investment Business (CIB) focuses on the sale of lending, transaction, and investment products and provision of leasing and factoring services to major corporate customers.

CHALLENGES:

increased sanctions pressure;

declining profitability of the banking sector; and

tougher competition among Russian banks.

2022

VTB'S RESPONSE:

improved quality of banking products;

easier access to services for customers;

faster decision-making and servicing.

In order to better serve customers in this segment, the Bank set up customer and product units. The former is responsible for customer relations and the latter, for providing and developing a range of modern banking products.

The customer service model in the Corporate Investment Business provides for an individual approach to each customer, reliance on sector-specific expertise and the selection of banking products based on the industry landscape and the needs of specific customers. The product units are structured to fit the CIB profile and meet the requirements of major corporate customers. This has improved credit analysis and the quality of the loan portfolio.

The Bank’s transaction business includes two product lines: trade finance and liquidity management products. Trade finance comprises issuance, negotiation, and acceptance of documents such as guarantees, letters of credit, etc. Liquidity management products are designed to offer flexibility in financial flows and cut down on operating expenses. This group includes account management, financing products, as well as merchant acquiring, online banking and cash management and payment services.

CIB CUSTOMER FINANCING

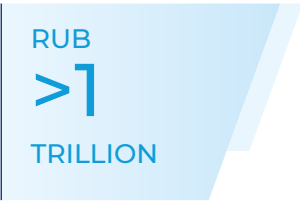
In 2022, VTB Group’s lending business faced unprecedented headwinds, and the team focused on overcoming the impacts.

First and foremost, the Bank supported those customers that were directly or indirectly affected by the sanctions. The Group’s participation in developing and implementing government support programmes brought over RUB 1 trillion in funding to its customers. As a result, VTB Group became one of the top creditors in terms of export support for civilian products.

To minimise currency risks, the Bank launched a programme designed to reduce the FX-denominated share of its portfolio. In the short term, this is expected to minimise loan exposures in currencies of unfriendly countries. Redomiciliation of the loan portfolio from foreign jurisdictions to the rouble area also contributed to mitigating country risks. As a result, the quality of the loan portfolio stabilised as early as 2H 2022 to the level of the beginning of the year.

At the same time, the Group’s activity in the domestic market helped fully compensate for the disposal of the subsidiary banks whose assets were frozen due to sanctions. Among other things, in the construction and real estate sector, the Bank’s team:

- included escrow account pledge in the housing finance model to support developers;
- participated in meetings of government groups and relevant agencies that drafted the housing sector development strategy in the context of the global transformation of the national economy; and
- comprehensively supported customers that had to deal with tectonic changes in the market environment, including providing subsidies to developers under targeted government programmes.



OF CUSTOMER
FUNDING AS PART
OF GOVERNMENT
SUPPORT
PROGRAMMES

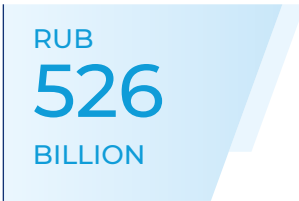
In 2022, the Bank improved the Developer Account service and standardised loan and collateral documents, which reduced time-to-money.

The Group also provided trade and export finance in the currencies of friendly countries to industrial and retail companies. This helped our customers to redirect trade flows in a timely manner.



As of the end of 2022, the Group confirmed its status as one of the leaders in financing major infrastructural and industrial projects.

LEASING



VTB LEASING’S CURRENT
PORTFOLIO

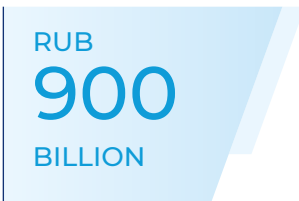
VTB Leasing is one of the leading leasing companies in Russia, consistently ranking among the Top 3 players in the market. The company is represented in 61 regions of Russia’s eight federal districts, as well as in the Republic of Belarus. VTB Leasing celebrated its 20th anniversary in 2022.

For 2022, VTB Leasing topped Expert RA’s ranking of leasing companies in terms of new business in the railway transport segment.

Key segments in the company’s leasing portfolio for 2022 were railway transport (58%), trucks (14%), and passenger cars (8%), as well as special-purpose machinery. Railway transport (+11%) and trucks (+5%) were the fastest growing segments in the reporting period.

At the end of the year, VTB Leasing’s¹ current portfolio stood at RUB 526 billion.

FACTORING



FACTORING FINANCING

VTB Group is an innovation leader in the national factoring market. We have the widest product range in Russia to finance receivables and payables, as well as to manage inventory and finished products warehouses. The Group’s factoring line of business is operated by three companies: VTB Factoring, VTB Commercial Finance, and Otkritie Factoring. The latter became part of VTB Group in December 2022. VTB’s factoring business is designed to assist companies in any segment across Russia.

For 2022, the volume of factoring financing provided reached RUB 900 billion, with the portfolio exceeding RUB 190 billion. The priority areas of VTB Group’s strategy in this segment are:

- diversification of the factoring business with a focus on collaborating with key nationwide companies and their suppliers;
- digitalisation of the customer acquisition and servicing process in partnership with leading digital platforms; and
- development of new areas of working capital financing.

¹ VTB Leasing’s current portfolio is the volume of leasing payments receivable (before provisions).

CIB TRANSACTION BUSINESS

VTB provides and continuously improves a wide range of cash and liquidity management services for corporate customers. In 2022, VTB Bank introduced a number of new services aimed at improving customer experience and making existing technologies faster, more convenient and functional.

Financial Messaging System Service Bureau

VTB was the first Russian bank to offer the Financial Messaging System Service Bureau to its customers. The service enables companies to exchange financial documents with their counterparties and make payments with no direct connection to the Bank of Russia’s Financial Messaging System (FMS). Using the Service Bureau, customers do not need to integrate their systems with the Bank of Russia and do not have to go through the registration process themselves. VTB connects the service directly in the online banking system, which eliminates additional costs for the company. At the same time customers enjoy all the features and benefits of the FMS: they are identified as ordinary users of the Bank of Russia’s system and the procedure for sending, receiving, and processing financial messages for them is the same as for direct participants.

Paperless cash ordering

The Bank has introduced a paperless cash ordering technology. Paper-based cheques are digitised into electronic applications in the online banking system. The technology has made it much easier for customers to order cash and helped to reduce paper and courier delivery costs as well as the time it takes for them to reach the Bank.

Mobile app for cash transactions

VTB launched a special mobile app for cash collection and cash transactions, which helps our customers’ cashiers process cash withdrawal, exchange, and deposit applications. The new offer improves the quality of cash services by streamlining paperwork, saving time and labour input, and easing the customer journey.

One-page form

The Bank also introduced a digital one-page application form for customer identification and account opening. While previously new customers were required to provide the Bank with a set of documents comprising at least five standard forms, now a single form on one sheet of paper is enough.

ADVANCED SOLUTIONS FOR URBAN TRANSPORT

In 2022, the Bank launched new public transport payment services and improved existing ones:

- Face Pay service – biometric ticketing provided at all the Moscow Central Circle stations in addition to all of the Moscow Metro stations;
- Mobility as a Service – for the first time in Russia, subscriptions were launched as a way to access metro, taxi, and bicycle rental services;
- transport card was virtualised in a mobile app for the first time in Russia; and
- import substitution of Apple Pay / Google Pay technologies was put in place for the Troika transport card.

The Bank received the first FinAwards prize in the B2C Payment Service category for launching biometric ticketing.

RETAIL BROKERAGE SERVICES

The Bank continued to develop its brokerage business in 2022 despite a considerable portion of customer assets migrating to third-party brokers as a way to get protection from sanctions. As one example, we streamlined the VTB My Investments mobile app, the No. 1 investment platform in Russia, offering thousands of investment instruments.

The universal web-based version of the VTB My Investments app is now available to customers on all devices. It runs on any smartphones and tablets, requires no downloading from an app store, and retains the functions of VTB My Investments, fully reproducing its interface. The number of the mobile app’s monthly active users is 363 thousand.

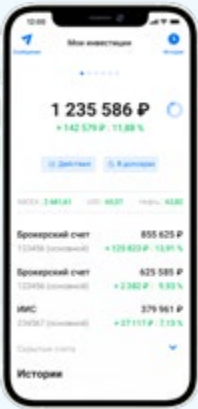
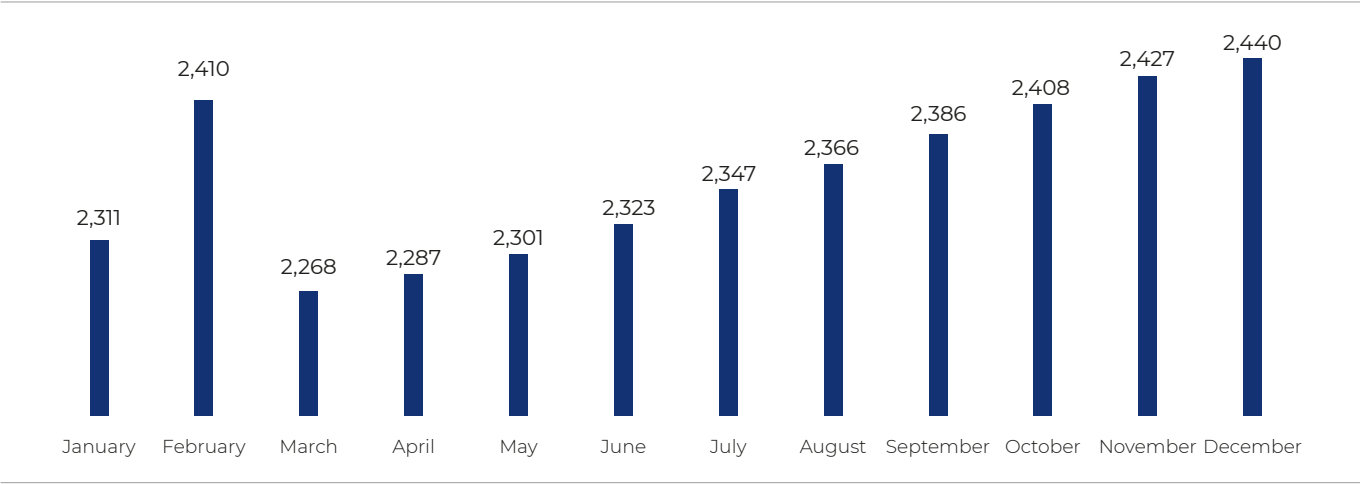
In 2022, Russian investors were offered a new instrument – perpetual FX swaps trading. The Bank expanded the list of currencies available for direct purchase on the exchange to include Turkish lira, Kazakhstani tenge, Belarusian roubles, and Chinese yuan. VTB customers can now buy and sell these currencies via their brokerage account with VTB.

The new app offers customers a broad range of RUB and CNY-denominated placements. In 2022, many issuers began placing CNY-denominated bonds, and VTB Bank was one of the first banks to grant its customers access to initial offerings of CNY bonds.

In 2022, the Bank also unveiled a highly automated digital investment advisory service. The entry threshold for personal investment advice was lowered: it is now available to customers with a portfolio size starting from RUB 1 million. Digital investment advisory services cover all customer segments: from robo-advisor for the mass market to Advisory Pro for Private Banking customers.

As a result, the total number of VTB’s brokerage customers at the end of 2022 was 2.44 million, up 128.7 thousand year-on-year, including 782 thousand funded customers. Some of the customers that were previously referred to third-party brokers returned to VTB Bank for brokerage services. They reopened their accounts and deposited a total of RUB 60 billion in rouble assets.

Number of retail customers in 2022, thousand



VTB MY INVESTMENTS MOBILE APP IS THE FLAGSHIP DIGITAL PRODUCT OF THE VTB BANK’S RETAIL BROKERAGE ARM.

NUMBER OF MONTHLY ACTIVE USERS:

363 thousand

Starting 2022, brokerage accounts can be topped up via the Faster Payment System. It enables instant, fee-free transfers of up to RUB 1 million per month to a brokerage account from an account with another bank.

Customers can now also top up their individual investment account from any bank card. Customers can also open a separate sub-account (an additional account that is part of the main account) to invest in different projects.

RUB 745.3 BILLION

VTB BROKER’S CUSTOMER ASSETS AS OF 31 DECEMBER 2022

In addition, VTB enabled customers to deposit securities with the Bank or transfer them to other brokers online via a dedicated app. Customers can also transfer securities to VTB from any broker with an account at the National Settlement Depository.

The app has a new feature called the “margin barometer”. It shows the stability of the portfolio where margin trading is used, value of assets or cash available for borrowing, current status of the margin portfolio, and status of limits on all accounts. If a margin call is about to occur on an account, an icon appears in front of the account with a relevant warning.

Customers can now order and download all brokerage and tax documents, including brokerage report, securities account statement, consolidated tax report, 2-NDFL form, tax deduction documents for individual investment account, and other.



The Account Making Profit service with a low entry threshold is now also available. It enables customers to set up automatic regular money transfers from their VTB Bank account to the Liquidity ETF.

The Interest on the Balance option was rolled out. If enabled, the broker can borrow any number of the customer’s securities overnight, returning them to the customer’s account in the morning and paying 0.05% per annum on the value of the securities.

The VTB My Investments app now displays the VTB Pension Fund account, so customers can keep track of their pension savings. Any customer can open an individual pension account with VTB Pension Fund to save for a second pension in addition to the state pension.

Every morning and every evening, users can receive new comments from VTB financial analysts and learn about market events and trends that can be helpful for investors. Customers now also have access to information on buy and sell leaders – the Top 10 stocks that were bought and sold most actively during the previous trading day. Information is also available on the sectors that attracted most investments over the last 12 months.

Finally, customers can see information on a new derivatives portfolio with cumulative financial results for open positions.

The VTB Investor School regularly features new training courses created by the Brokerage Department’s team. The courses introduce students to the basics of portfolio investing, teach them how to build a portfolio, correctly assess risks and returns, use various services and buy assets which require customers to be tested by the Bank of Russia. These assets include options, structured bonds, marginal trading, etc.

As the joint promo campaign with Magnit resumed, VTB customers can now receive bonuses not only when they open a brokerage account, but also when they top up an existing account. The Bank also added the option of withdrawing funds from a brokerage account in CNY, TRY, KZT and BYN to customers’ accounts with VTB Bank.

The app’s redesigned cards feature key data on Russian issuers, enabling customers to evaluate and compare their fundamentals: market cap, equity, and others.

The web-based and Android versions of VTB My Investments now allow customers to open a brokerage account with a few clicks/taps using the Public Services portal.

The Bank also upgraded the Transaction History function. Starting from 2022, it will provide data on all transactions, payments, fees, taxes, transfers, and cancelled customer orders. In Active Orders, customers can see their limit and market orders, stop orders, and placements. Detailed information is available for each transaction.

In 2022, VTB My Investments once again won the Best Brokerage Mobile App award from the Investfunds Awards.

In addition, in July 2022, VTB’s brokerage business won the Stock Market Elite 2021 contest held by the National Association of Stock Market Participants (NAUFOR) in the Brokerage Company of the Year category.

1.5.3. Medium and Small Business

The Group's Medium and Small Business segment deals in providing banking services to legal entities and individual entrepreneurs with annual revenues of up to RUB 25 billion.

Supporting SMEs is one of the Bank's top priorities. This became especially important in early 2022, when our customers had to urgently search for new partners and rebuild their supply chains and sales channels amidst rising costs, payment limitations and other headwinds. It was a challenging time for many SMEs and our Medium and Small Business segment (SMB) sought to help them quickly adapt to the new environment and maintain business resilience. To this end, the Bank developed special offers enabling customers to quickly secure better terms for the products and resources they need to run their business. These included dedicated SMB credit lines, access to international networks, advisory services and more.

Despite the sanctions pressure and shifts in the banking landscape, VTB successfully prevented massive client attrition and even expanded its customer base. In 2022, the Bank achieved its strategic goal of doubling the number of customers in the Medium and Small Business segment.

This growth was driven by the Bank's concerted efforts across its Medium and Small Business units coupled with the experience of swiftly responding to crises gained during the pandemic. In the reporting year, the number of VTB's active customers exceeded one million.

The SMB loan portfolio demonstrated record growth in 2022 hitting RUB 2.1 trillion. Deposits exceeded RUB 2.3 trillion, including RUB 1.6 trillion in term deposits.

In 2022, the SMB loan portfolio saw its highest growth rate in the last five years.

LENDING TO SMALL AND MEDIUM-SIZED BUSINESSES

Despite the challenging economic environment, VTB continued to finance previously launched investment projects by means of lending. Also, the Bank entered into new loan agreements with medium and small-sized businesses and restructured existing customer loans as necessary. As in previous years, VTB participated in government business support programmes, offering preferential financing terms to SME customers.

In 2022, the number of government programmes involving VTB increased by a third, with a total of nearly 30 programmes implemented. These included all key government support initiatives, with the largest ones being:

- Programme 1764 of the Ministry of Economic Development – preferential lending for SMEs (4.2 thousand loan agreements signed for a total of more than RUB 200 billion);

- preferential lending programmes of the Ministry of Agriculture – Programme 1528, Programme 512, and Programme 375 (2.7 thousand loan agreements signed for a total of ca. RUB 368 billion); and
- SME Corporation's SME Lending Programme – loans for investment and working capital purposes, refinancing and other business-related needs (over 1.4 thousand loan agreements signed for a total of ca. RUB 62 billion).

In August 2022, VTB signed the first agreements under Programme 1764 of the Ministry of Economic Development and the SME Lending Programme. As of 1 January 2023, the Bank had 276 effective loan agreements under the said programmes for a total amount of ca. RUB 31 billion.

Financing housing construction

VTB Bank continues to finance housing construction through escrow accounts in accordance with Federal Law of the Russian Federation No. 214-FZ On Participation in the Funding of Construction of Apartment Houses and Other Real Properties and Amendments to Certain Legal Acts of the Russian Federation dated 30 December 2004. As one of the first banks to tap into this segment in 2019, VTB has since established itself as a leading player in the housing construction market.

Preferential lending programmes for IT companies

As part of the national project to support digital economy development in Russia, the Ministry of Digital Development implements Programme 1598 and Programme 407 to provide IT companies with loans on preferential terms. As of 1 January 2023, the Bank issued 19 loans worth RUB 9.4 billion under these programmes.

Support for SME customers in Moscow and the Moscow Region

VTB takes part in Programme 445 to support customers registered as taxpayers in Moscow and the Moscow Region. The programme envisages benefits for Moscow-based small and medium-sized enterprises operating in priority industries (excluding the finance and insurance industries and the construction sector as required by Federal Law No. 214-FZ). As of 1 January 2023, the Bank had 151 loan agreements signed under the programme worth ca. RUB 4.2 billion. We also issued 51 loans for a total of RUB 1.45 billion as part of a programme to support customers in the Moscow Region adopted by the regional government's Resolution No. 788/39.

Programmes to support critically important businesses

In April 2022, the Bank joined two programmes designed to provide government support to critically important companies amidst the sanctions pressure on Russia. In the reporting year, VTB issued 119 loans for over RUB 76 billion under Programme 393 of the Ministry of Industry and Trade to support systemically important industrial and trade enterprises. Another 115 loans totalling RUB 71.5 billion were issued as part of the Ministry of Industry and Trade's Programme 895 to support domestic importers.

To make financing more accessible for customers, the Bank continues to digitalise its lending products. In particular, we added new features to the VTB Business Internet bank in 2022:

~30

GOVERNMENT
PREFERENTIAL
LENDING
PROGRAMMES
IMPLEMENTED BY VTB

- **an online service to select and apply for a loan:** the system offers a number of relevant lending products based on the required loan amount, term and purpose filled out by the customer using the loan calculator;
- **a service for obtaining pre-approved and express loans:** in 2022, this type of loans was most popular among small-sized businesses that needed to promptly get financing to cover contingency expenses. Financial support is now available to both VTB's existing and potential customers. The latter can use the Prospective Customer Account on the Bank's website to apply for an express loan online.

FOREIGN TRADE

A major 2022 challenge for VTB and the entire banking sector was a quick transformation of the international trade market. With the sanctions pressure, constant changes of FX laws, and disruptions of financial and logistics chains, foreign trade players were faced with a significant uncertainty. Operations in foreign currencies formerly considered as global were no longer available for the majority of companies.

The Bank had to devise new solutions to help customers maintain and develop their international business, the key one being a settlement system in national currencies of friendly countries. In 2022, VTB created all the necessary infrastructure for the system to operate.

In 2022, VTB re-enabled its customers to make cross-border settlements in the majority of national currencies using a SWIFT alternative.



DEPOSITED WITH VTB BANK BY SMB CLIENTS

In April 2022, the Bank relaunched settlements in the Chinese yuan, Vietnamese dong, Armenian dram, Azerbaijani manat, Kazakhstani tenge and Belarusian rouble. It also introduced settlements in new currencies: the Indian rupee, UAE dirham, and Iranian rial. This was achieved thanks to VTB's unique network of subsidiaries and branches, as well as the Bank's in-house technologies and channels.

In 2H 2022, the number of customers using the above currencies in their settlements grew severalfold, which was achieved through the implementation of new mechanisms developed by the Bank, as well as the adaptation of existing technologies and products for foreign trade.

In September 2022, VTB was among the first market players to offer its corporate customers access to CNY-denominated deposits and minimum-balance accounts. Since the products' launch, SME customers have deposited nearly CNY 1 billion with VTB Bank.

In response to changes in the FX regulations, the Bank updated its business processes and adjusted the terms of service for the customers.

Mandatory sale of foreign currency income

One of the first extraordinary statutory changes was the introduction of a mandatory requirement to sell foreign currency earnings for all proceeds starting 1 January 2022, which was enacted in a relatively short timeframe. The product and customer units across our Medium and Small Business promptly responded to the new law, helping

exporters ensure full compliance with the FX requirements. In a record time of just a few days, our team set up a new business process for the mandatory sale of foreign currency earnings using both the Bank's exchange rate and individual rates. New special settings, notifications and prompts were also added to the Internet bank for SMEs.

Reducing fees on foreign trade transactions

To provide additional support for both importers and exporters, the Bank removed or reduced its fees applicable to foreign trade transactions. For instance, we lowered the fee on foreign currency transfers within Russia and foreign exchange control of transactions made via other banks under contracts registered with VTB. The Bank also took steps to reduce the overall tariff burden in relation to international settlements (foreign currency transfers and foreign exchange control).

Settlements via other banks

We enabled settlements via other Russian banks for foreign trade contracts registered with VTB and denominated in currencies affected by the sanctions. Such contracts no longer need to be transferred from VTB to another bank as we acted promptly to launch the Multibank solution for our SME customers.

Foreign trade digital ecosystem

We keep developing the foreign trade digital ecosystem, despite the overhaul of all the Bank's business processes. In 2022, VTB integrated a number of new products and services into the ecosystem to support foreign trade activities:

- Foreign Trade Events Calendar helps customers track foreign exchange control deadlines and create and fill out relevant FX control forms;
- FX Savings Jar offers individual terms for currency exchange transactions without the need to go to the Bank, with better terms available for higher transaction volumes;
- FX Monitor helps keep analytics for actual and planned currency exchange volumes;
- Importer / Exporter analyses customers based on the foreign trade ecosystem data on registered contracts and offers them individual terms for currency exchange;
- SOS. Foreign Trade helps manage foreign trade activities so as to ensure compliance with the FX laws and protect the interests of Russian companies acting as parties to foreign trade translations. It also enables customers to optimise the document flow, provides personalised recommendations, and offers staff training and upskilling in foreign trade;
- Foreign Trade News Feed provides real-time updates on the most relevant foreign trade news and changes in FX regulations.

In 2022, we also added new features to our existing services:

- Fast Track now offers a priority service for foreign exchange control document flow, including contract registration and issue of a certificate on supporting documents;

- Foreign Trade Monitor notifies about important foreign trade events, deadlines for payments in foreign currencies and filing of foreign exchange control documents, as well as violations of contract terms.

Customs Services

To provide customs and logistics support to customers involved in foreign trade transactions, the Bank launched a unique Customs Services set. The service set includes:

- customs clearance and support;
- international logistics services, including as part of parallel import and new transit arrangements for exports;
- obtaining product certification and other permits;
- online customs declarations;
- cargo insurance;
- legal advice on customs laws.

The Customs Services set is a one-stop tool for selecting and purchasing all the necessary transaction-related services. Its key advantage is the opportunity to submit a single digital package of documents via the VTB Business Internet bank, which saves time for customers, enabling them to obtain all necessary services without without contacting multiple companies.

Thanks to the Customs Services set, VTB became a unique Russian bank offering both traditional banking services and foreign trade support.

Expert support

In the face of increasing pressure on global operations and changes in FX laws, VTB places a special emphasis on providing expert support to customers.

In 2022, the Bank's experts provided customers with reviews of over 300 newly adopted laws and regulations, including resolutions of the Russian Government, minutes of the Government Commission, orders and decrees of the Russian President, the Bank of Russia's newsletters, official clarifications and instructions. We share this information in the form of general and targeted mailouts, guides, presentations, FAQs and news publications on our website.

On top of that, VTB has launched a Foreign Trade Competence and Expertise Centre. The centre's staff boast extensive experience and provide personalised service to foreign trade players across the Group's footprint.

NEW CASH MANAGEMENT TOOLS

As part of SME support in 2022, VTB expanded its service packages to offer additional service options and special terms:

- **One Rouble Fee campaign**
In spring 2022, VTB launched a One Rouble Fee campaign, reducing the fee for the most popular additional services (Personal Transfers, Payments+, and Cash Register+) to RUB 1. In addition, customers who opted to pay service fees on a monthly basis were offered a 15% discount on all service packages.
- **Business Essentials service package**
The Bank launched a new Business Essentials service package comprising the most relevant services for businesses in the early and active stages of development. The package's key services are provided free of charge and include account opening and maintenance, internet and mobile banking, a business card, credits to the account, tax payments, transfers from business to personal account of an individual entrepreneur, unlimited internal payments, as well as payments to legal entities' accounts in other banks.
- **Additional service options and free-of-charge business services**
All customers, including those using the free-of-charge For Starters package, were given access to all five additional service options: Payments+, Cash Withdrawal, Personal Transfers, Cash Register+, and Foreign Trade. Previously, they were only available as part of more expensive service plans. These options let customers have higher transaction volumes and give access to certain services without having to upgrade to a higher-level package. VTB also complemented the packages with the Lawyer 24, Document Constructor, and Digital Accounting business services, which help customers fully outsource routine processes to dedicated contractors and achieve greater cost savings, eliminating the need to hire in-house professionals or reducing the workload of existing ones.

TRANSACTIONAL AND OPERATIONAL PROCESSES

The withdrawal of international payment systems and services from the Russian market affected both our customers and the Bank itself. In 2022, VTB had to overhaul many of its transactional and operational processes, while also developing and implementing full-fledged Russian alternatives to international solutions.

Mir cards

Among the most popular banking products in the reporting year were cards (including corporate ones) based on the Mir payment system. VTB was the first Russian bank to start issuing them in digital form using a unique Digital First technology. Today, our customers can quickly open Mir cards at their convenience via our mobile app, Internet bank or in an offline branch. They can choose to have a digital-only card or order a plastic one with the same details. Customers receive a 2.5% cashback on all purchases made with business cards under the Rebate programme.

Service to tokenise cards for the Mir Pay e-wallet

Mir cards have become even more convenient with a new service to tokenise them for the Mir Pay e-wallet. Seamless integration between the Mir payment system's and the Bank's apps enables our customers to add the card to the e-wallet in next to no time, directly from the VTB Business Lite mobile app. It can be used for contactless payments on smart phones and other mobile devices immediately after tokenisation.

QR-code payments

In April 2022, in order to replace international payment services that left the Russian market, the Bank developed a service to process QR-code payments via the Faster Payments System in the VTB Business Lite mobile app. Thanks to the new service, cafes, beauty parlours and stores can now receive payments using mobile phones without the need to install terminals or other equipment. All the seller needs to do is enter the transaction amount and purpose in the mobile app for SMEs and show the generated QR code to the consumer who scans it via their bank's app and confirms payment.

VTB SoftPOS

In autumn 2022, VTB launched another service enabling our customers to accept payments without additional equipment – VTB SoftPOS. With this service, a smart phone with NFC technology can act as a POS terminal and online cash register. It is enough to install two apps on the phone to make settlements with consumers: VTB Kassa and VTB SoftPOS. The first app is used for placing an order and selecting a payment method, while the second one processes the payment and issues a transaction report. The service is available for all types of payments – cash, card, the Faster Payments System's QR code, and Pay services.

Fee reimbursement

Another measure to support entrepreneurs was the reimbursement of fees on payments received via the Faster Payments System. In line with the resolution of the Ministry of Economic Development, VTB kept reimbursing fees on all payments via the system until the end of 2022.

1.5.4. Retail Business

The Retail Business specialises in banking for individuals, providing a wide range of financial products and services that fully cover the needs of customers.



VTB'S RETAIL BUSINESS SUCCESSFULLY ADAPTED TO THE NEW GEOPOLITICAL AND ECONOMIC REALITY OF 2022

In the reporting period, VTB was among the first Russian banks placed under sanctions. The Bank's Retail Business took a serious hit from the sanctions resulting in:

- a threat of panic-induced fund outflows;
- unprecedented customer traffic in the branches;
- record-high workload for the Contact Centre;
- restraints in using the Bank's digital channels;
- suspended operations in international payment systems.

However, VTB successfully adapted to the new geopolitical and economic reality and implemented the following measures to minimise the impact of the sanctions on its retail operations:

- uninterrupted customer service ensured across all communication channels;
- cash made available in the peaks of customer demand;
- fundamental changes made to the Internet bank interface and global navigation to bring the VTB Online web version closer to its mobile app in terms of user experience. This includes adding an option of biometric recognition and QR code payment features to VTB's Internet bank;
- expiration dates cancelled for all VTB cards along with recommending that customers use plastic cards and switch to those connected to the Mir national payment system;
- attractive deposit rates offered, which helped to stop outflows of the retail customers' funds and materially improve the portfolio of rouble liabilities;
- foreign securities services transferred to other leading financial organisations in Russia to protect the customers' interests (with many customers subsequently back to VTB servicing);
- new products launched to diversify the customers' savings (yuan deposits, gold bars);
- the Bank's geography of cross-border transfers expanded considerably;
- repayment holidays offered for mobilised individuals and their families according to the applicable laws.

These efforts helped to increase the active customer base to 17 million customers.



RUB
3
TRILLION

THE GROUP'S MORTGAGE
LOAN PORTFOLIO

+28% IN 2022

208 THOUSAND
MORTGAGE LOANS
ISSUED WORTH
> RUB 964 BILLION

54 %

MORTGAGE LOANS
ISSUED AS PART
OF STATE SUPPORT
PROGRAMMES

2x COMPARED WITH 2021

RETAIL LENDING

Mortgage lending

Mortgage lending portfolio, RUB billion

COMPARED WITH 2018 +128%

COMPARED WITH 2021 +28%

12/31/2022	3,282
12/31/2021	2,566
12/31/2020	2,007
12/31/2019	1,614
12/31/2018	1,442

The mortgage market, like other segments, faced serious challenges in 2022. Despite this, VTB Group's mortgage loan portfolio increased by 14.5% to RUB 3 trillion in 2022. With the consolidation of Otkritie Bank, the Group's mortgage loan portfolio demonstrated a growth of 27.9% reaching RUB 3.3 trillion as of 31 December 2022.

In the reporting period, VTB Bank achieved the second best mortgage sales in its history, with borrowers taking out around 208 thousand housing loans worth more than RUB 964 billion (in 2021, the sales exceeded RUB 1 trillion). At the year-end of 2022, VTB Group banks held 22.6% of the housing loan market in Russia.

Key drivers of mortgage lending in 2022:

- State support programmes were crucial in keeping mortgages affordable. As part of the preferential initiatives, the Bank issued more than half of its mortgage loans (54% totalling RUB 519 billion), while in 2021 their share accounted for only 27%. In the reporting period, the most popular preferential programmes were State Support – 2020 (54 thousand loans worth RUB 280 billion) and Family Mortgage (39 thousand loans worth RUB 217 billion).

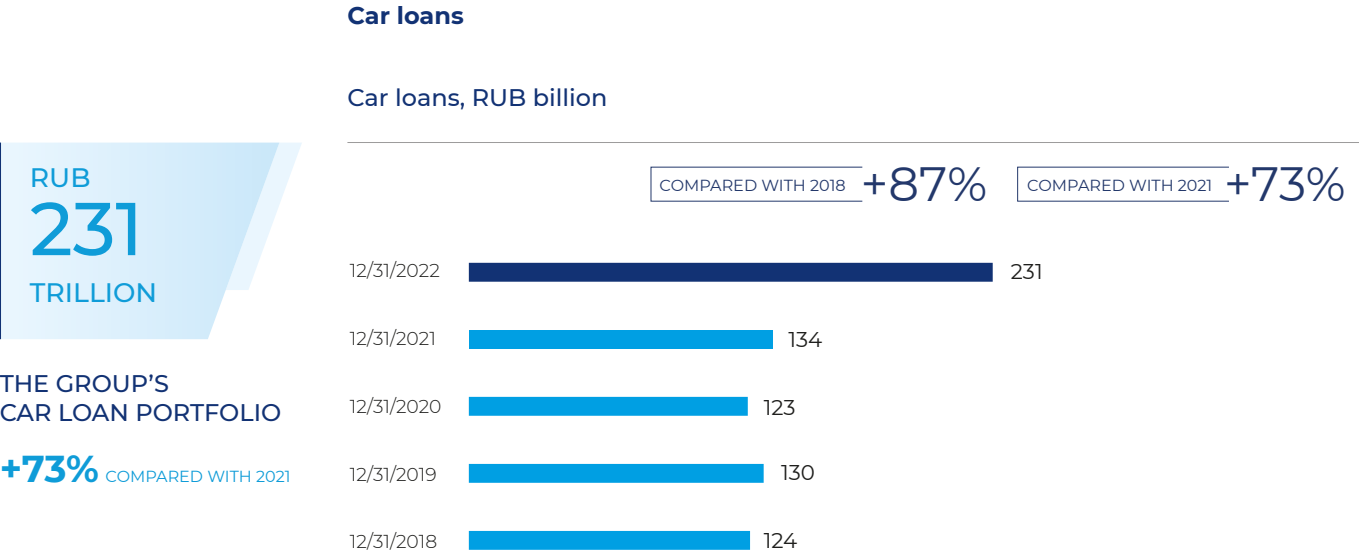
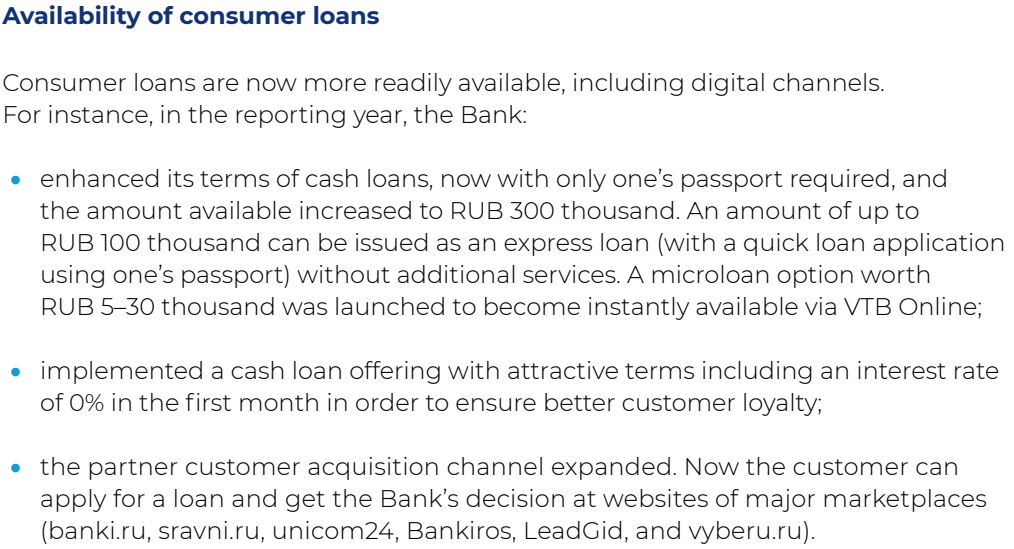
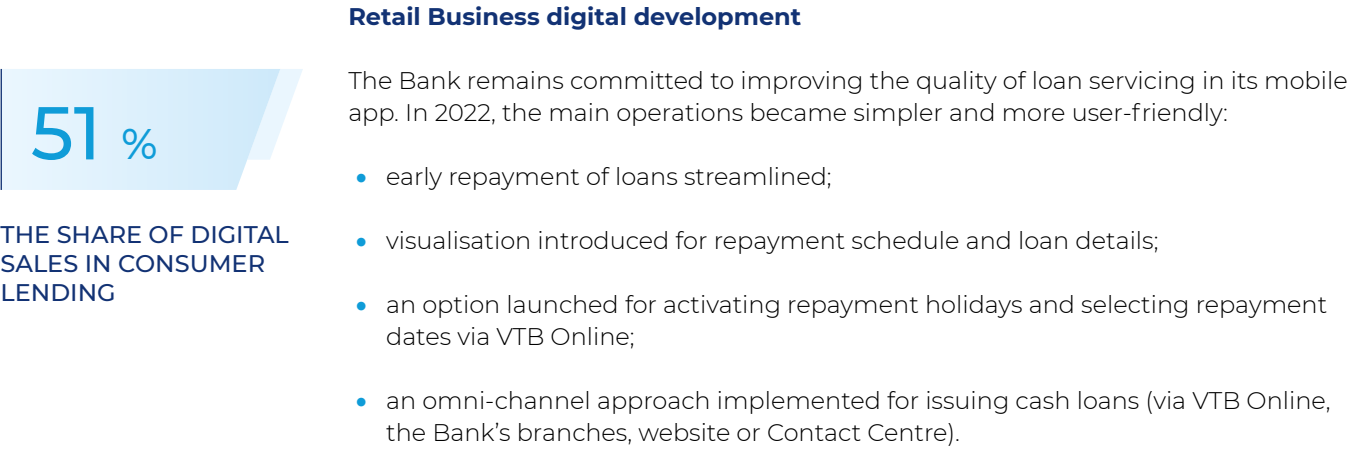
Expanding digitalisation: simplifying the customer journey and ensuring further penetration of digital services. At the year-end, the transactions with the service of electronic registration of property rights for finished housing reached 75%, while the transactions with the Secure Settlement service – 80% of the total.

KEY MORTGAGE DIGITALISATION PROJECTS IMPLEMENTED BY VTB IN 2022

- customer journey in the digital channel simplified, with the questionnaire size reduced by 60%, a fully online application introduced (with no paper documents required) and a loan decision made within three minutes;
- the Bank connected to the app that makes it possible for borrowers to apply for a loan using an electronic signature certificate issued in the app and signing documents remotely;
- transition to electronic mortgages completed thus enhancing security for all transaction participants;
- In 3Q 2022, VTB became the No. 1 bank by the count of electronic mortgages at the support service stage (the new building commissioning stage);
- support service for existing customers streamlined, with 60% of support-related functions moved online.

VTB is not only a partner of the government in support programmes, but also develops such programmes on its own. In 2022, as part of the affordable housing initiatives, the Bank implemented the following projects:

- in April, the Bank launched a new state-subsidised mortgage initiative titled the Unified Regional Mortgage Programme. The Rostov Region was the first region to put the programme in place;
- in May, VTB introduced a preferential mortgage lending programme for employees of IT companies;
- in May, hybrid subsidies commenced for State Support – 2020 and Family Mortgage. Developer partners' subsidies helped increase limits on mortgage amounts;
- starting 1 July, the Bank launched a dedicated offer for multi-child families. As part of the Family Mortgage programme, borrowers with three or more children were offered a mortgage interest rate of 3%. In September, the Bank piloted a mortgage initiative for multi-child families in the Far Eastern District at an interest rate of 0.1%. 1,488 families benefitted from this offer;
- in August, VTB started accepting mortgage applications for private housing construction as part of State Support – 2020 at an interest rate of 6.3%. The programme helped issue 1,533 loans worth RUB 8.2 billion;
- in September, the Far Eastern Mortgage programme became available for doctors and teachers regardless of their age or marital status. In 2022, as part of the programme, VTB issued 2,499 loans worth RUB 11.7 billion.



VTB is one of the leaders in the Russian car lending market. With the consolidation of Otkritie Bank, the Group's car loan portfolio totalled RUB 231 billion, up 73% year-on-year.

In 2022, VTB continued developing digital channels, launching new products and participating in state support programmes in the car loan segmen:

- a new product successfully implemented as part of the strategy for reducing dependence on car dealers. The product comprising a car cash loan with deferred collateral and had a share of 20% in the total sales at the year-end;
- the technology of customer funding without visits to the branch put in place and being fine-tuned. At the year-end, the share of such transactions was 13% of their total number;
- 10.4 thousand loans issued for a total of RUB 7.1 billion as part of state support programmes for purchasing new cars, accounting for 20% of the total sales;

- services for car owners available to customers in VTB Online, developed further. At the end of 2022, 1.5 million cars of our customers were registered via VTB Online, with a monthly average of the section visits amounting to 100 thousand people. The list of services also includes a subscription option to rent a new car via VTB Online or the Bank's website, with the rent lasting from 6 to 36 months. The rental price includes third-party liability and motor hull insurance, taxes, maintenance, seasonal tyre service, roadside assistance, and a personal concierge. Customers can rent a car without any documents or certificates; their paying capacity is assessed automatically using a credit scoring method.



SUPPORT OF INDIVIDUALS AND THE RUSSIAN ECONOMY

VTB is proactive in helping borrowers who face difficulties in loan servicing, offering them a personalised approach. On 9 March 2022, the Bank began accepting applications from retail customers to activate repayment holidays according to Federal Law of the Russian Federation No. 106-FZ. VTB customers can also apply for a deferred payment option under the Bank's own programmes developed as early as during the first wave of the coronavirus pandemic. These programmes are an effective tool for remedying the borrowers' financial situation and helping prevent overdue debts.

Mortgage borrowers can also use mortgage repayment holidays provided according to Federal Law of the Russian Federation No. 353-FZ.

SUPPORT OF CONSCRIPTS

As part of the loan support measures for individuals taking part in the Special Military Operation and their family members, the Bank began accepting applications for special repayment holidays as soon as the respective law was effected. Starting 7 October 2022, these categories of people are entitled to a deferral of all loan payments under a procedure as much simplified as possible. In order to exercise their right to repayment holidays, it is enough for the borrowers participating in the Special Military Operation to communicate their intention by contacting the Bank by phone. That said, they do not need to provide any documents confirming their mobilisation or participation in the Special Military Operation. For borrowers who are relatives of Special Military Operation participants, it is sufficient to email only a copy of the document confirming their relationship.



RETAIL CUSTOMER FUNDING

+15% COMPARED WITH 2021

CUSTOMER FUNDING

In 2022, VTB Group's retail deposits and accounts exceeded RUB 7.4 trillion, up 15% year-on-year on the back of Otkritie Bank's consolidation. The structure of the customer funding shifted towards term deposits driven by a stronger depositors' interest sparked by higher interest rates. The share of term deposits as of 31 December 2022 was 65% compared to 55% as of the end of 2021.

In 2022, 330 thousand new customers opened savings accounts and made deposits; the total number of savings account holders with positive balances and customers making deposits reached 4.5 million.

In response to an increased demand for term deposits both in the mass and affluent segment, the Bank promptly expanded its deposit offering and added new products, including:

- the First fixed deposit and the Smart deposit with top-up and withdrawal options for those who want to have their funds at fingertips;
- the Cash fixed three-month deposit in USD and EUR;
- deposits in alternative currency – CNY;
- the Your Advantage nine-month deposit with a top-up option for Prime and Privilege customers;
- the Gainful Beginning six-month deposit for new VTB customers; and
- the Stable promo three-year deposit.

VTB also launched a Summer Interest promo, a seasonal special offer providing an increased interest rate on deposits.

In 2022, VTB was among the first banks to start selling investment-grade gold bars manufactured by Russian refineries. The Bank sold ca. 32 tonnes of bars throughout the year. The bars became an alternative investment trend enabling our customers to diversity their funds. In 2Q 2022, the Bank launched a gold storage service. Some 10.7 tonnes of gold bars have been retained by VTB for storage since then.

The Bank expanded the key capabilities of its mobile app and Internet bank as regards savings account management, adding the information on the minimum balance, the welcome rate availability and term, and the yield and monthly savings.

In order to raise customer awareness, we added a banner notifying about the new rates on savings accounts to the VTB Online promo page.

In the reporting period, VTB continued to develop its product line and offered more collectible coins for sale. For instance, Prime and Privilege customers could buy RUB 50 and RUB 100 Saint George investment coins. We sold a total of 5.3 thousand coins worth RUB 280 million in 2022.

In 2022, the Bank's actual proceeds from investment life insurance and savings life insurance amounted to RUB 34.1 billion. Taking into account the investment market specifics, VTB developed new products:

- in March, we launched six- and nine-month investment life insurance products with a fixed income (and raised RUB 7 billion);
- in May, we introduced investment life insurance products based on RUB options (RUB 7.6 billion); and
- in October, we resumed sales of a foreign currency-denominated investment life insurance with a fixed income (RUB 4.3 billion).

BANK CARDS

As of 31 December 2022, the bank card portfolio of VTB comprised 39.5 million cards, with the number of active bank cards (i.e. cards with at least one purchase transaction over the past month) reaching 10.5 million.

In 2022, VTB issued on average some 1.2 million cards per month. The volume of payment transactions for products and services using the Bank's cards increased by 2% year-on-year to RUB 2.7 trillion.

The majority of cards issued were the Bank's flagship product, VTB Multicard, which also accounted for the greatest share of completed purchases.

Debit cards

In 2022, the Bank continued developing its VTB Multicard flagship product and new offers for debit card holders. Throughout the year, the payment infrastructure was adapting to the new operating environment. The withdrawal of international payment systems from the Russian market accelerated the development of the national Mir card and various domestic services, including Mir Pay which enables payments through smartphone.

Mir Pay / Samsung Pay

VTB was the first market player to offer its customers an option to tokenise¹ Mir cards directly from the Bank's mobile app (Mir Pay in-app provisioning technology). This solution helps minimise the number of customer journey steps in card tokenisation by eliminating the need to use a separate app. A similar solution was implemented for Samsung Pay.

Automated access to the Mir loyalty programme

The Bank significantly simplified the participation of Mir card holders in Privet, Mir!, the loyalty programme of the Mir national payment system. Now customers are signed up to the loyalty programme automatically upon the issuance / reissuance of their respective cards. Among other things, this gives them an opportunity to benefit from government-sponsored tourist cashback initiatives and recreational programmes for children.

1 Tokenisation is a type of encryption used to enhance the security of online payments and to protect user data in online transactions.

Mir Supreme

VTB customers now can enjoy Mir Supreme cards in the physical format (on top of virtual cards made available earlier). The key advantage of this product is additional cashback credited by the payment system. All the benefits offered by this card are available in both physical and digital formats. The greatest demand for physical cards comes from iOS users. For Android users, a better option would be to issue a digital Mir Supreme card and link it to the Mir Pay e-wallet.

Local resident's cards

- In 2022, customised local resident's cards (social cards) with city apps were available to VTB customers from as many as 10 Russian regions. Currently, the Bank supports the following cards:
- integrated card for residents of St Petersburg;
 - Zabota card for residents of the Vologda Region;
 - Citicard (integrated with a transport app) for residents of the Nizhny Novgorod Region;
 - Primorets card for residents of the Primorye Territory;
 - card for residents of the Samara Region;
 - all-in-one card for residents of the Orenburg Region;
 - integrated social card for residents of the Republic of Mordovia;
 - Uralochka card for residents of the Sverdlovsk Region;
 - card for residents of the Sakhalin Region;
 - card for residents of the Murmansk Region;
 - Omka card for residents of the city of Omsk.

In addition to payment functions and benefits offered by the VTB Multicard and Privet, Mir! loyalty programmes, the local resident's cards (social cards) log you in to digital regional apps giving access to state and municipal transportation, healthcare, and education services, as well as social benefits. Local resident's cards also provide access to regional loyalty programmes designed to meet the specific needs of people in the respective region.

Questionnaire service on the Bank's website

VTB launched a new courier delivery service for debit cards with a minimum number of fields to be filled in and an option to sign documents digitally. The Bank now also offers express delivery services, with bank cards handed over to customers within three hours from submitting a card application form on the website. Furthermore, VTB significantly expanded the geography of its courier delivery services, while also fine-tuning the debit card application questionnaire by reducing the number of fields to be filled in and extending the list of products that can be ordered online.

Cards with no expiration date

VTB fine-tuned its systems and services so that they continue to support all types of cards beyond their respective expiration dates. This innovation helped skip the scheduled reissuance of expired bank cards and significantly reduce the Bank's expenses on plastic, delivery and administration of customer visits to offices, while also increasing the convenience of using bank cards for customers.

VTB's instant digital Mir cards

VTB launched an option to issue digital prepaid Mir cards in the guest section of VTB Online, providing quick access to the Bank's products and services to those who have not yet joined VTB as its regular customers. As part of the project, you can book a courier to deliver a card to you in physical form. You can top up VTB's cards free of charge from the cards of other Russian banks and link them to Pay services (Mir Pay and Samsung Pay) for the ease of everyday shopping. For card purchases, you will get cashback from the Bank provided the card is registered in the loyalty programme. You can use NFC to tap your card at an ATM to top it up or to withdraw cash.

Promos and Discounts section

VTB Online now has a Promos and Discounts section for VTB card holders, posting information on the most relevant offers online. The service includes customised proposals by the Bank, offers from the payment systems and partners of the Multibonus programme.

Credit cards

By the end of 2022, VTB had issued over 1.2 million credit cards, with the Bank's loan portfolio coming in at RUB 179 billion and transaction turnover at RUB 452 billion.

This result was achieved through several initiatives, including:

- **launching sales of Mir credit cards.** In March 2022, the Bank gave its customers an option to open Mir credit cards at the points of sale, in mobile app and in their Internet bank. By the end of the year, VTB had issued approximately one million Mir credit cards;
- **credit cards for new payroll customers.** Starting from October 2022, customers who joined VTB for payroll services can concurrently apply for their payroll card and the Card of Opportunities, a credit card with a guaranteed limit of RUB 9,000 that can be increased going forward. By the end of the year, VTB had issued over 2.5 thousand such credit cards;
- **up to Interest-free 200 Days, a campaign promoting Cards of Opportunities that was launched as part of the Federal Advertising Campaign in November 2022.** As part of this campaign, customers could get a Card of Opportunities, a credit card with a grace period of up to 200 days for all types of purchases;
- **updated Prime Credit Card.** In November 2022, the Bank launched for its premium customers an updated version of the Prime Credit Card which offers an extended grace period of up to 110 days.



CREDIT CARDS
ISSUED IN 2022



CARD LOAN
PORTFOLIO



TRANSACTION
TURNOVER ON
CREDIT CARDS

VTB pays close attention to improving its customer services. To this end, it launched:

- **a courier delivery service with a digital signature option.** In May 2022, customers were offered an option to sign credit card agreements delivered by couriers electronically. This significantly simplified and accelerated the process of credit card delivery;
- **Mir Pay tokenisation.** In July 2022, customers could once again use their Android smartphones to pay for purchases;
- **updated account and cards in the mobile app,** with a brand new native interface of the credit card's main page put in place.

MULTIBONUS LOYALTY PROGRAMME

In May 2022, VTB relaunched its Multibonus loyalty programme for the Bank's retail customers covering any individuals with the Bank's card or account. The programme now has a revised principle for cashback accruals, six loyalty options merged into one, and three types of loyalty currencies converted into multibonus points.

The updated programme offers a simpler system for rewards accruals, with a single loyalty option used instead of the six (Collection, Travel, Cashback, Savings, Borrower, and Investment). The option is designed to award bonus points for purchases made with the Bank's cards in three most popular categories. Mass market customers earn bonus points totalling 2% per purchase at supermarkets, restaurants and cafés, including food and ready-to-eat meals delivery services, and per card payment in both urban and suburban public transport and the taxi. The Privilege package holders are awarded 3% per purchase in these categories. The Prime segment customers receive a 4% cashback on spending at footwear and clothing stores, supermarkets and restaurants. In addition, the Bank offers all its cardholders a higher cashback at partner stores, up to 50% if using the loyalty programme app.

When switching to the new terms, the programme saved all available collected bonus points, miles and bonus roubles and converted them into multibonus points at a 1:1 rate.

In addition, Multibonus improved the system of bonus points accruals as part of the updated loyalty programme. Now the Bank's cardholders receive multibonus points on card transactions within a few (up to five) days from the date of the purchase.

In October, the Bank launched a multibonus converter which allows exchanging multibonus points for roubles at a 1:0.85 rate and credit them to the customer's account.

With over five million active VTB customers connected to the updated loyalty programme as at the end of 2022, the Bank accrued a total of almost 20 billion bonus points in the reporting period. The customers exchanged more than half of the points for products in the Multibonus catalogue.



MULTIBONUS LOYALTY PROGRAMME

- over 5 million customers connected to the updated loyalty programme;
- about 20 billion bonus points accrued to the loyalty programme customers for transactions in the top categories;
- about 13 billion bonus points exchanged for products in the Multibonus catalogue by the programme customers;
- 43% increase in the number of items in the programme catalogue up to 420 thousand products offered to the programme customers to exchange their multibonus points for.

In 2022, the Bank significantly expanded its loyalty programme catalogue, with the number of active partners exceeding 110. The catalogue has a much wider pool of categories and now includes clothing and footwear, jewellery and food products.

RUB
768
BILLION

PORTFOLIO OF VTB CUSTOMERS TRANSFERRED TO A THIRD-PARTY BROKER TO MITIGATE RISKS

As part of the efforts to reduce sanction risks for the Bank's customers, VTB transferred over 411 thousand brokerage agreements with 362 thousand individual customers with aggregate assets worth RUB 480 billion to a third-party broker. In addition to that, the portfolios of foreign securities owned by 101 thousand unique customers worth a total of RUB 288 billion were transferred to a third-party depository. As a result, the total portfolio of customer funds transferred to third parties came in at RUB 768 billion.

During the year, the Bank sought to restore its rouble-denominated assets, attracting RUB 55 billion in funds and entering into 40 thousand new brokerage agreements.

In 3Q 2022, VTB resumed regular offerings of its structural bonds. In 2022, structural bond sales amounted to RUB 12.3 billion.

Also, in 4Q 2022 the Bank successfully completed the offering of securitised bonds issued by SFO VTB RKS Etalon, with the amount of subscriptions from retail customers reaching RUB 3.4 billion.

Amid strong volatility in the financial markets in 2022, the Bank's customers showed keen interest in real estate investments. In 2022, sales of closed-end mutual real estate funds amounted to RUB 1.3 billion.

For more details on the performance of the Brokerage Department, see Corporate Investment Business.

32
TONNS
OF GOLD

IN BARS ISSUED
IN 2022

>122
THOUSAND.

OF MIR CARDS
ISSUED

SERVICES FOR HIGH-NET-WORTH CUSTOMERS

VTB Private Banking in 2022

In the new context of 2022, the Bank's high-net-worth customers significantly reviewed their needs. In response to that, VTB within the shortest possible period offered such customers best-in-class product solutions that meet their financial and business needs, including:

1. the Bank was among the first ones to launch Gold in Bars, a new investment product. In 2022, VTB sold 32 tonnes of gold, with the total number of transactions exceeding 2.65 thousand;
2. Investment Diamonds, new unique product launched jointly with ALROSA;
3. Mir Supreme cards were made available to Privilege and Prime customers. In 2022, the Bank issued over 122 thousand Mir Supreme cards;
4. a new Prime Credit Card with a grace period of up to 110 days and a credit limit of up to RUB 5 million was made available to VIP clients;
5. Advisory Light, a service offering investment recommendations by certified financial advisers;
6. the Internet bank now offers Prime and Privilege customers a Digital Service Package, which displays the list of services available as part of the approved service package and a detailed description of every service. The Bank also introduced a service called Display of Free of Charge Access Criteria in the Mobile App under the Privilege-MK Service Package;
7. VTB launched an updated loyalty programme, which offers increased reward accruals in three most popular categories with no minimum card turnover or balance requirements:
 - Privilege – 3% in the Transport and Taxi, Restaurants and Cafés, and Supermarkets categories;
 - Prime – 4% in the Clothes and Footwear, Restaurants and Cafés, and Supermarkets categories;
9. jointly with the national payment system, VTB launched Mir Pass, a service granting access to over 100 business lounges in Russia and abroad.
10. Launched a customer service model with assets from RUB 15 million with dedicated personal financial managers. During 2022 12,904 clients transferred from Privilege and Bulk segments to the target model.

One of the contributions to increased loyalty and reduced capital outflow was regular meeting of Andrey Kostin with key VIP clients, which united more than 260 large private investors. Offer of current products and services in the major cities of the regional network became possible thanks to the expert project “Business Navigator”, in which more than 30 events were organized throughout the network from Vladivostok to Kaliningrad with the participation of heads of product lines and over 1600 wealthy investors. Events and media projects on leading federal forums of the Roscongress Foundation in partnership with RBC TV (business breakfasts with live broadcast to the entire wealthy segment and a series of interviews with the heads of large companies “VEF-live”) provided

formation of own investment expertise and satisfaction customer requests for a comprehensive analytical review of markets and timely advice.

Given the changes in the regulatory framework in Russia and foreign jurisdictions, in 2022 the interest of VIP clients in alternative real estate investment. Increased demand for family services financial office, such as legal support for restructuring portfolios and “Tax checkup”, which provides a comprehensive analysis of the tax burden on the current structure of asset ownership and their succession, taking into account the new rules of taxation.

The development of educational projects was facilitated by the strengthening of partnerships

with MGIMO. With the support of the Bank, a joint event was held with the Faculty of International Business, dedicated to the 30th anniversary of the Faculty, and the Mentor of the Year Award, inviting over 100 wealthy clients. Maintaining an honest dialogue with customers and information support systemic changes were ensured as the achievement of planned business indicators, and the development of the Private Banking and VTB Privilege brands. Estimated expert community, the wealthy segment of VTB demonstrated high level of service, professional expertise in terms of investment and savings solutions, a developed financial and legal family office ecosystem.



PRIVATE BANKING AWARDS IN 2022

Wealth Navigator Awards:

- leading bank for high-net-worth and top affluent customers;
- best awareness-raising solution for customers in the segment of private banking and wealth management;
- multi-family office of the year in the segment of private banking and wealth management (Family Office).

Russian Global Citizen Awards – Best Russian Multi-Family Office (Family Office of PB VTB).

Fin Award (12th edition of the Annual Awards for Innovations and Achievements in the Financial Industry):

- Business Navigator, an effective marketing solution for high-net-worth customers;
- excellent customer service and professional expertise in private banking;
- family wealth management.



HIGHLIGHTS OF THE HIGH-NET-WORTH SEGMENT IN 2022:

- the number of customers rose by 28.5 thousand to reach 770 thousand;
- rouble-denominated liabilities grew by 37% to RUB 2.8 trillion;
- the volume of yuan-denominated funds increased significantly, reaching RUB 85 billion (rouble equivalent);
- the portfolio of impersonal metal accounts and gold in custody expanded by 40% to RUB 64.5 billion.

RETAIL BUSINESS DIGITAL PROJECTS

VTB Online



ACTIVE USERS OF
VTB ONLINE (MAU)

In the reporting period, the number of active users (MAU) in the VTB Online app reached 12.5 million. VTB continues to develop VTB Online capabilities for non-customers: as of the end of 2022, over 1 million users registered in the guest section of the mobile app and were granted access to some of the Bank’s products and services without prior authorisation through personal account.

In 2022, VTB Online switched to a microservice architecture to make its online banking services more reliable and manageable. The Bank also implemented capabilities for the simultaneous development of new products, thus improving its time-to-market metrics.

The Internet bank enables customers to access their VTB Online account through a web browser, which in 2022 became a pressing necessity for many users, especially owners of iOS devices. Based on the existing PWA technology, the Bank fine-tuned its access functionality to allow quick log-in directly from the mobile device desktop. VTB was the first market player to add biometric recognition and QR code payment features to its Internet bank.

Moreover, VTB Online gave its users an opportunity to change their personal information online without having to go to a bank office. Now customers can easily change their trusted phone number and email, and update their individual insurance account number, individual taxpayer number, and passport details through the Public Services portal. In 2022, the Bank’s customers used this option more than 500 thousand times.

VTB Online also upgraded its chatbot, with its design and settings becoming more flexible and powerful. Now customers can enjoy new features such as an ATM map and route builder, traffic fine payments, and shortcut menu for quick transfers and mobile phone top-ups. In 2022, the chatbot independently handled 19 million requests and garnered over 1.2 million excellent reviews from the users.

The Bank’s voice assistant is now compatible with devices equipped with Alice, a voice-controlled assistant from Yandex. VTB’s assistant does not only provide additional information on the Bank’s products and services but also helps users top up their mobile phones and pay traffic fines through voice commands. The assistant also remains available in the VTB Online app on Android devices, as it continues to expand the knowledge bank for further consultations and to increase the number of customer options. It helps users pay traffic fines, transfer funds through the Faster Payments System and between own accounts, top up mobile phones, and open new savings accounts.

VTB.Tips

VTB.Tips helps service professionals and businesses quickly switch to safe QR code tipping. The solution can be used for both individual and group tipping, with a convenient splitting method and no fee charged. In 2022, VTB introduced tipping through the Faster Payments System as a way to replace the traditional pay services that had withdrawn from the Russian market. The Bank was also the first one to add the option of paying through Mir Pay, a feature that enjoys enormous popularity among consumers.

Payments

In 2022, the number of payment transactions in VTB Online increased by 22%, reaching 164 million. The total amount of payments was RUB 1.8 RUB trillion, up 40% year-on-year.

In December 2022, the number of customers who made at least one payment through VTB Online over the past 90 days came in at 6.4 million, including 4.8 million customers who used the payment service on a monthly basis. This number was 10% higher than in 2021.

In 2022, the number of service providers available through VTB Online grew by 24%, reaching 45.8 thousand.

Transfers

For several years running, VTB has been demonstrating record high growth rates in money transfers. 2022 was no exception. In the reporting period, the total volume of transfers through VTB Online increased by RUB 1 trillion, reaching RUB 2.9 trillion. The number of transfers was 432 million, an increase of 78%. MAU grew to 7 million, up 9% year-on-year.

In 2022, the Bank unveiled new popular services such as cross-border transfers by phone number, cross-border transfers to the cards of national payment systems, and transfers in national currencies using bank details. During the year, VTB was active promoting transfers via the Faster Payments System among individuals by enhancing their user experience and increasing limits.

REPAYMENT ARRANGEMENTS

The Bank is continuously embracing new tools to offer customers in difficult financial and life situations options to repay overdue debts and return to a comfortable repayment schedule they have got used to. In 2022, the Bank helped more than 1.6 million retail customers to stay on track with their loan repayment schedules. That accounts for 95% of total number of borrowers facing financial difficulties last year.

This outstanding result was achieved thanks to, among other things, our principle to help rather than claim repayment, which testifies to our commitment to a sociocentric approach to engagement with borrowers throughout the loan life cycle. The Bank's team regularly assesses customer service quality, introduces new support tools and improves the existing debt strategies and related services. This approach has a positive economic benefit for the Bank as it allows us to keep our customers loyal.

To minimise late payment, we use pre-approved loan offers. With an AI-based scoring model in place, we can identify customers in need for help. The model takes into account a large number of factors such as repayment discipline, income, loan term, etc. Following the analysis of these factors, the Bank can make personalised offers, such as a lower monthly interest rate, for example.

To demonstrate its commitment to socially important practices to its customers, investors and any third parties, in 2022 the Bank developed a policy on customers with overdue retail debt. The document outlines the core principles the Bank follows when working with overdue loans – prevention of payment delinquency and debt settlement with the customer at early stages. The policy is available in the Sustainable Development section on the Bank's website at <https://www.vtb.com/ir/sustainability/>.

Besides debt settlement, the Bank offers support to its customers facing challenging life events such as the death of a close relative. In 2022, we launched a centralised remote (call) service to advise lawful heirs on all our retail business products. A one of a kind in the market, the service provides a one-stop shop for lawful heirs seeking information about inheritance of bank products and general legal advice on inheritance. It proved particularly useful for our customers who are lawful heirs, which translated into a further expansion of the Bank's customer base and overall improvement of its products.

DEVELOPMENT OF SPECIAL SEGMENTS AND PROJECTS

Youth

The youth, which falls into the broader mass-market segment, is a key target group for the Bank and is of great importance for the future development of VTB's business. The Bank has been working actively to attract young customers. In 2022, the customer base in this segment grew by more than 8% compared to the results reported as of the end of 2021. The Bank has almost 2 million 18–25 year-old customers, with the youth accounting for over 11% of its active customer base. In 2022, we continued with our pilot projects to provide lending in this segment via credit cards and loans, ran a series of targeted campaigns to boost youth engagement, and launched collaborations with partners popular among the youth.

Pensioners

In 2022, the number of customers using VTB cards to receive pension payments increased by 1.5x to over 1 million. Total pension payments credited to customers' accounts with VTB exceeded RUB 200 billion last year.

In 2022, the Bank continued its support for the elderly people:

- as part of its financial aid programme, the Bank paid compensation to pensioners redirecting their pension payments to VTB;
- VTB was the first in the market to launch a service enabling customers to activate the option to receive pension payments via a call to the contact centre. To use the service, the customer needs a bank account with VTB and an active Public Services account;



- the Bank offered special terms on deposits to those who chose to receive pension payments to accounts with VTB by increasing interest by 1 p.p. Almost 15 thousand people benefited from this offer;
- the Bank does not charge a fee to its elderly customers for payment of utility bills online or via ATMs, or cash withdrawal at ATMs of any banks. In addition, elderly customers benefit from monthly interest on the balance they hold in their bank card accounts, as well as free fraud protection insurance for balances on their accounts;
- to raise financial literacy among pensioners, the Bank and the Moscow Longevity Centres organised special training.

Insurance

In 2022, VTB developed and launched unique products for digital sales channels..

Home and Property Insurance

Home and Property Insurance is a customisable product that can be adapted to specific needs to create a personalised offer for flat or country house insurance based on the Bank’s knowledge of the customer. The sum insured limit (property value) is calculated depending on the type of the customer’s bank products, which reflect the customer’s social status and needs. The customer is free to change the product value by modifying its parameters. This is what makes the product unique and tailored to the customer’s individual needs. The customer journey for this product is fully digital – the insurance policy can be accessed directly from VTB Online, there is no need to visit the Bank’s branch and provide access to the insured property for inspection. If the insured event occurs, all the customer needs is to remotely contact the insurer by any messenger and send pictures of the damaged property.

Critical Illness Insurance

This is a socially important product created to help our customers in most serious conditions such as cancer, neurological or heart diseases. If diagnosed with the condition, the customer can receive free treatment in Russia or abroad (Israel, Spain, Turkey, South Korea). The policy covers all costs, including the cost of flight (including the business class option) and accommodation during the treatment period, as well as visa, meals, nursing aid, etc. The sum insured (up to RUB 125 million) is sufficient to pay for the most complex medical procedures at expensive foreign hospitals. If there is a need for bone marrow transplantation, the insurance will cover for the cost of finding and activating the matching donor, as well as the transplantation surgery. Psychological support and rehabilitation will also be provided. A single insurance policy can be purchased for a family – spouses and all heir minor children.

Social benefits

VTB launched a range of social (free for customers) products:

- free child insurance covering critical illnesses (cancer and heart diseases). The plan is available to all customers who receive social payments to their Mir card accounts. The policy can be activated online. The product was developed together with Pulse Insurance Company and MDMG. It was ranked first in the Best Social Product category at Finawards 2022 and second in the Responsible Business category at the regional stage of the We Are Together international prize awards.

- the Children’s Camp insurance plan with free child personal accident cover during the camp holidays for all children of the customers who paid for summer camp holidays with VTB’s Mir card;
- the Autumn Holiday Cashback insurance plan with free personal accident cover for all the persons going on holiday. The offer is available to the customers who paid for their holiday in Russia with VTB’s Mir card. In 2022, more than 18,000 customers were insured under this plan.

Public services at VTB Bank

VTB is a fully-fledged member of the public social care system



In 2022, average social benefits credited to individuals’ accounts with the Bank doubled to reach RUB 5 billion. As of December 2022, number of customers who receive social payments to their accounts with the Bank increased by 50% to 415 thousand.

The Bank has been shaping and actively promoting the social responsibility agenda since 2021. For the last two years, we launched more than ten solutions, products and services aimed at public support, including:

- subsidised family mortgage;
- a VTB Online service for mortgage repayment from funds drawn down from the government financial support for families with two or more children;
- a VTB Online service for simplified property tax refund;
- a service for account registration at the Public Services portal;
- a service to apply for pension payments and change the pension type;
- services to pay for schools and kindergartens and utility bills fee-free;
- special fraud protection insurance for pensioners;
- insurance plans for children’s and family holiday;
- free critical illness insurance for children.

The above services provided the basis for creating a new family capital strategy aimed at targeted support for Russian people. The family capital strategy combines projects that meet customers’ needs throughout the family life cycle, from the child’s birth to pension payments. The new strategy will be at the core of the Bank’s social policy in the years ahead.

In 2022, the Bank was the first in the market to offer its customers an option to add their single social account details to their personal profile at the Public Services portal to receive social benefits they are entitled to depending on their life situation. All the customer needs to do is just to click on VTB’s icon and the relevant account details will be populated automatically. In 2022, 60 thousand people picked an account with VTB as the single social account to receive social payments from the government, with the Bank’s share standing at 9%. VTB’s share in the increase in number of social accounts in December 2022 was 19%.

In December 2022, we launched Social Calculator, a new VTB Online service to help people navigate through a long list of public support measures. Social Calculator asks the customer a few questions before providing an overview of federal social support measures available to the customer and helps apply for some of them by automatically populating the fields. The service also offers the customer relevant bank product and services such as a bankcard or insurance for children.

Like the year before, as part of its social mission, the Bank placed particular emphasis on financial aid for families with children.

From 1 April to 31 December 2022, VTB ran a campaign, offering extra RUB 2,000 on the first payment of children's allowances to a VTB Mir Multicard. As part of the campaign, more than 115 thousand families across Russia received additional financial aid from the Bank.

To provide support during children's and family holidays, in 2022, the Bank offered free injury insurance to over 50 thousand children valid for the duration of their stay in summer recreation camps. Total insurance payments to families that had paid for the summer camp bookings with VTB Mir card amounted to over RUB 1 million. The Bank also offered free personal accident cover to all family members valid for the duration of their holiday in Russia. The offer was available to the customers who booked their holiday in autumn 2022 under the government tourist VTB Mir card cashback programme.

The Bank provided free fraud protection insurance to all customers receiving federal children's allowances to VTB Mir cards (a total of over 270 thousand people) and free cancer insurance for children.

Customers receiving children's allowances to their accounts with VTB were able to benefit from free child cancer insurance, under which all 0–18 year-old children of the customer got cancer cover on a no fee basis. The insurance plan covered costs of finding the donor and bone marrow transplantation surgery, as well as all medication expenses. On 1 September 2022, the plan was amended to include coverage for heart diseases and renamed to the Child Critical Illness Insurance plan. The plan is unique and stands out from other products available in the market as it also covers children suffering from congenital heart diseases. More than 50 thousand children from all over Russia have already been insured under the plan.

For one year and a half of its existence, the child critical illness insurance (child cancer insurance) plan has been named the best social project of the year by the Retail Finance Awards 2021, Investment Leaders Awards 2021, Digital Leaders Award 2021, Best Social Project in Russia 2021, and Finaward 2022. It also won a special prize for the Innovative Methods as the Best Programme Facilitating the Achievement of the UN Sustainable Development Goals to Ensure Healthy Lives and Promote Well-being for All by the Leaders of Corporate Charity 2022 awards.

In 2022, the Bank also won the Retail Finance Awards 2022 in the Best Social Project category for its activities to provide comprehensive social support to families with children and vulnerable groups via simplified access to digitalised public services.

We continue to develop instruments unlocking access for Russian people to public services via bank channels. In doing so, VTB creates a reliable infrastructure to ensure unimpeded interaction between its customers and public authorities, as well as between the Bank and the government.

In late 2021, the Bank was the first in the market to launch a one of a kind service enabling customers to apply for property tax deduction via VTB Online without the need for filling in a 3-NDFL tax return, visiting the tax inspectorate, or submitting the required documents in paper form. One year into its existence, the service

brought benefit to over 40 thousand customers. In 2022, the crediting of funds to people's accounts happened three times faster – the time when people receive funds was reduced from three months to one month.

Since its inception, the service enabling customers to benefit from simplified property tax deduction via mobile app and online bank has received a number of prestigious awards. Specifically, it received the Digital Leaders Award 2021 in the New Digital Idea of the Year category, earned the Grand Prix and the Special Prize from Roskachestvo at the BPM project of the Year Award 2022, and won the Best Innovation in Customer Experience category at the CX WORLD AWARDS 2022.

VTB pioneered the electronic notarial writ of execution service, which was launched in late December 2021. In 2022, more than 31 thousand notarial writs of execution were issued electronically via the service. The share of overdue debt collection through the service amounted to 50% of total debt collection. And in terms of time saved, it took a third less time to initiate enforcement proceedings.

To comply with Federal Law of the Russian Federation No. 377-FZ dated 7 October 2022 On Specific Aspects of Performance of Obligations under Credit (Loan) Agreements by Persons Mobilised into the Armed Forces of the Russian Federation, Persons Taking Part in the Special Military Operation and their Family Members and Amendments to Certain Russian Laws and Federal Law of the Russian Federation No. 603-FZ dated 29 December 2022 On Amending Certain Russia Laws, in late 2022, the Bank developed and deployed a service to verify with the Russian Federal Tax Service if a person was mobilised into the army, all in just one month. The service allows mobilised customers and their close relatives to benefit from repayment holidays on active credit products in accordance with the Russian laws. It also protects customers from levy of execution on their property under writs of execution for the entire term of mobilisation without the need for providing the Bank supporting documents in paper form.

BRANCH NETWORK

As of 31 December 2022, VTB's network including the consolidated Otkritie Bank comprised 1,726 structural units, 1,691 of which provide financial services to individuals and legal entities.

In 2022, VTB continued to build its core network by introducing a new concept at its best-performing and most popular branches. The new concept relies on three principles:

- focus on customers and their needs;
- a versatile service model;
- an eco-friendly infrastructure.

In line with the new concept, VTB consolidated the first major offices in Moscow and Rostov-on-Don and opened 12 new ones to reach out to more customers that have access to banking services. The Bank completed 54 projects to streamline the existing network and closed down 86 non-performing points of sale, cutting maintenance costs by RUB 0.4 billion per year with no negative effect on business. This was possible due to an innovative format of relocated offices and new points of sale, among other things.

Opened in March 2022, the Rostov-on-Don office proves the efficiency of such format, with over 350 customers serviced per day and 98% of them giving positive feedback on their experience. The financial performance of its employees soared by 46% against comparable old-concept offices.

In late October 2022, inspired by the success of the Rostov-on-Don office, the Bank launched a multi-format branch in the Moscow International Business Centre. The largest of its kind in Moscow, it boasts an area of over 2,000 m² and a team of some 100 employees across all business lines serving 20% more clients than the network average. The new flagship office consolidated the operations of five sales points at once, surpassing them in infrastructure efficiency by 1.5 times.

On top of that, VTB changed the service model and layout of the office space to make personal meetings with managers more convenient. Offices have no fixed workplaces separating customers and managers, with managers now acting as financial experts.

As of the end of 2022, the Bank's regional network comprised 1,321 offices (of which 88 are new-format ones) in 79 Russian regions and 486 cities and towns, including:

- 586 universal offices for both retail and corporate customers;
- 647 retail offices for individuals, including high-net-worth and premium segments;
- 59 corporate offices for legal entities;
- 10 dedicated cash operation units;
- 19 support offices; 8 basic branches and 11 auxiliary branches.

To streamline business and raise service quality, VTB keeps working to build a network of cutting-edge hi-tech offices. Our offices gradually migrate to cashless service, while also providing customers with other opportunities to manage their accounts round the clock. No tellers in offices does not mean cash transactions are impossible as tellers were long ago replaced by self-service terminals and increasingly popular online channels.

The Bank put in place a model to introduce uniform office management standards across its regional network, which ensures a comprehensive approach to repairs, removal of unused equipment and furniture and increase in office heads' engagement in alignment with standards.

SELF-SERVICE TERMINALS

VTB has one of the largest self-service networks in Russia with over 14.4 thousand ATMs of its own and over 9.3 thousand partner ATMs.

To further develop its self-service network, the Bank took the following steps in 2022:

1. streamlined the network and upgraded 9% of ATMs (1.3 thousand new ATMs installed). The continuous ATM upgrade seeks to improve the experience of both VTB's and other banks' customers;
2. increased the number of ATMs in the Moscow Metro. As of the end of 2022, 360 VTB self-service terminals operated at 190 stations, servicing an average of 3 thousand transactions per day;



3. expanded ATM functions:
- contactless ATMs (NCF, mobile phone) increased by 74%;
 - introduced cash depositing and withdrawals using QR-codes to enable cardless transactions via a mobile app;
 - implemented a joint project with Sports Lotteries to pay winnings via ATMs.

PENSION BUSINESS

VTB Pension Fund is a fast-growing non-state pension fund and one of the leading players in the Russian market. The Fund provides a full range of services for compulsory pension insurance and non-state retirement benefits, including corporate pension programmes.

88
NEW-FORMAT
OFFICES

>14.4
THOUSAND

VTB ATMS
>9.3 THOUSAND
PARTNER ATMS

RUB 329 billion

VTB PENSION BUSINESS' ASSETS

RUB 297 billion

PENSION SAVINGS

3.1 million

CUSTOMERS OF
VTB PENSION FUND

+3%

YEAR-ON-YEAR

The Fund is a member of the National Association of Non-state Funds (NAPF). It plays an active role in the work of specialised committees and commissions of the State Duma, Ministry of Finance and the Bank of Russia to develop the legislative and regulatory framework for non-state pension funds.

In 2022, the pension business's assets amounted to RUB 329 billion, while its savings under compulsory pension insurance increased by 3% year-on-year to RUB 297.4 billion. The amount of pension reserves under non-state coverage stood at RUB 27.8 billion, up 24% year-on-year. The number of customers who signed non-state pension agreements with VTB Pension Fund grew by 25% to exceed 157 thousand.

In 2022, the share of customers who actively topped up their accounts via online channels went up 19% year-on-year. All in all, such customers made over 14.5 thousand online contributions worth some RUB 309 million under non-state retirement plans, with RUB 225 million or 73% arriving via the Faster Payments System. Payments under non-state pension plans more than tripled year-on-year to RUB 3.3 billion.

VTB Pension Fund pursues a balanced investment policy to preserve and increase customer funds through an optimal combination of returns and investment security.

The accumulated yield on non-state pension savings credited by the Fund from 2013 to 2022 to customer accounts as part of a balanced investment portfolio was 83.97%, with an average annual yield of 6.29%. For a conservative investment portfolio, this figure stood at 77.82%, with an average annual yield of 5.93%.

In 2022, the accumulated yield credited to non-state pension accounts as part of balanced, conservative and corporate investment portfolios was 4.90%, 9.03% and 6.62%, respectively.

The accumulated yield on compulsory pension insurance credited by the Fund to the insured's accounts over the last ten years was 86.87%, with an average annual yield of 6.45%.

In 2022, the yield on pension insurance savings credited to the insured's accounts at the Fund was 3.58%.

At the end of the reporting period, the Fund serviced 3.1 million customers and was the fourth non-state pension fund in terms of pension savings.

In March 2022, Expert RA rating agency confirmed the Fund's rating of ruAAA (the highest level of creditworthiness / financial reliability / financial stability). The Fund has had the highest-possible financial reliability rating since 2012.

In December 2022, the National Rating Agency assigned the Fund a non-credit rating of AAA [ru.pf] (the best-possible reliability and service quality on the national scale for non-state pension funds).

VTB Pension Fund is expanding its services to make its online interactions with customers more effective.

In January 2022, they were able to use the Faster Payments System to top up their pension saving accounts. The use of QR codes for this purpose is available under non-state pension plans. August 2022 saw the Fund add Yandex Pay to its payment services, which allows for bankcard transactions without entering the details, thus saving considerable time.

On top of that, the Bank upgraded the personal accounts of individuals by improving the interface and shortening customer journey. Personal accounts make it possible to file an application to change an investment portfolio, ask for an agreement copy and view data on recurrent payments.

There is also a personal account for successors to compulsory pension insurance plans, where they can track the status of applications for pension savings payments. Corporate pension agreements with the Funds can now be signed online.

To boost customer loyalty, the Bank launched Telegram and Viber chatbots answering FAQs.

In 2022, VTB Pension Fund enabled individuals to sign non-state pension agreements in the mobile banks of Post Bank and VTB My Investments. The Fund also introduced new channels to promote non-state pension plans among VTB Bank self-employed customers and RNCB customers.

RUB
3.3
BILLION

NON-STATE PENSION
PAYMENTS

UP MORE THAN
3x
COMPARED WITH 2021

1.6. Risk Management

Risk Management Policy, Organisation and Structure

RISK MANAGEMENT AT THE GROUP LEVEL

The most significant types of risks to which VTB Group is exposed:

- credit risk;
- operational risk;
- country (political) risk;
- market risk;
- liquidity risk;
- individual subtypes of concentration risk.

Key elements of the risk management process:

- identification, assessment and monitoring;
- control over the size, structure and concentration of risks;
- identification of effective measures to optimise and minimise risks;
- regular risk reporting.

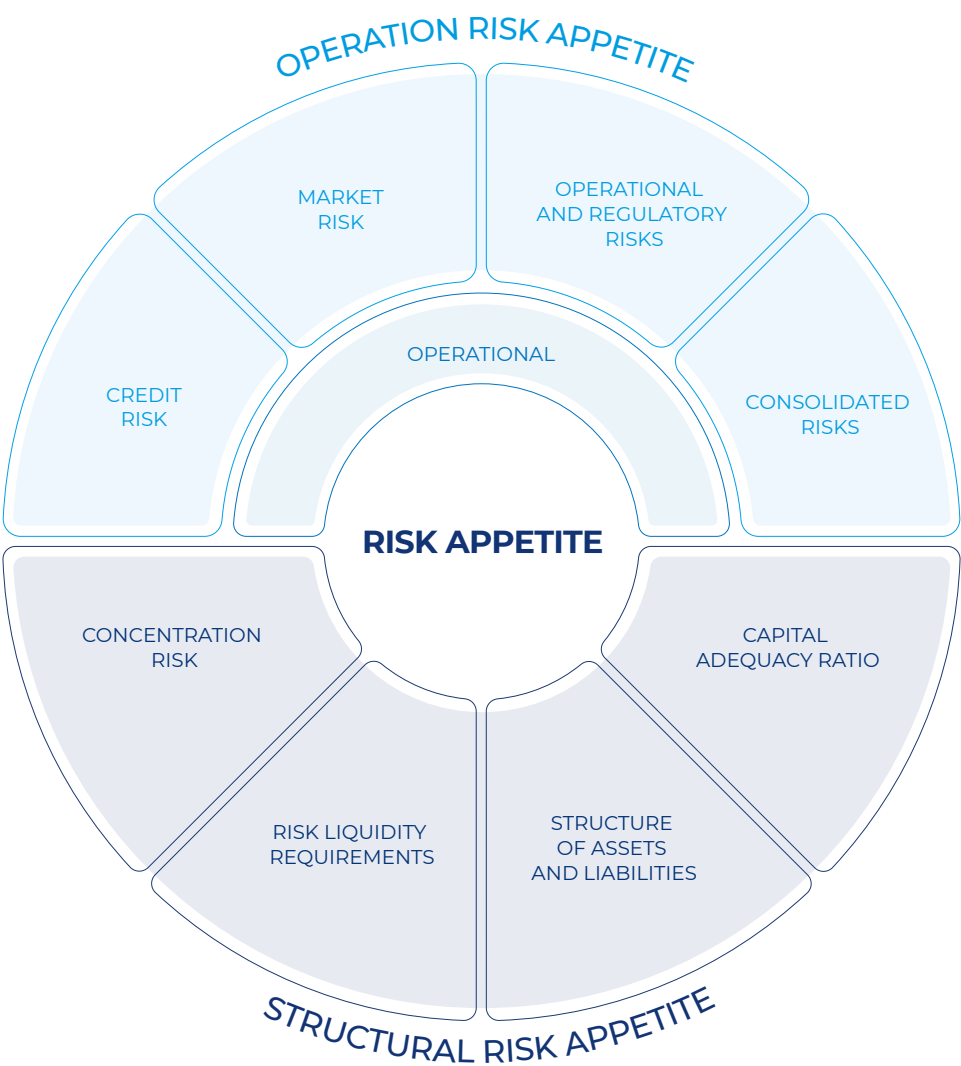
One of VTB Group's key principles of risk management is to take the Group's risk appetite into account when managing its activities. Risk appetite is determined in accordance with regulatory requirements and best practices. This approach involves the identification and oversight of the target risk level and risk profile in accordance with the strategic objectives and the integration of risk appetite into business planning and risk management procedures.

The Group's risk appetite is based on quantitative and qualitative indicators. It is approved by the Supervisory Council as part of the Risk and Capital Management Strategy.

The qualitative indicators are a set of statements about the acceptable level of risk to ensure the Group's sustainable development serving as guidance for the quantitative indicators.

The quantitative indicators of risk appetite are set for the following risk types – credit, market, operational and regulatory (compliance), liquidity and concentration risks, as well as aggregated risk categories such as consolidated risk-related losses, assets and liabilities structure and capital adequacy.

VTB Group has established a procedure for monitoring risk appetite and guidance in case of a violation of risk appetite reference values.



Key principles of the Group's risk management system:

- compliance with legal and other mandatory requirements;
- transparency of risk-associated activities for shareholders, investors, and other stakeholders, and respect for their interests;
- risk analysis and management on a consolidated basis covering all of the Group's Russian and foreign banks, as well as its key financial companies;
- optimal distribution of risks within the Group;
- minimising exposure and potential losses from risks in the markets where the Group operates;
- development of a risk management culture within the Group's companies, including by improving employees' skills in terms of identifying and preventing potential risks and losses in their areas of responsibility;
- sufficient resource for the risk management function;
- application of modern methods for assessing and monitoring risks and use of automated risk management systems based on industry best practices.

The Group's risk management system has a tiered structure, which includes consolidated (Group-level) and local risk management levels. It is based on regulatory requirements. Departments of technology and business units (Corporate Investment Business, Medium and Small Business, and Retail Business) are profiled by risk type. The system also takes into account other requirements for the effective organisation of internal processes. It is coordinated by the Group's dedicated Risk Competence centres.

The standard organisational structure of the Group's banks and financial companies includes an independent risk assessment and control unit that corresponds to the appropriate risk profile, specific features and scale of the business. Each Group company or bank has a senior executive responsible for comprehensive risk management.

The organisational structure of risk management within VTB Group includes:

- Group-level collective bodies;
- headquarters;
- governing bodies;
- dedicated collective bodies (committees); and
- structural units / authorised persons of the Group companies.

The Group continuously oversees the organisation of risk management and risk management policy within the Group's companies, primarily through corporate governance (including in the form of VTB Bank representatives on subsidiaries' supervisory councils / boards of directors), as well as through the Group's Risk Competence centres. For instance, key risk management internal regulations of subsidiaries are approved by their governing bodies based on feedback from the Risk Competence centres.

As part of the development of internal procedures for assessing capital adequacy, the following results have been achieved:

- sustained compliance with regulatory capital requirements established by the Bank of Russia. compliance with regulatory standards was ensured thanks to the Bank of Russia's support measures;
- compliance with capital adequacy targets;
- compliance with the targets in terms of capital structure, adequacy, and distribution by type of significant risks and area of business;
- establishment of a system to control significant risks that ensures the required level of risk monitoring in different areas of business and early warning when approaching reference values;
- close attention to data integrity and quality as a means of improving efficiency of internal procedures for assessing capital adequacy;
- capital planning and capital adequacy monitoring, which take into account the results of multiple situational stress testing.

Risk management at the VTB Bank level

The Bank's main internal regulations specifying key principles of, and approaches to, the organisation and development of its risk management system (including subsidiaries covered by the Group's consolidated risk management):

- VTB Bank's Regulation on Risk Management System developed in line with the Methodological Guidelines of the Russian Government and approved by the Supervisory Council (Minutes No. 14 dated 5 November 2020);
- VTB Bank's Risk and Capital Management Strategy and the Procedure for Managing VTB Bank's Most Significant Risks developed in accordance with the regulatory requirements of the Bank of Russia. They are subject to revision and update at least once a year.

In 2022, new versions of VTB Bank's Risk and Capital Management Strategy and the Procedure for Managing VTB Bank's Most Significant Risks were approved by resolution of the Bank's Supervisory Council (Minutes No. 14 dated 25 October 2022).

Main strategic objectives in risk management:

- minimise potential financial losses (lost revenues) from exposure to risks faced by the Bank's operations;
- ensure financial strength and long-term sustainable growth for the Bank in accordance with the strategic objectives specified by the Supervisory Council.

VTB Bank's Development Strategy seeks to create an integrated risk management system that corresponds to the nature and scale of the Bank's operations and risk profile and is aligned with the economic environment and the Bank's business development needs.

The Bank's risk management function is developed and improved in accordance with regulatory requirements and recommendations of the Bank of Russia, as well as best practices.

Structure of VTB Bank's risk management system:

- the Supervisory Council and the Bank's executive bodies;
- credit committees;
- Retail Risk Committee;
- Finance Committee;
- Credit and Market Risk Management Committee;
- Operational and Regulatory (Compliance) Risk Management Committee;
- other dedicated committees and structural units involved in risk management processes.

CREDIT RISK



Credit risk is the risk of the Bank (Group) incurring losses as a result of a counterparty's non-performance (improper performance) of its obligations to the Bank (Group companies).

Credit risk management at the Group level

Credit risk is managed both locally by VTB Group companies and at the Group (consolidated) level.

At the local level, VTB Group companies assume and manage credit risks independently (including through insurance and hedging), within their scope of authority and limits set for risk indicators, and in accordance with Russian laws. VTB Group companies are responsible for the results of their lending activities and the quality of their loan portfolios and also for monitoring and controlling credit risks associated with their portfolios.

The key elements of the Group's consolidated credit risk management include:

- developing and adopting uniform standards concerning credit procedures, decision-making processes, models and methods for managing credit risk to be used throughout the entire Group (including the methodology for assessing counterparties, pricing in credit operations, monitoring, provisioning, and stress testing);
- establishing limits and other restrictions within the Group (including consolidated limits on counterparties / groups of related counterparties, major transactions, countries, industry sectors);
- assessing the capital necessary to cover the Group's credit risks;
- maintaining a centralised database of the Group's borrowers, including those requiring particular attention;
- regular consolidated reporting on the Group's credit risk to the Group's governing bodies for review.

Consolidated risk management covers all key assets and off-balance sheet operations of the Group companies that assume credit risk and require control over concentration within the Group as a whole. For the purpose of consolidated control and reporting, the scope and range of such operations is determined by the Group's coordinating bodies.

In 2022, dedicated units within VTB Bank, including the Non-Core and Bad Assets Department and the Retail Debt Collection Department, were responsible for identifying, monitoring, and resolving issues of bad debt at the Group level.

In 2022, the corporate credit risks of subsidiary banks were managed by the Corporate Credit Risk Department. As the Group's Risk Competence centre for corporate credit risks, the Corporate Credit Risk Department is responsible for developing uniform approaches to, and methods of, managing corporate credit risks, evaluating them on a centralised and systematic basis and developing an optimal structure of corporate credit risk accepted by the Group, including its compliance with the Group's risk appetite.

In 2022, the Retail Credit Risk Department was responsible for the centralised management of retail risks at VTB Bank's subsidiary banks. Together with the Expertise and Fraud Monitoring Department and Underwriting Department, the Retail Credit Risk Department ensured expert monitoring of the credit procedure in terms of decision-making and controlled compliance with the limits on non-standard transactions. Retail Credit Risk Department is the Group's Risk Competence centre dealing with retail credit risks and responsible for developing uniform approaches to, and methods of, managing retail risks, evaluating them on a centralised and systematic basis and developing an optimal structure of retail risk accepted by the Group, including its compliance with the Group's risk appetite.

Credit risk management at the VTB Bank level

VTB Bank manages credit risk by:

- restricting credit risk through the Bank's existing system of limits, which comply with the Bank of Russia's mandatory regulations and other requirements;
- accepting collateral and insurance to cover credit risks, charging adequate fees for the credit risk and establishing provisions for losses on loans;
- controlling the level of credit risk assumed by the Bank for each counterparty by way of risk assessment, as well as regularly monitoring the credit portfolio, individual customers, transactions and collateral (including by ranking borrowers); and
- preventing credit risk at the loan application review stage and taking prompt measures when monitoring reveals credit risk factors.

The Bank applies the following main methods of credit risk assessment:

- determining a customer's level of credit capacity by analysing financial and non-financial indicators and conducting an expert assessment (in line with the Bank's internal procedures for customer ranking);
- employing scoring models and automated credit-related decision-making procedures, as well as verifying customer data using automated anti-fraud systems as part of retail credit risk assessment;
- estimating potential losses from credit risk as part of calculating and creating loss provisions (in line with the requirements of the Bank of Russia and IFRS);
- assessing capital adequacy and the scale of credit risk when calculating the required ratios established by the Bank of Russia;
- determining internal capital needs (economic capital calculation) for credit risk based on the actual quality of the loan portfolio (as required by the Bank of Russia)¹; and
- stress testing loan portfolio losses under different macroeconomic scenarios..

The main tool for credit risk monitoring and mitigation is the system of established credit limits.

1 Internal ratings-based approach..

The key types of credit risk limits are:

- limits on the level of risk associated with a particular counterparty (or a group of related counterparties), which comprise limits on operations with a counterparty (or a group of related counterparties), including sub-limits for various types of operations with a credit risk / designated purpose (credit limits, trade finance limits, limits on trading activities, limits on transactions with debt securities, etc.);
- limits on the concentration of credit risk (by industry, country, credit products, etc.);
- limits on expected losses on operations exposed to credit risk; and
- limits in accordance with the requirements (required ratios) of the Bank of Russia (limit on substantial credit risks, limit on borrower / group of related borrowers).

The Bank employs collateral to reduce credit risk.

Liquidity risk



Liquidity risk means the risk of losses in the form of Group company being unable to finance its operations, i.e. ensure asset growth and perform obligations as they become due without incurring losses in an amount that would be unacceptable for the financial stability of the Group / Group company.

Liquidity risk management at the Group level

The consolidated liquidity risk management involves VTB Bank’s Finance Committee, Treasury Department and the Market Risk Division of the Integrated Risk Management Department.

The Finance Committee reviews and approves regulations on liquidity risk management, adopts the methodology for assessing liquidity risks, sets internal requirements, limits and liquidity ratios, develops measures to achieve them and monitors their implementation.

Methods for controlling and mitigating liquidity risk include, inter alia:

- setting and monitoring internal liquidity ratios/requirements (including for the purposes of monitoring compliance with the required ratios established by the Bank of Russia / relevant internal risk appetite metrics);
- monitoring liquidity gaps calculated using the scenario analysis for different periods to identify disparities between receivables and payables;
- making and implementing decisions to manage assets and/or liabilities of the Bank/Group in order to maintain liquidity risk at a level that corresponds to internal and regulatory liquidity ratios.

Liquidity risk management at the VTB Bank level

Liquidity risk management comprises the following steps:

- identification;
- assessment and control; and
- mitigation.

Methods for controlling and mitigating liquidity risk include:

- monitoring liquidity gaps calculated using the scenario analysis for different periods to identify disparities between receivables and payables;
- making and implementing decisions to manage assets and / or liabilities of the Bank / Group in order to maintain liquidity risk at a level that corresponds to internal and regulatory liquidity ratios;
- monitoring key internal and external factors that may have a substantial effect on the Bank’s liquidity;
- monitoring restrictions on excess liquidity and concentration risks;
- setting (by resolutions of the Bank’s governing bodies in charge) limits / red flags for the risk of liquidity sources concentration / reference values for the liquidity sources concentration indicator of the Bank’s risk appetite and monitoring their implementation by the Bank’s unit in charge.

Market risks



Market risks are the risks of downward pressure on the financial results of the Bank / subsidiary / Group from an unfavourable change in the value of assets / liabilities (claims / obligations) of the Group affected by market indicators, i.e. risk factors (FX rates, interest rates, credit spreads, share prices, stock indices, etc.).

Based on the nature of the assumed market risks, activities of the Bank / dedicated subsidiaries are divided into trading book and bank book activities.

The quantitative indicators of market risk appetite of the Bank / Group are set by the Bank’s Supervisory Council as part of its resolution on key Bank and Group risk appetite parameters for a respective period, which are pre-reviewed (pre-approved) by the Bank’s Management Board. Proposals on the list and values of market risk appetite metrics by operation and business area are reviewed by VTB Bank’s Finance Committee based on materials prepared by the Integrated Risk Management Department as approved by the Finance Department.

The Regulation on the Procedure for Managing Market Risks enacted by VTB Bank Order No. 735 dated 21 April 2021 categorises operations based on the nature of assumed market risks and approaches to managing them, controls of limits and restrictions and response if they are exceeded. It also governs the reporting on the Bank’s / Group’s market risk.

Market risk assessment includes:

- assessment of the market risk of the trading book;
- assessment of the interest rate risk on the banking book operations sensitive to interest rate fluctuations;
- assessment of the currency risk of the banking book and trade book;
- assessment of financial result volatility of instruments in the revalued banking book portfolio.

Interest rate risk of the banking book

Interest rate risk of the banking book is the risk associated with changes in the money and debt market rates on sensitive positions in the banking book. Interest rate risk management includes:

- setting risk appetite for interest rate metrics (economic capital or net interest income sensitivity) both for the Group and Group companies;
- determining the procedure for setting credit interest rates and base interest rates for retail credit products;
- setting commissions for active operations and compensation spreads for active and passive operations to reduce / cover interest rate risks;
- initiating operations with interest rate derivatives to reduce the gap in timing and conditions between interest rates on assets and liabilities by currency.

Main parameters used to assess interest rate risk:

- economic capital to cover interest rate risk, measured by assessing reductions in the net current value of the Bank's interest rate in case of preset changes in the base yield curve;
- sensitivity of net interest income for a one-year horizon and net current value to a 100 bps rate change;
- sensitivity of net interest income for a one-year horizon and net current value to an unfavourable change in base yield curve under a stress scenario.

Currency risk of a structural open currency position

The Bank calculates economic capital to cover currency risk based on the current structural open currency position and a hypothetical stress scenario of changes in exchange rates. Stress scenarios are approved by the Bank's collective bodies. Currency risk is assessed on a regular basis.

The Bank also assesses currency risk using a Value-at-Risk (VaR) methodology that estimates the maximum potential negative impact on profit before tax resulting from changes in FX-denominated structural positions over a given holding period for a given confidence level.

The VaR methodology is a statistically defined probabilistic approach that takes into account market fluctuations and risk diversification by recognising offsetting

positions and correlations between products and markets. Risk can be assessed uniformly across all markets and products, and it is possible to aggregate risk levels to arrive at a unified metric.

The Bank's VaR model is based on historical data and factors in the interdependence of exchange rates.

The Russian rouble serves as the base (risk-free) presentation currency.

Market risk of trading operations

VTB Group is exposed to market risk through its trading book.

The trading book includes activities for the purpose of generating a profit from their revaluation or hedging of other trading operations, as well as their financial result. The key indicators for market risk assessment:

- to assess the risk of losses – stress-testing of trading book positions under moderate or crisis scenarios based on stress ratios approved by the Bank's authorised bodies;
- to assess volatility of the trading book financial result – VaR calculated by the historical modelling method with assumptions / parameters set for relevant instruments; and
- to assess accumulated actual losses on trading operations from the beginning of the calendar year – loss on the trading book (stop-loss) accumulated from the beginning of the year.

The level of accepted market risks on trading operations is monitored based on the internal system of limits defined in the Bank's / Group's internal regulations.

The Integrated Risk Management Department continuously monitors compliance of the market risk limits with the approved market risk appetite parameters and in case of changes in the market environment (higher volatility of risk factors, change in correlation between them, lower liquidity of certain instruments, etc.) submits proposals to the Finance Committee to adjust the limits so that they comply with the market risk appetite parameters.

Subsidiaries organise monitoring and controls for market risk levels based on the Group's standards, taking into account the requirements of the regulator and the risk profile of their operations.

Stress testing

Stress loss is the amount of loss that may be incurred by the Bank / Group under a sudden negative change (stress) in market risk factors. When estimating the loss on the occurrence of a stress scenario, risk of concentration to financial instruments is also taken into account.

Stress scenarios for changes in market risk factors and the methodology for stress testing market risks are determined by the relevant decisions of designated bodies. Stress testing scenarios are reviewed from time to time (at least once a year) and the results of the review of the scenarios are submitted to the designated bodies.

Stress limits are set for all trading book transactions. Limits can be broken down into sublimits by initiating unit and portfolio.

VaR is calculated on the basis of the following parameters:

- historical period – two years;
- forecasting horizon – one trading day;
- confidence level – 95%;
- method used – historical modelling.

OPERATIONAL RISK



Operational risk is the risk of direct and indirect losses resulting from deficiencies or errors in the Bank’s internal processes, actions of staff and other parties, failures and deficiencies in information, process and other systems, as well as external events. Legal risk, information security risk (including cyber risk) and information systems risk are parts of operational risk.

The operational risk management system identifies separate types of operational risk, the management procedures for which are within the responsibility of dedicated units.

To manage operational risk, the Bank has implemented the following unified mechanisms to identify, assess and monitor the level of operational risk:

- a centralised process to collect information on operational risk incidents and resulting losses;
- monitoring of key operational risk indicators, including control indicators for operational risk level;
- operational risk self-assessment;
- scenario analysis.

Before any new products (services) or systems are implemented, they are subject to mandatory analysis in order to identify operational risks in a timely manner.

Said mechanisms – operational risk management tools – are used for quantitative and qualitative assessment of the operational risk level.

Based on the results of the assessment, mitigating actions are developed and taken, and management reports are prepared.

The Bank uses the following methods to respond to operational risks:

- taking mitigating actions: developing and implementing the necessary corrective measures to reduce the negative impact of operational risk on the quality of processes and the gross total amount of losses from the materialisation of said risk;

- accepting risk: the Bank’s readiness to accept possible losses within the established limit subject to the limit control (risk acceptance is considered by the Bank’s designated body in line with the established procedure if the cost of measures to minimise operational risk, including risk control procedures, exceeds the Bank’s possible losses from the materialisation of operational risk and is economically inexpedient);
- avoiding risk: refusal to provide particular types of services or operations due to a high level of operational risk (used if measures to minimise risk do not appear to be economically feasible);
- transferring risk: the Bank’s operational risks are insured; the risk is transferred to another party – a counterparty and / or customer (used if the Bank is unable to manage the operational risk independently).

The Bank uses the following principal measures to reduce the negative impact of operational risk:

- changing processes;
- establishing additional forms (methods) of control;
- training employees, including those involved in processes;
- using automated solutions;
- identifying and assessing operational risks prior to implementing (developing) new activities, banking products, processes, or systems; and
- taking other measures to minimise the adverse impact of operational risk.

The main measures aimed at limiting losses from the materialisation of operational risk events include, among other things:

- setting thresholds for decision-making authority and establishing limits, overseeing the authority;
- developing plans to ensure the continuity and / or recovery of critical processes and the functioning of information systems, as well as plans to ensure the security and integrity of information systems and information; and
- insuring operational risks.

In 2022, the Bank proposed the following insurance programmes covering risks related to professional activities:

- insurance against crime (including cyber crime);
- liability insurance for directors, officers and companies; and
- insurance for money and valuables while in storage and during transit.

In addition, the Bank provides insurance against risks related to business activities (including buildings, equipment and vehicles) and civil liability.

Quantitative assessment measures the level of operational risk calculated using data on net losses from operational risk events, and includes:

- the amount of operational risk;
- the current risk appetite level;
- the capital required to cover losses from operational risk events determined in internal procedures for assessing capital adequacy (economic capital); and
- stress testing of operational risk conducted at least once a year as part of internal procedures for assessing capital adequacy.

In order to calculate economic capital to cover the operational risk, the Bank applies Standardised Measurement Approach recommended by the Basel Committee on Banking Supervision.

MODEL RISK



Model risk is the risk of errors in the processes of developing, verifying, adapting, accepting and applying the methods used in quantitative and qualitative models for assessing assets, risks and other indicators used in making management decisions. Model risk is a type of operational risk.

In order to ensure effective management of model risk, the model risk management function is assigned to a dedicated independent unit, the Model Risk and Validation Department, which regularly validates and analyses the effectiveness of models. In addition, it determines, together with the Integrated Risk Management Department, the level of model risk, which is taken into account when determining the Bank's capital adequacy in the context of internal procedures for assessing capital adequacy.

In model risk management, the Bank follows the principles of regularity, completeness, confidentiality, the distribution of responsibilities, the functioning of three lines of defence, as well as the principle of conservative analysis. The stage of evaluating (validating) the effectiveness of models stands out of other stages of the model life cycle. The Bank carries out regular (at least once a year) validation of significant models.

To ensure the identification of model risk, a consolidated register of models has been created and is updated on a regular basis, while the Bank's designated body regularly considers issues related to recognising models as significant based on the data in the register as well as other available information.

Quantitative assessment of model risk is carried out both in the context of operational risk management procedures and by the Model Risk and Validation Department in the context of each significant model, including during regular model validation procedures. Model and process risk ratios are aggregated in order to calculate the capital needed to cover the Bank's model risk. This is carried out annually in accordance with the Methodological Guidelines for the Calculation of Capital for Model Risk.

The standard methods for responding to model risk are complemented by a regulated procedure for making recommendations and instructions to the model owners / developers based on the results of a performance assessment. As a rule, the recommendations and instructions are aimed at:

- making changes to the model in order to improve its quality;
- improving the processes associated with the implementation and application of the model;
- improving IT systems;
- improving the quality, availability and completeness of data; and
- adding a conservative approach to the model (model results) to cover the model risk.

To oversee the effectiveness of the model risk management system, regular audits of the Bank's activities are carried out by an independent unit, the Internal Audit Department, in accordance with the requirements of the Bank of Russia and the procedures established by the Bank's internal regulations and directives.

OTHER SUSTAINABILITY RISKS



In the context of sustainable development and taking into account the complex interrelationships between risks, the Bank pays attention to sustainability risks associated with risk factors such as environmental impact and social and managerial aspects that have a positive or negative impact on the Bank's financials.

Sustainability risk management is integrated into the Bank's risk management system. This integration begins with an assessment of sustainability risk factors' impact on the significance of bank risks. This ensures that the degree of impact of sustainability risk factors on the Bank's financial position is aligned with the risk and capital management approaches applied.

The Bank has defined risk appetite to limit financing for projects / counterparties that do not meet sustainability elements and segments its corporate loan portfolio.



In 2022 the number of VTB shareholders has grown to a record 789 thousand, an increase of 37%.

Together
**we manage
prospects**

SECTION CONTENT

2.1. Overview of the corporate governance system	102
2.2. General meeting of shareholders	108
2.3. Supervisory Council	111
2.5. Control and audit	125
2.6. Investor relations	135
2.7. Disclosure policy	144



2.1. Overview

VTB Group Corporate Governance

VTB Group operates as a strategic holding structure. This model requires a common growth strategy for all Group companies, a single brand, centralised finance and risk management, and unified controls.

Under its current management model, the Group is governed along two key lines:

- **ADMINISTRATIVE MANAGEMENT** – exercising the rights of the parent bank as the majority shareholder by allowing its representatives to participate in the governing bodies of subsidiary companies;
- **FUNCTIONAL MANAGEMENT** – managing business, support and control lines within VTB Group as a whole. Functional coordination is an additional governance tool that provides for a deeper expert review of management decisions.

To achieve its key strategic goals, the Group focuses on the following business lines: Corporate Investment Business, Medium and Small Business, and Retail Business.



For more details on our business lines and their performance, see Results Overview.

For each business line, we must implement certain functionality to ensure its success in the respective segment – from corporate customers in need of complex investment advice to individuals looking for simple mobile payment solutions. Each line has a unique product and service offering to cater for customer needs all over the world.

Our Corporate Centre sets the overall strategic course and promotes best practices within the Group. It oversee the Group's global operations and interacts with other functions to deliver against strategies for various markets where VTB is present.

The Group's corporate governance framework enables the Bank to develop a global customer service offering, closely coordinate each and every business line across its footprint, boost margins through in-group synergies and best practices, and reduce costs through increased reliance on shared infrastructure and resources by Group companies. It also serves as a platform for effective integration of assets acquired by VTB Group.

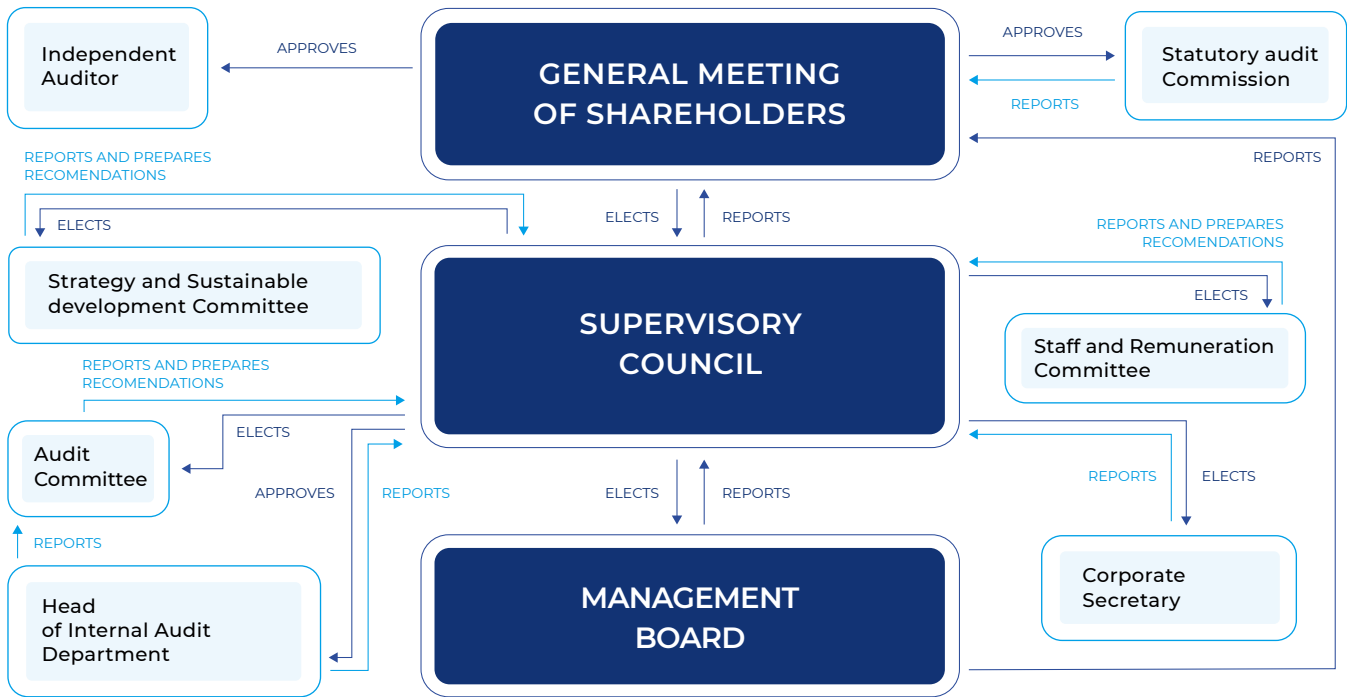
The Group focuses on improving its governance framework and ensuring full compliance with corporate and antitrust laws where it operates.

VTB Bank's Corporate Governance Framework

Corporate governance at VTB Bank provides for interaction between its executive bodies, Supervisory Council, shareholders and other stakeholders with a view to supporting the Bank's long-term sustainable development, including by protecting the rights of shareholders and investors, promoting its investment case and increasing the transparency of its operations, and setting up robust risk assessment tools to ultimately enhance shareholder value and ensure the efficient use of shareholder (investor) funds.

The Bank's corporate governance framework relies on the principle of full compliance with laws and stock exchange regulations, taking guidance from the Corporate Governance Code (the Code) approved by the Bank of Russia's Board of Directors and recommendations of the Basel Committee on Banking Supervision and the Financial Stability Board.

The principles and procedures of our corporate governance are set out in our internal regulations, where the key instrument is the Bank's Corporate Governance Code¹, which was updated in the reporting period in line with best practices to reflect the Bank's commitment to sustainability principles.



- The Bank's corporate governance framework relies on the following principles:
- equitable and fair treatment of all shareholders provided with an opportunity to exercise their rights and legitimate interests;
 - professionalism and accountability of the Supervisory Council, active participation by independent directors and members of the Supervisory Council nominated by the Bank's minority shareholders in managing the Bank;

¹ Approved by the Bank's Supervisory Council in 2022 (Minutes No. 1 dated 17 January 2022).

- strategic management by the Supervisory Council, its efficient control over executive bodies, and oversight of the risk management and internal control framework;
- sound, bona fide and effective management of the Bank's day-to-day operations by executive bodies and key executives;
- compliance with Russian laws and the national laws of the countries of operation;
- commitment to ESG standards;
- strong business ethics and zero tolerance to corruption;
- robust internal controls, internal and external audits;
- active cooperation with investors, creditors, and other stakeholders in order to increase the Bank's assets and capitalisation; and
- continuous improvement of corporate governance practices.

The General Meeting of Shareholders is VTB's supreme governing body. Any holder of ordinary shares may exercise the right to participate in managing the Bank by voting on the agenda of the General Meeting of Shareholders. For the ease of convenience, VTB was among the first Russian banks to introduce remote e-voting at General Meetings of Shareholders.

The Supervisory Council, which is elected by shareholders and accountable to them, provides for strategic management and oversight of the Bank's executive bodies. The Supervisory Council approves the Bank's strategy and long-term development programme, sustainability strategy, and the Regulation on Remuneration and Compensation payable to executive bodies and other key executives. It plays a key role in the Bank's material corporate events and determines the key principles of, and approaches to, risk management and internal controls.

Executive bodies are responsible for day-to-day management of the Bank and carry out the tasks entrusted to them by shareholders and the Supervisory Council.

The following committees operate under the aegis of the Supervisory Council:

- **STAFF AND REMUNERATION COMMITTEE** drafts recommendations on key appointments and incentives for members of the Supervisory Council and the Bank's executive and control bodies;
- **AUDIT COMMITTEE** focuses on analysing and maintaining sound and effective internal controls; and
- **STRATEGY AND SUSTAINABILITY COMMITTEE** considers and makes recommendations on strategic development, sustainability, ESG matters, corporate governance improvements, and better management of the Bank's capital.

The Bank has established the Supervisory Council Administration, a special functional unit led by the Corporate Secretary, who is approved by the Bank's Supervisory Council.

The Bank's financial and business activities are monitored by the Statutory Audit Commission and also by the Internal Audit Department, a standalone business unit that reports to the Supervisory Council. The Internal Audit Department examines and assesses the effectiveness of the Bank's risk management and internal controls, verifies the reliability, completeness, fairness and timeliness of accounting and management statements, shapes a common approach to managing internal controls in its controlled entities, gathers information about their status, and develops recommendations for their improvement. The Supervisory Council approves the Internal Audit Department's work plans and monitors their implementation.

In order to mitigate management risks, liability insurance is purchased for the Bank, members of its Supervisory Council and executive bodies (Directors and Officers (D&O) Liability Insurance).

The Bank and its minority shareholders have established the Shareholders Consultative Council, an independent expert advisory and consultative body consisting of minority shareholders, with its meetings also attended by members of the Bank's Supervisory Council and executive bodies. Members of the Shareholders Consultative Council play an active role in VTB Bank's operations by discussing with the Group's senior management the most important and relevant matters that affect the interests of shareholders, including those related to strategy development and implementation, as well as corporate governance improvements.

Development of Corporate Governance in 2022



The Bank views corporate governance improvements as an integral part of its wider efforts to enhance the effectiveness of its operations, something that the Bank's Supervisory Council and executive bodies keep a close eye on.

VTB Bank monitors changes in corporate laws and practices and consistently updates corporate governance within the Bank and Group companies.

Despite unprecedented sanctions imposed on the Russian economy and the Bank, in the reporting year we remained focused on the key components of corporate governance, including shareholder and investor relations, risk management and internal controls, disclosures and the Supervisory Council's activities.

Our priority measures were aimed at adapting VTB's relevant framework to the negative effects of sanctions and restrictions.

As regards shareholder and investor relations, we primarily sought to achieve a balance between disclosures in accordance with a special procedure effective in the reporting period and the need to inform shareholders of the Bank's operations. Among other things, our shareholder centres went fully operational again. VTB shareholders were able to review materials for the Annual General Meeting of Shareholders, get a personal advice on all matters related to the Bank's activities and share ownership, connect to digital services and find out about special offers for shareholders. In the reporting period, the Shareholders Consultative Council

was very active as well, with the top management presenting the Bank’s most important events at regular meetings with shareholders (for more details, see [Shareholder and Investor Relations](#)).

As regards internal audit and controls, the Internal Audit Department updated its work plan and approaches to audit and monitoring. Audits mainly focused on priorities related to the Bank’s adaptation to a new economic environment following sanctions and restrictions. As one example, the Department performed express audits to quickly detect vulnerabilities in rapidly changing business processes, with findings and recommendations communicated to relevant unit heads (for more details, see [Control and Audit](#)).

To support the Group’s capital adequacy and mitigate the impacts of sanctions, the Bank completed the first stage of implementing an internal rating-based approach to assessing capital adequacy ratios as part of its risk management framework. In 2022, this process covered over 50% of the Bank’s assets, which significantly improved capital adequacy (over RUB 100 billion as of the year-end). To make the Bank less exposed to sanctions risks, a major focus area was managing structural liquidity and liabilities value, updating quantitative models and revising approaches to creating foreign currency liquidity buffers (for more details, see [Risk Management](#)).

Apart from adapting to a new economic reality and addressing priority matters, VTB continued to improve its general corporate governance practices in line with the latest standards.



The Annual General Meeting of Shareholders convened on 3 June 2022 elected a new Supervisory Council composed of five independent directors.

At its first meeting, the new Supervisory Council formed the Strategy and Sustainability Committee, along with the Audit Committee and Staff and Remuneration Committee made up of independent directors only. The shareholders also elected a new Statutory Audit Commission with a seat reserved for a representative of minority shareholders.

For a 360-degree analysis and insight into all aspects of corporate governance, the Bank’s Supervisory Council approved¹ a new version of the Methodology for Assessing the Bank’s Corporate Governance Framework in the reporting year. Its members use the Methodology to perform an annual assessment of corporate governance and self-assessment. Traditionally, the Supervisory Council reviews assessments results at its in-person meetings.

Aligned with recommendations of the Federal Agency for State Property Management and the Bank of Russia, ESG standards and best practices in corporate governance, the document will enable the Council to conduct a systemic and comprehensive review of such practices at the Bank and issue targeted recommendations for their improvement.

1 Minutes No. 2 dated 24 February 2022.

Compliance with the Corporate Governance Code

The Bank complies with substantially all provisions of the Corporate Governance Code approved by the Bank of Russia on 21 March 2014.

The actual compliance with the Code is measured on an annual basis and disclosed in the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code which is subject to review and approval by the Supervisory Council and is included in this annual report.

For more details on the Bank’s compliance with the Corporate Governance Code, see the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code of this annual report.



VTB MAINTAINS A HIGH CORPORATE GOVERNANCE RATING

In 2022, the Bank retained its high ranking at 8+ in the National Rating of Corporate Governance. The ranking is based on an annual independent review by the Russian Institute of Directors.

A rating of 8+ is assigned to a company which, in the opinion of experts, complies with Russian corporate governance laws, follows substantially all provisions of the Corporate Governance Code, and represents a low risk of loss to shareholders due to corporate governance.

Every year, the Bank engages an external consultant as an independent expert to assess the quality of corporate governance, which enables it to continue implementing the best available practices to improve its corporate governance framework. For this purpose, VTB engages the Russian Institute of Directors (RID), a recognised expert institution in Russia that promotes corporate governance and assesses its quality for Russian companies.

The RID’s assessment methodology includes 160 criteria across four components: shareholder rights, governing and oversight bodies, information disclosure, and ESG.

2.2. General Meeting of Shareholders

The General Meeting of Shareholders is VTB’s supreme governing body. Any holder of ordinary shares may exercise the right to participate in managing the Bank by voting on the agenda of the General Meeting of Shareholders. Holders of preference shares may vote only when explicitly provided for by the law.

The Bank prioritises organising and holding its General Meeting of Shareholders, informs every shareholder of the date of, and procedures for participation in, the meeting, and makes all the arrangements for the shareholders to read the materials and vote through any communication channels available to them.

The decision to convene the General Meeting of Shareholders is made by the Supervisory Council. Information about the date and place of the General Meeting of Shareholders (when it is held in person) and the shareholder record date for such meeting is published on the Bank’s official website and posted in the VTB Shareholder mobile app pursuant to the applicable laws and the Bank’s Charter.

The shareholders may participate in the General Meeting either personally (when it is held in person) or remotely via a user-friendly e-voting system developed by the Bank’s registrar, JSC VTB Registrar. Votes can be cast at VTB Registrar’s website or its branches, in the VTB Shareholder mobile app and in shareholder centres.

If it was not possible for the shareholders to e-vote, they could apply to a branch or division of VTB Registrar, instruct a nominee shareholder or fill in a paper ballot.

2022 Annual General Meeting of Shareholders

In 2022, the General Meeting of Shareholders was held in the form of absentee voting pursuant to Federal Law No. 25-FZ dated 25 February 2022. As decided by the Supervisory Council, the Bank’s Annual General Meeting of Shareholders was held on 3 June 2023.

The reporting year saw a number of material changes in corporate governance which had a major effect on preparing for and holding corporate events:

- a special disclosure procedure was adopted (Russian Government Resolution No. 351 dated 12 March 2022);
- the procedure to prepare for and convene the Annual General Meeting of Shareholders was amended (Federal Laws No. 25-FZ dated 25 February 2022, No. 208-FZ On Joint-Stock Companies and No 46-FZ dated 8 March 2022);
- the Bank of Russia recommended credit institutions not to pay dividends for 2021 (Letter No. IN-03-23/83 dated 15 June 2022).

Throughout the voting period established by the law, the shareholders had access to an e-voting service to participate remotely.

20
THOUSAND

VIEWS OF THE ANNUAL
GENERAL MEETING
WEBSITE

In line with sustainability practices, the Bank made a decision to refrain from sending information letters by post ahead of the meeting. Instead, we used a variety of remote channels such as VTB’s and VTB Registrar’s websites, the VTB Shareholder mobile app, shareholder newsletters, personal emails to shareholders, and social networks.

During the voting period, the shareholders of the Bank could personally visit shareholder centres in Moscow, St Petersburg and Yekaterinburg for a consultation. At the centres, shareholders were able to read meeting materials and vote via terminals. Shareholders were also consulted on the agenda items and draft resolutions of the Annual General Meeting.

7.2
THOUSAND

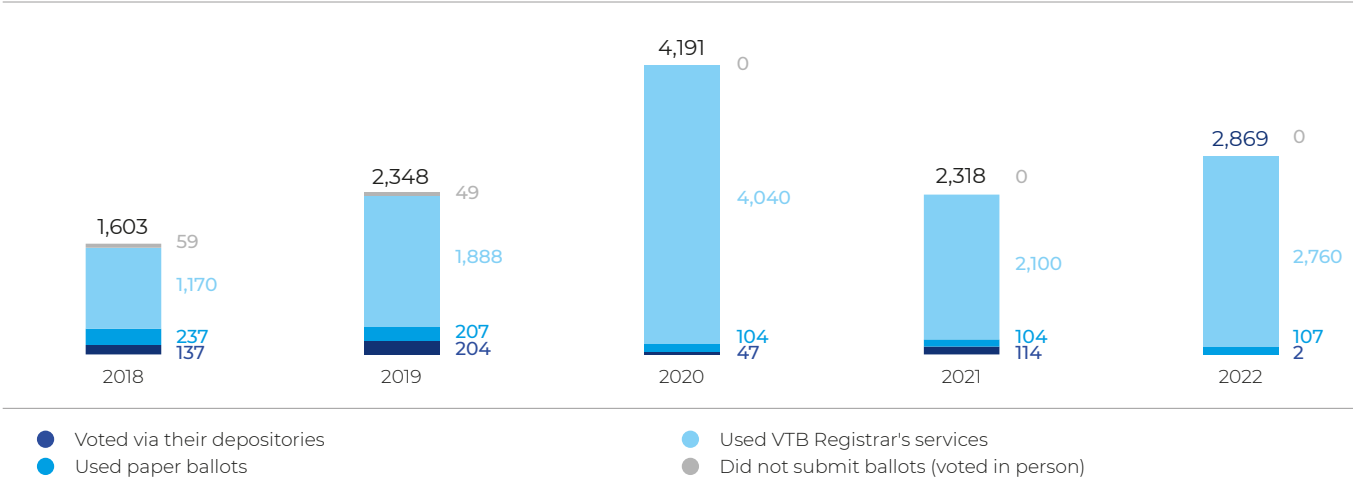
USERS VISITED THE
WEBSITE DURING THE
ANNUAL GENERAL
MEETING

In 2022, the Bank continued its practice to create dedicated websites for general meetings of shareholders started in 2020. Using a proven procedure, we launched a website for the 2022 Annual General Meeting of Shareholders featuring relevant information. Every day, we updated the number of shareholders who cast their votes, and published statements from the Bank’s top management. Auxiliary resources were also available such as an interactive shareholder’s guide, investor tutorial and many others.

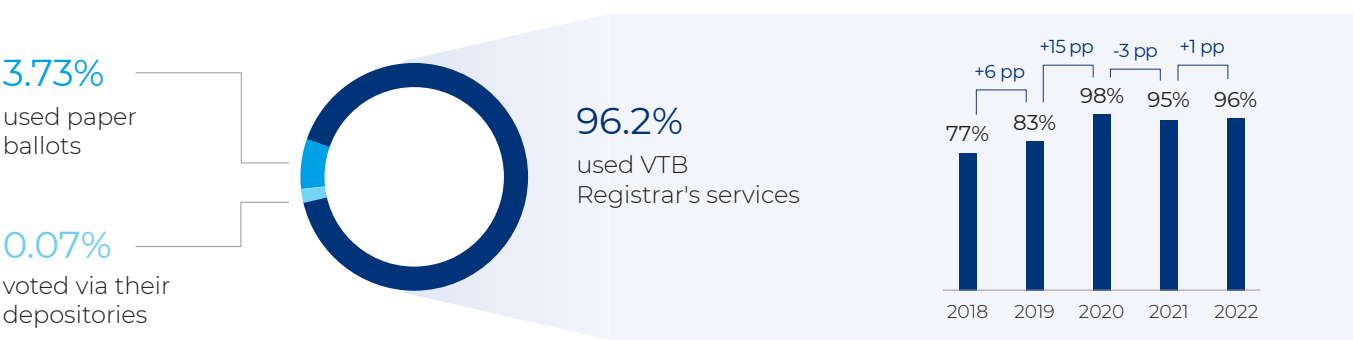
During the Annual General Meeting of Shareholders, the dedicated website saw over 7,200 users. In total, it garnered more than 20 thousand views.

An absentee voting on the meeting agenda took place from 11 May to 2 June 2022. The meeting was attended by 2,869 shareholders.

Participants of the Annual General Meeting of Shareholders



Shareholders who cast e-votes



~96.3%

SHAREHOLDERS CAST E-VOTES

~67%

QUORUM AT THE 2022 ANNUAL GENERAL MEETING

Overall, 96.2% of the shareholders who took part in the 2022 Annual General Meeting opted for e-voting functionality in the VTB Shareholder mobile app or on VTB Registrar's website. Electronic voting was chosen by 96.27%, with a marginal 3.73% using paper ballots and another 0.07% voting via their depositories.

The General Meeting of Shareholders was quorate with regard to all the items on the agenda, with 66.9% (8,298,542,154,002 votes) of the total votes present. The number of accounts associated with the shareholders entitled to participate in the 2022 Annual General Meeting totalled 909,602.

Shareholders who participated in the 2022 Annual General Meeting voted on ten agenda items:

1. approval of VTB Bank's annual report;
2. approval of VTB Bank's annual financial (accounting) statements;
3. VTB Bank's profit distribution, including payment (announcement) of dividends for 2021;
4. determination of the number of members of VTB Bank's Supervisory Council;
5. election of the members of VTB Bank's Supervisory Council;
6. determination of the number of members of VTB Bank's Statutory Audit Commission;
7. election of the members of VTB Bank's Statutory Audit Commission;
8. approval of VTB Bank's auditor;
9. approval of a new version of the Regulation on Remuneration and Compensations for Members of the Statutory Audit Commission; and
10. termination of VTB Bank's membership in MasterCard Members' Association (non-profit organisation).

The meeting elected a new Supervisory Council and a new Statutory Audit Commission.

As in the previous year, governing and control bodies included representatives of the Shareholders Consultative Council. The meeting also resolved not to pay dividends for 2021.

2.3. Supervisory Council

Scope of Responsibilities

!

The Supervisory Council is one of the most important elements of VTB Bank's corporate governance framework. In its activities, the Supervisory Council is guided by the interests of the Bank and its shareholders. It provides general oversight of the Bank's operations, acting for the benefit of its shareholders and in accordance with Russian laws, the Bank's Charter, the Regulation on the Supervisory Council and the Corporate Governance Code.

Key focus areas of the Supervisory Council:

- elaborating and adopting the Bank's development strategy, digital transformation strategy and sustainable development strategy;
- forming the Bank's executive bodies and overseeing their activities;
- assessing the efficiency of the Bank's risk management and internal controls;
- determining the HR policy, including remuneration payable to executive bodies and senior managers; and
- participating in the decision-making process.

The Supervisory Council determines the *modus operandi* of the Bank's corporate governance framework by adopting internal regulations that govern the principles and procedures of its individual elements and oversight of the corporate governance framework as a whole.

The Supervisory Council is responsible for managing conflicts of interest between the Bank's governing bodies, shareholders and employees.

Members of the Supervisory Council are elected by the General Meeting of Shareholders for a period extending until the next General Meeting of Shareholders. Shareholders holding at least 2% of the Bank's voting shares have the right to propose their nominees to the Supervisory Council. Also, the Supervisory Council may do so at its own discretion. Members of the Supervisory Council are elected through cumulative voting by the General Meeting of Shareholders.

The Supervisory Council acting as of the end of 2022 was elected by the Annual General Meeting of Shareholders on 3 June 2022. As of 31 December 2022, the Supervisory Council consisted of ten members, including nine non-executive directors and four independent directors. Such a combination of executive and non-executive directors (including independent directors) is fully in line with international best practices and ensures that the interests of all shareholder groups are represented. The composition of the Supervisory Council is reviewed annually for their professionalism, experience, performance, and strategic fit.



The Supervisory Council determines the modus operandi of the Bank’s corporate governance framework by adopting internal regulations that govern the principles and procedures of its individual elements and oversight of the corporate governance framework as a whole.

Pursuant to the Bank’s Corporate Governance Code, the Supervisory Council shall include at least three directors who meet the independence criteria of the listing rules of the stock exchange where the Bank’s securities are traded.

Independent directors may not be in any relationship with the Bank that would prevent them from fairly and impartially making decisions with regard to VTB’s strategy and day-to-day operations. In determining the independence criteria for the members of the Supervisory Council, VTB Bank is guided by the applicable laws, the listing rules of the stock exchange where the Bank’s securities are traded, and the Bank’s internal regulations.



VTB places a great emphasis on maintaining a proportion of independent directors among the members of its Supervisory Council. **Their contribution to the Council’s performance helps strengthen shareholders’ and investors’ confidence in the Bank** ensuring a high level of transparency of the Council’s operations and unbiased decision-making.

Independent directors take an active part in the discussion and approval of resolutions, monitoring of the Bank’s performance and competitive position, analysis of the management performance, assessment of risk management and internal control tools and systems, as well as settlement of corporate conflicts.

Remit of the Supervisory Council

The Supervisory Council is responsible for the strategic management of the Bank, including by:

- defining VTB’s long-term priorities;
- approving its strategy and long-term development programme;
- determining the key principles of, and approaches to, risk management and internal controls;
- setting the policy on remuneration and compensation payable to executive bodies and other key executives; and
- providing oversight of the Bank’s executive bodies and corporate governance practices.

The Supervisory Council plays a key role in the Bank’s material corporate events.

Composition of the Supervisory Council

The Annual General Meeting of Shareholders convened on 3 June 2022 elected a new Supervisory Council, which includes five independent directors.

On 7 June 2022, the Supervisory Council meeting elected the Chairman of the Supervisory Council from among its members.

The Chairman of the Supervisory Council is elected by a majority vote of the members of the Supervisory Council from among themselves. The Supervisory Council may at any time re-elect the Chairman by a majority vote of all the directors.

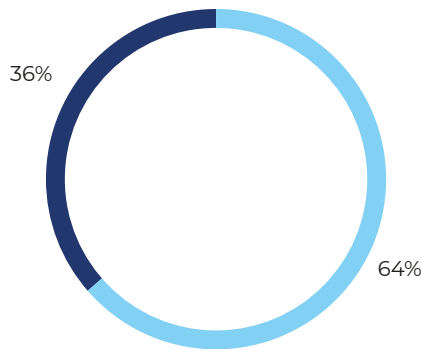
The Chairman of the Supervisory Council may not concurrently hold the position of the President and Chairman of the Management Board, neither may the Chairman of the Supervisory Council sit on the Bank’s Management Board or be otherwise employed by the Bank.

The Chairman coordinates the activities of the Supervisory Council, convenes and chairs its meetings, keeps minutes, and presides over General Meetings of Shareholders. In the absence of the Chairman, the respective duties are assumed by a member of the Supervisory Council appointed by the Supervisory Council.

In 2022, no transactions were made involving the acquisition or disposal of the Bank’s shares by members of the Supervisory Council.

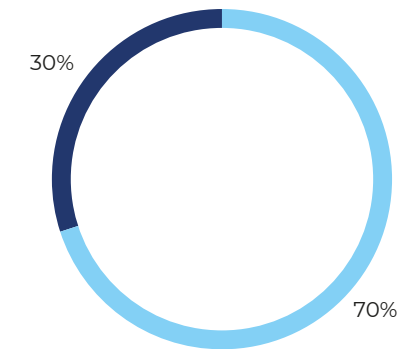
Proportion of independent directors

1 January 2022 – 24 February 2022



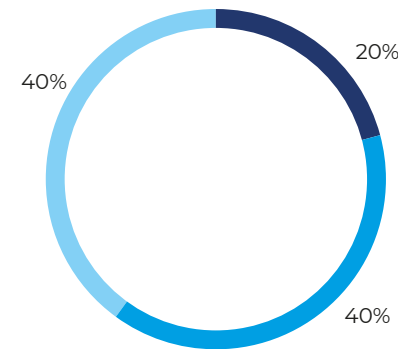
Independent directors
State representatives

25 February 2022 – 3 June 2022



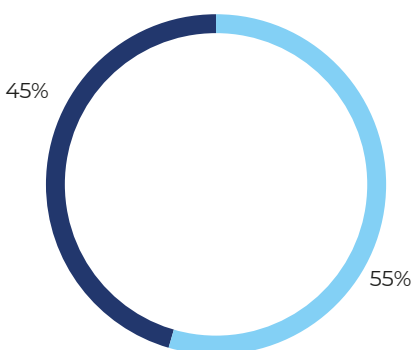
Independent directors
State representatives

Duration of service



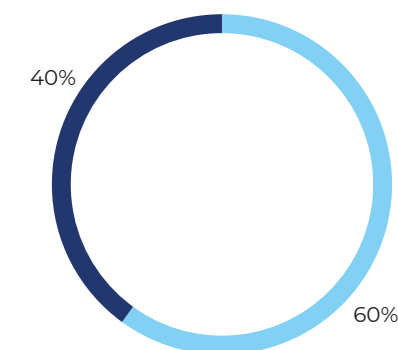
5 years and more
1 to 5 years
Less than 1 year

3 June 2022 – 6 July 2022



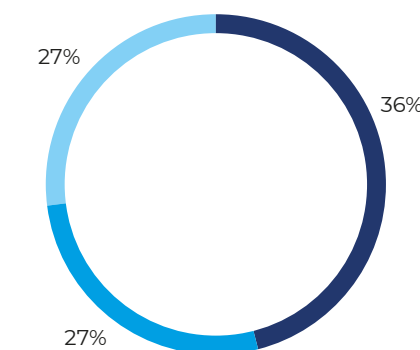
Independent directors
State representatives

6 July 2022 – 31 December 2022



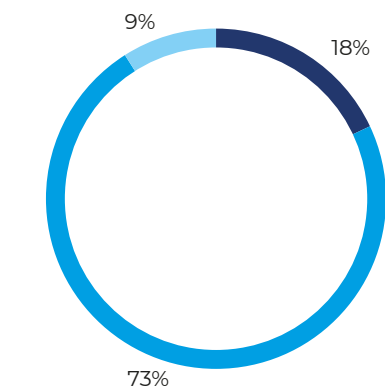
Independent directors
State representatives

Composition of the Supervisory Council by age



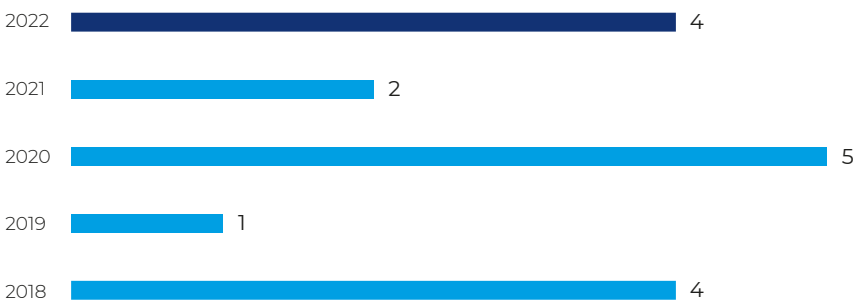
Under 50 years
50–60 years
Above 60 years

Shareholder Representation



Minority shareholders
Majority shareholders
Institutional investors

Changes in the Supervisory Council, people



Liability Insurance For Supervisory Council Members

Supervisory Council members are insured under the Directors and Officers (D&O) Liability Insurance programme. The programme covers damages (including legal costs) arising from unintentional misconduct, negligence or omission by members of the Supervisory Council in the course of the Bank's financial operations which are reimbursable in connection with possible claims raised by investors, shareholders or government authorities during the insurance period. Such claims may relate to the personal responsibility of members of the Supervisory Council for mistakes made in the decision-making process, flaws in risk management and financial controls resulting in a loss, impairment of the Bank's shares or assets, or damage caused to third parties.

In 2022, the directors liability insurance contract was renewed after the Bank's Operational and Regulatory (Compliance) Risk Management Committee deemed its extension advisable.

Induction Procedure for Members of the Supervisory Council

The Bank's induction programme for newly elected members of the Supervisory Council (the Programme) was approved by the Staff and Remuneration Committee acting pursuant to the Regulation on the Staff and Remuneration Committee and the Bank's Corporate Governance Code (Minutes No. 77 dated 9 August 2019). The Programme aims to ensure the efficient operation of the Supervisory Council and improve corporate governance practices in line with the best international principles, including those set out in the Corporate Governance Code approved by the Bank of Russia's Board of Directors.

As part of the Programme in 2022, newly elected members of the Supervisory Council met with members of VTB Bank's Management Board and the Corporate Secretary to get an insight into the Bank's Development Strategy for 2019–2022, digital transformation strategy, corporate governance framework, risk management and internal controls. They also came to grips with internal regulations and other information required for them to perform their duties effectively.

THE INDUCTION PROGRAMME
INCLUDES:

Studying regulations relating to the activities
of the Bank's governing bodies

Holding consultations with the Corporate Secretary
on how the Supervisory Council operates

Holding meetings with the heads of the Bank's key business units
and members of its executive bodies

Report on the Activities of the Supervisory Council

Meetings of the Supervisory Council are convened at the discretion of its Chairman or at the request of a Council member, the Statutory Audit Commission, the Auditor, the Management Board, the President and Chairman of the Management Board or the Head of the Internal Audit Department. A quorum is formed by the attendance of at least half of the elected members.

Decisions are taken by a majority vote of participating members unless otherwise provided for by the Bank's Charter and the Regulation on the Supervisory Council. For decision-making purposes, each member of the Council has one vote.

When considering agenda items, the members of the Supervisory Council evaluate potential conflicts of interest between them and the Bank and refrain from voting on (and, if necessary, discussing) any matter that may, in their opinion, lead to such a conflict of interest.

Meetings of the Supervisory Council are held on a scheduled basis, although, if necessary, they may be held out of schedule. The format of each meeting is determined in accordance with the Bank's Charter with due regard to the importance of its agenda, with the most important matters to be resolved at in-person meetings.

At each meeting, members of the Supervisory Council are updated on the implementation of their resolutions and instructions as well as directives of the Russian Government.

Members may review meeting materials in advance, along with the Committees' recommendations and opinions on agenda items. The Supervisory Council's schedule covers the period between Annual General Meetings of Shareholders and is approved by the Council. Meetings are scheduled in advance based on the Bank's business cycle and may be held in person or in the form of absentee voting. Any member who is unable to attend a meeting in person has the opportunity to participate via conference calls and video conferencing (including to vote on agenda items), as well as to submit their written opinion.

Any member who submits their written opinion on agenda items prior to the meeting is considered to have taken part in the meeting. A written opinion may be issued in hard or soft copy, with the latter to be signed with an electronic signature using special software.

YEAR	NUMBER OF MEETINGS AND ABSENTEE VOTINGS	IN PERSON	IN ABSENTIA	NUMBER OF MATTERS CONSIDERED
2022	18	4	14	144
2021	20	7	13	150
2020	15	5	10	122
2019	16	6	10	142
2018	17	7	10	147

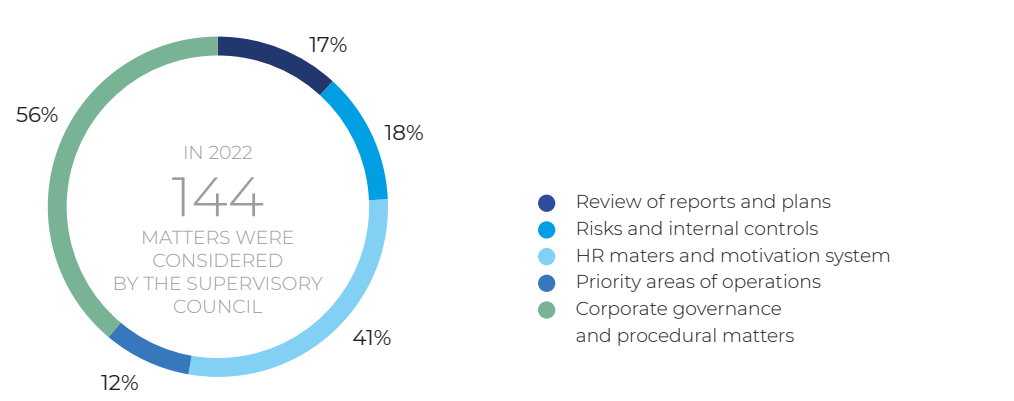
Following a meeting in person or in absentia, minutes are made to reflect the voting results and the opinion of each member of the Supervisory Council on agenda items.

The Supervisory Council actively engaged with the Bank's minority shareholders and also considered the Report on Cooperation with the Bank's Shareholders and a shareholder relations action plan for the next calendar year.

KEY MATTERS CONSIDERED BY THE SUPERVISORY COUNCIL IN 2022

The Supervisory Council considered a total of 144 matters in 2022, including 64 matters supplied with the Committees' recommendations.

Key matters considered by the Supervisory Council in 2022



Information technology used by the Supervisory Council

Since 2018, members of the Supervisory Council have been using their mobile accounts as a single access point to materials from current and past meetings of the Supervisory Council and its committees, as well as information about decisions made, participants and other data required for them to perform their duties effectively, including financial statements, press reviews, internal regulations, etc. As part of its continuous digitalisation efforts, the Bank made it possible for members of the Supervisory Council to vote remotely using an electronic signature.

In 2022, we started developing a new information system to support the Bank's collective bodies in their migration to Russian software.

Performance Assessment of the Supervisory Council

VTB Bank conducts annual assessments of its corporate governance framework, which also includes a self-assessment by members of the Supervisory Council using a questionnaire based on the Methodology for Assessing the Bank's Corporate Governance Framework approved by the Supervisory Council's Strategy and Corporate Governance Committee. The methodology introduces the following measures of merit:

- dividing powers between the governing bodies;
- forming the Bank’s executive bodies and overseeing their activities;
- determining the principles of, and approaches to, organising a risk management system;
- monitoring internal controls;
- preventing conflicts of interest involving shareholders, members of the Supervisory Council, Bank’s executive bodies;
- activities of the Supervisory Council;
- composition, structure and overall competence of the Supervisory Council; and
- information policy and disclosures.

CORPORATE SECRETARY

The Corporate Secretary:

- oversees compliance by the Bank’s bodies and employees with the applicable laws, the Bank’s Charter and internal regulations enabling its shareholders to exercise their rights and legitimate interests;
- ensures liaison between the Bank and its shareholders;
- promotes corporate governance practices; and
- contributes to the efficient operation of the Supervisory Council.

The Corporate Secretary is appointed and dismissed by, accountable to and functionally reports to, the Supervisory Council and also administratively reports to the President and Chairman of the Management Board. The Supervisory Council reviews and approves the Corporate Secretary’s report on an annual basis. The report for 2022 was approved by the Supervisory Council on 6 March 2023.

The Supervisory Council Administration operates under the guidance of the Corporate Secretary. The Corporate Secretary serves as secretary to the Supervisory Council and the General Meeting of Shareholders.

The Supervisory Council's Staff and Remuneration Committee reviews nominees for the Corporate Secretary role, evaluates their eligibility, and makes recommendations to the Supervisory Council.

The Corporate Secretary acts pursuant to the Regulation on the Corporate Secretary approved by the Supervisory Council (Minutes No. 22 dated 7 September 2015), which incorporates the requirements of the Listing Rules of the Moscow Exchange, the recommendations of the Corporate Governance Code approved by the Bank of Russia’s Board of Directors, and the guidelines of the Federal Agency for State Property Management.

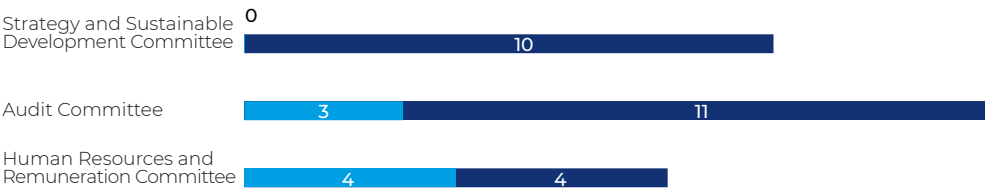
Supervisory Council Committees

For the effective implementation of the management and supervisory functions by the Supervisory Board, as well as for the preliminary detailed study of certain important issues, VTB Bank has Committees that develop recommendations on the most important issues within the competence of the Supervisory Council.



	NUMERICAL COMPOUND	INDEPENDENT DIRECTORS	NON-EXECUTIVE DIRECTORS	EXECUTIVE DIRECTORS
Strategy and Sustainable Development Committee	7	4	6	1
Audit Committee	3	3	3	0
Human Resources and Remuneration Committee	3	3	3	0

Total number of meetings held / absentee voting of committees in 2022



- Face-to-face meetings
- Meetings in absentia

STRATEGY AND SUSTAINABLE DEVELOPMENT COMMITTEE

In 2022, Strategy and Sustainable Development Committee provided recommendations to the Supervisory Council on business and strategic planning, as well as sustainable development: the Committee recommended to approve

business plan and budget for 2023, the Strategy of digital transformation for 2022–2024, as well a new version of the Long-Term Development Program for 2020–2023 and the Investment Program and the Program for Improving Efficiency. The Committee also considered a report on the implementation of the Bank’s Long-term Development Program for 2020–2023 based on the results of 2021 and a report on sustainable development for 2021. In terms of corporate governance issues the Committee, among other things, made recommendations to the Bank’s Supervisory Board regarding the approval of the Corporate Governance Assessment Methodology, the Bank’s Code of Responsible Suppliers, and the Regulations on the Bank’s Customer Experience Quality Management System.

Main tasks of the Strategy and Sustainable Development Committee:

As part of assisting the Supervisory Board in resolving issues in the field of strategy, sustainable development, social and environmental responsibility, as well as corporate governance of the Bank, the main tasks of the Committee are:

- determination of strategic goals and priorities in the development of the Bank, including in the field of sustainable development, social and environmental responsibility, for the short, medium and long term and monitoring their achievement;
- support and improvement of the Bank’s corporate governance system;
- improvement of the Bank’s equity strategic management activities.

Key areas of work of the Committee in 2022

Strategic goals and priorities:

- Updated business plan and financial and economic plan (budget) for 2022;
- Business plan and budget for 2023;
- Investment Program and Operational Efficiency Improvement Program for 2022;
- Digital Transformation Strategy for 2022–2024;
- Proposals for adjusting the Long-Term Development Program for 2020–2023 and a new version of the Long-Term Development Program;
- Report on the implementation of the Long-Term Development Program for 2021;
- Sustainability Report for 2021.

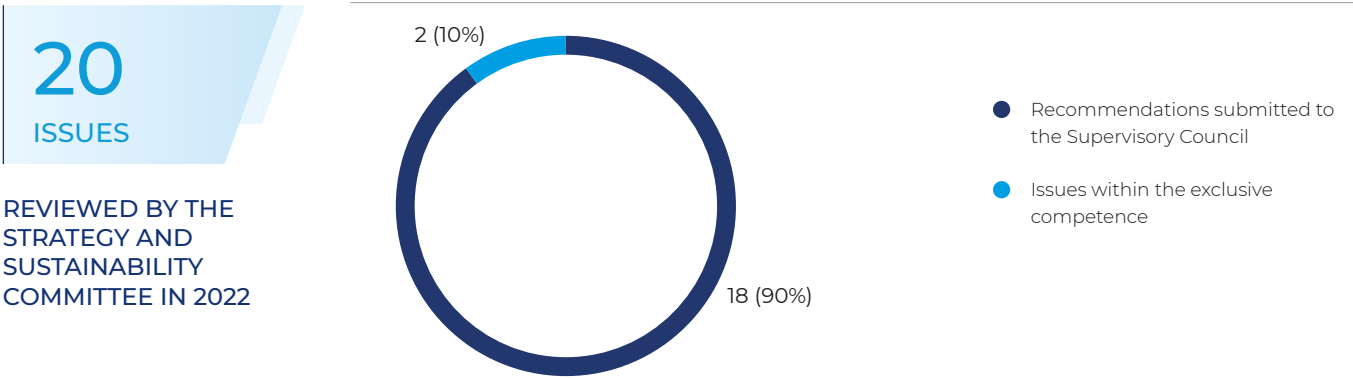
Capital Management:

- Distribution of profit based on the results of 2021 and determination of the amount of dividends;
- Participation in «Bank Otkritie Financial Corporation» (Public Joint-Stock Company);
- Increase in the authorized capital of the Bank by placing additional shares;
- Termination of the Bank’s participation in the Association of Members of MasterCard (non-profit organization).

Corporate Governance:

- Methodology for assessing corporate governance;
- The Bank’s Code of Responsible Suppliers;
- Regulations on the quality management system of the Bank’s customer experience.

Total number of issues reviewed by the Strategy and Sustainability Committee in 2022



AUDIT COMMITTEE

In 2022, the activities of the Audit Committee were focused both on reviewing the mandatory issues provided for by the Regulations on the Audit Committee of the Supervisory Council of VTB Bank (PJSC) and on monitoring procedures for managing various types of risks, issues of business process transformation in the significantly changed operating conditions for VTB Group, as well as the areas of work of internal and external audit.

Main tasks of the Audit Committee

The Supervisory Council is responsible for establishing and maintaining an adequate internal control system. In identifying decisions based on results, monitoring all third-party analysis and identifying the internal control system, measuring the scope and nature of ongoing operations, as well as operational interaction with the internal audit department, reports, advanced standards and recommendations in the field of corporate governance provide for the creation of an audit committee under the accounting council. Supervisory Board of the company.

To assist the Supervisory Council in solving the above tasks, since April 2007, the Audit Committee has been operating within the structure of the Supervisory Council, which:

- Acts in order to analyze and maintain an effective and adequate system of internal control in the Bank;
- Exercises general supervision over the preparation of financial statements and the functioning of the internal control system;
- Controls and analyzes the activities of the Bank’s Internal Audit Department;
- Interacts with the external auditor of the Bank.

The exclusive competence of the Audit Committee includes the assessment of candidates for the Bank's external auditor, assessment of the auditor's report, the effectiveness of the Bank's internal control procedures, as well as the development of proposals for their improvement.

Key areas of work of the committee in 2022

The key areas of work of the Audit Committee in the reporting period – in the context of following the functions, recommendations of the regulator and Federal Agency for State Property Management, as well as the challenges of the reporting period – were:

1) as part of the control over the preparation of accounting (financial) statements:

- Implementation of control over ensuring the completeness, accuracy and reliability of the Bank's financial statements;
- Regular review of VTB Group's consolidated financial statements and quarterly monitoring of financial performance;

2) as part of the analysis of the risk management system and the maintenance of an effective and adequate internal control system:

- Monitoring the implementation of procedures for the identification, assessment, management and monitoring of risks associated with the preparation of accounting (financial) statements;
- Discussion of strategic issues of development and risk management of the Bank and VTB Group, including a preliminary review of the updated Risk and Capital Management Strategy, as well as approaches to managing the most significant risks;
- Review of the recommendations of the Bank's Internal Audit Department and the External auditor in order to identify risk areas in the Bank's operations that require priority attention as part of the implementation of internal and / or external audit procedures;
- Review of the results of the Bank's inspections by external supervisory authorities (within the framework of the reports of the Bank's Internal Audit Department);
- Issues of development of control methods in order to identify new schemes of market manipulation and insider trading, and the suppression of other illegal practices of behavior in the financial market;
- Analysis of the implemented tools aimed at maintaining the effectiveness of the internal control system in the field of countering the legalization (laundering) of proceeds from crime and the financing of terrorism;
- Discussion of the issues of digitalization of the Bank's activities, the results of the implementation of integration processes in the VTB Group;
- Monitoring the implementation of advanced risk and capital management methods in the Bank;

3) as part of the interaction of the Supervisory Council with the external auditor:

- Providing the Supervisory Council with recommendations on the amount of payment for the services of the external auditor;

- Detailed discussion with the external auditor of approaches to the implementation of audit procedures at the stage of planning the audit of financial statements;
- Analysis of the results of the external auditor's work, evaluation of the external auditor's conclusion and his recommendations within the framework of the audit/ review procedures of the interim and annual reports of the Bank and VTB Group;

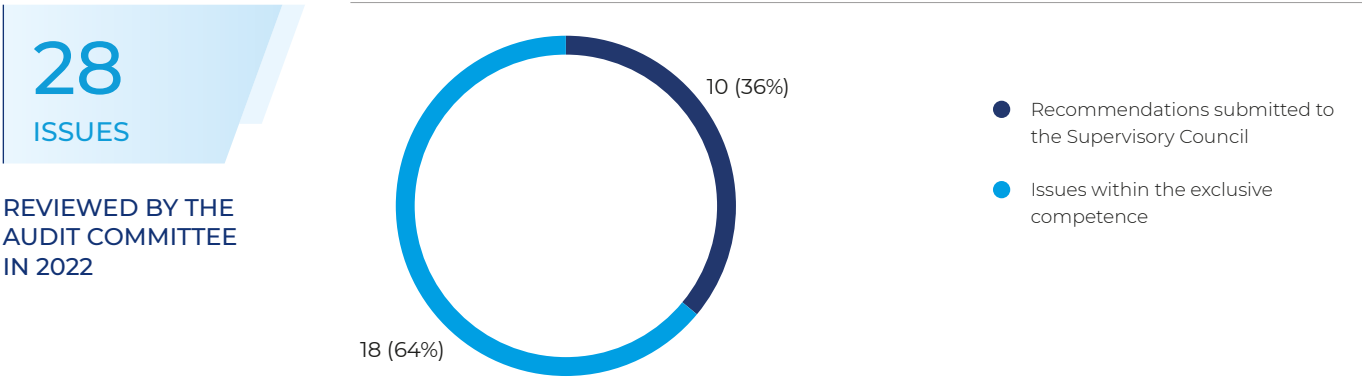
4) as part of the execution of certain instructions of the Supervisory Council:

- Monitoring of the amount of write-offs by the Bank of bad loans (legal entities and individuals) at the expense of the provision for possible losses on loans, on loan and equivalent debt;

5) as part of monitoring the activities of the Bank's Internal Audit Department:

- Preliminary review of the general work plan of the Bank's Internal Audit Department for the next calendar year;
- Discussion of the reports of the Bank's Internal Audit Department on the main identified violations, errors and shortcomings in the activities of the Bank and its subsidiaries, including information on the measures taken to implement the recommendations and eliminate the identified violations;
- Consideration of strategic guidelines for the development of internal audit.

Total number of issues reviewed by the Audit Committee in 2022



HR AND REMUNERATION COMMITTEE

The HR and Remuneration Committee assists the Supervisory Council in resolving issues within its competence in accordance with the Regulations on the HR and Remuneration Committee of the Supervisory Board of VTB Bank (PJSC).

Main tasks of the HR and Remuneration Committee:

- Ensuring continuity in the activities of the management bodies and the Audit Commission of the Bank;
- Organization of evaluation of the activities of the management bodies and the Audit Commission of the Bank;

- Review of the Bank’s personnel policy, including in the field of remuneration and control of its implementation;
- Assistance in ensuring compliance with the requirements of legislation regulating the activities of members of the management bodies and the Audit Commission of the Bank.

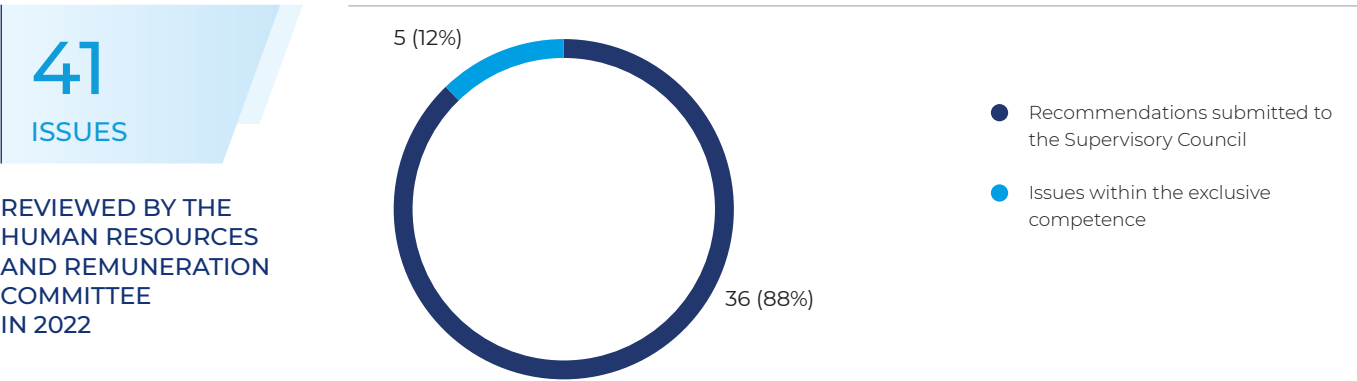
The Committee is formed from members of the Supervisory Council who have professional knowledge and experience in the areas of the committee’s activities.

Key areas of the Committee's work in 2022

In 2022, the committee considered the issues of forming the composition of the Supervisory Board and the Audit Commission, determining the amount of remuneration for work as part of the Audit Commission, forming the composition of the Bank’s Management Board and remuneration of members of the Bank’s Management Board, proposals on key performance indicators for evaluating the activities of the President-Chairman of the Management Board and members of the Management Board of the Bank, consideration of issues of monitoring and control of the remuneration system.

The issues of assessing the compliance of members of the Supervisory Board of VTB Bank (PJSC) with the criteria of independence of members of the Board of Directors (Supervisory Board) of the issuer provided for by the Listing Rules of PJSC Moscow Exchange were considered, other issues were resolved within the competence of the Committee.

Total number of issues reviewed by the Human Resources and Remuneration Committee in 2022



2.4. Control and Audit

Internal Control and Audit



VTB Group’s **internal control and audit** functions operate in line with best practices and in compliance with applicable laws of the countries across the Group’s footprint. Structural hierarchy and convergence of internal control mechanisms provide for an appropriate level of their independence.

VTB Group's internal control system ensures:

EFFICIENCY OF VTB GROUP'S AND VTB BANK'S ACTIVITIES

EFFECTIVE MANAGEMENT OF ASSETS AND LIABILITIES
(INCLUDING ASSET PROTECTION) AND RISK MANAGEMENT

RELIABLE, COMPLETE AND TIMELY FINANCIAL AND MANAGEMENT INFORMATION DISCLOSURE AND REPORTING

INFORMATION SECURITY

COMPLIANCE WITH LEGISLATION, REGULATIONS, RULES AND INTERNATIONAL STANDARDS OF INTERNAL AUDIT

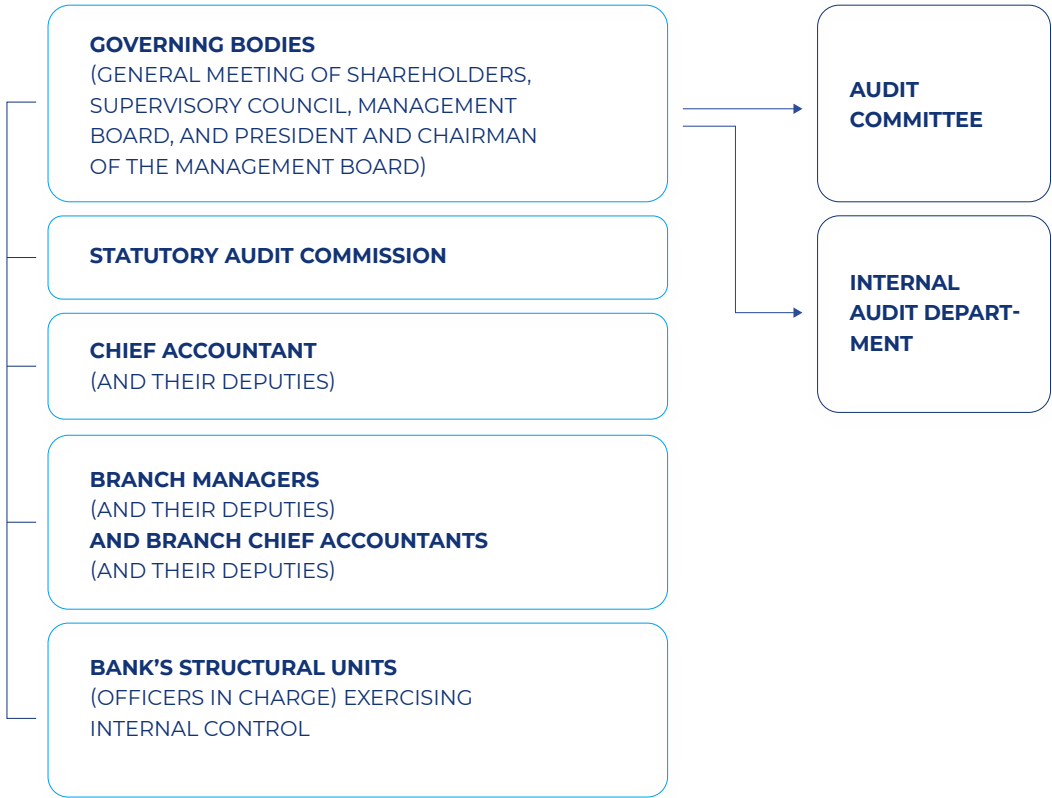
NO INVOLVEMENT OF VTB GROUP OR ITS EMPLOYEES IN UNLAWFUL ACTIVITIES

Main Objectives of VTB Group’s Internal Control and Audit

- To independently assess the effectiveness of the internal control and risk management, accounting reports, business processes, and the activities of units and individual employees, as well as to assess the economic feasibility and effectiveness of operations and transactions;
- to verify the reliability of internal control over the use of automated information systems, and to review the methods used to protect assets and property;
- to monitor key risk areas and control tools, with a view to identifying shortcomings in internal controls and emerging risks, and to develop risk-prevention mechanisms;
- to draft recommendations for improving the efficiency of systems, processes, procedures, transactions and activities of the Group’s units and employees;
- to communicate with external regulatory bodies and auditors.

Internal controls are monitored on an ongoing basis by the management and employees of the Bank’s structural units, as well as by the Internal Audit Department.

VTB Bank’s Internal Control Structure



Audit Committee

The Audit Committee was established under the Bank’s Supervisory Council to ensure efficient control over the Bank’s financial and business operations. For more details on the composition and activities of the Audit Committee, see the Corporate Governance / Supervisory Council / Supervisory Council Committees section.

Internal Audit Department

The Internal Audit Department helps the Bank’s governing bodies to manage the Bank’s operations in an efficient manner.

The Internal Audit Department is in charge of:

- monitoring internal controls;
- audits;
- issuing impartial recommendations for improving banking operations and control procedures.

The Internal Audit Department is a standalone structural unit of VTB Bank reporting directly to the Supervisory Council. The Supervisory Council approves the Internal Audit Department’s work plans, oversees their implementation, and reviews audit findings and reports as regards the monitoring of internal controls and the implementation of the Internal Audit Department’s recommendations to address identified issues.

The Internal Audit Department’s organisational structure comprises units in charge of auditing the Corporate Investment Business, Medium and Small Business, and Retail Business, support and control functions, and regional units. To improve the effectiveness of internal control monitoring in the Bank’s regional network, some of the Internal Audit Department’s employees are part of permanent dedicated teams at the branch level.

The Internal Audit Department lays particular emphasis on developing remote/digital means of audit to enable VTB Group to significantly increase the number of audited transactions, deals and procedures as well as the sampling depth, to automate the auditing of the Bank’s processes and units, to maintain and improve the quality of the internal audit.

In order to streamline its work, in 2022 the Department made the following changes:

- minimised the time of communicating audit results to relevant Bank’s units;
- expanded the scope and focus areas of express audits, simplified result documentation and accelerated the communication of outcomes to relevant units;
- revised audit focus areas for 2022 taking into account a changing business model;
- strengthened control over import substitution and IT reliability.



In 2022, the Internal Audit Department achieved its strategic targets and goals aimed at developing the internal audit methodology and digitalisation of the Department’s activities, in full and in due time, while also fully delivering on its work plan.

In particular, the Department held 39 scheduled audits and checks, including 18 checks of various workstreams in the parent company and 21 audits of branches. Besides, its experts conducted 519 thematic audits of local units, and over 90 additional express audits to oversee the progress in implementing digital solutions, technologies and products in the Bank’s operations.

On top of monitoring the Bank’s internal controls, the Internal Audit Department’s key objective is oversight of internal audit practices across VTB’s subsidiaries. In 2022, the Department carried out various control measures across the Group’s subsidiary companies and banks on a centralised and end-to-end basis.

The Department also polled the Management Board to assess the quality of internal audit. The results indicated an overall satisfaction of the Bank’s top managers with the Department’s performance. According to the Management Board, its activities are duly organised, meet the management’s expectations and demonstrate a high level of expertise¹.

¹ The results were reviewed by the Supervisory Council’s Audit Committee, Minutes No. 200 dated 22 February 2022.

The Internal Audit Department liaises with the Audit Committee and the Bank’s external auditors, among other things, by providing information on internal controls and reporting key shortcomings identified during the audit period.

In 2022, the Audit Committee of the Bank’s Supervisory Council recognised the results of internal audit activities for 2021 as fully consistent with the targets and goals¹.

The Internal Audit Department is implementing an Internal Audit Quality Assurance and Quality Improvement Programme, which covers all aspects of the internal audit.

According to the Regulation on the Bank’s Internal Audit Department, the Department’s activities are subject to a regular external independent assessment at least once every five years. Assessments are conducted to determine the degree of compliance of the Bank’s internal audit function with international professional standards, recommendations and requirements of the Bank of Russia and the Federal Agency for State Property Management. International internal audit standards draw on the extensive experience of the world’s leading financial and non-financial organisations and constitute one of the key universally recognised internal audit guidelines.

The last external independent assessment of the Bank’s internal audit function was conducted in 2019 by PwC. The assessment concluded that VTB’s internal audit function is fully compliant with international standards and the Internal Audit Code of Ethics and recognised the high level of maturity of the Internal Audit Department in terms of its objectivity, professionalism and use of state-of-the-art approaches and technologies.

Compliance Control



One of the key pillars supporting the Bank’s operations is an effective framework to manage regulatory (compliance) risks, and prevent money laundering, financing of terrorism (AML / CFT) and financing the proliferation of weapons of mass destruction (WMD).

To pursue these goals, the Bank has established the Compliance Control and Financial Monitoring Department. Its units ensure compliance with the applicable AML / CFT legislation, laws designed to prevent financing of the proliferation of WMD, and the Bank’s internal regulations in these areas. They also assist the Bank’s business units in performing tasks related to business operations and business support with respect to regulatory compliance in the following areas:

- customer identification and support of their transactions;
- managing regulatory (compliance) risk;
- preventing unauthorised use of insider information and market manipulation;
- managing conflicts of interest;
- combating corruption.



Despite the external sanctions imposed in 2022 on the Russian financial sector, we continued to service the existing customers while also deploying new digital channels and offering innovative solutions.

Together with the Bank’s business and IT units, we introduced new products tailored to a new economic reality, made cutting-edge payment services available to our customers and put in place remote digital tools to streamline the customer journey.

The Compliance Control and Financial Monitoring Department contributed to designing, implementing and testing all these initiatives. Part of the Bank’s cross-functional teams, the Department employees supervised the regulatory aspects of the projects on a daily basis, including:

- compliance with identification laws;
- screening of payment and transfer participants;
- timely reporting to supervisory agencies, and similar activities.

In 2022, the Bank was among the first to enable individuals to invest in gold bars and precious stones (diamonds) in addition to traditional deposits in roubles and foreign currencies.

It also focused on maintaining correspondent relationship with credit institutions from friendly countries and enabling transactions in national currencies, which helped significantly expand the geography of transfers for retail and corporate customers. They can now make easy transfers in national currencies of countries friendly to Russia through remote channels using a telephone number or account details.

While developing payment and transfer services, the Bank leveraged the Bank of Russia’s Faster Payments System. In the reporting year, individuals were able to use the VTB Online – mobile app to make instant QR-code payments to legal entities. To support the transactional activity of individuals having no more access to contactless mobile payments, the Bank joined SBPay, the Bank of Russia’s new service for settlements with legal entities.

Registration of new accounts became more customer-oriented. In particular, both legal entities and individuals can now request an on-site service in any convenient place. The e-signing of documents transformed an ordinary courier delivery of bank cards into a full-fledged service channel for new retail customers, with digital execution of the required banking documents and access to the most popular products and services available in the Bank’s mobile app. As part of expanding the integration with the public services portal, we fully automated the process to update information about individuals.

To support our corporate customers, we offered new remote services and streamlined banking procedures as much as possible. Our close interaction with government (Federal Tax Service and Rosstat) information resources was instrumental in introducing non-banking services. That said, our customers can

1 Minutes No. 200 of the Supervisory Council’s Audit Committee dated 22 February 2022.

now make amendments to constituent documents, register with a tax authority as self-employed or change the taxation regime (transition to an automated simplified taxation system) online.

To continue transformation towards a digital bank, VTB implemented a new service application form and improved the personal account for legal entities in 2022. This served to reduce the paper flow for customer registration and applying for a new product in the Bank's offices to a single sheet.

Despite their specific nature, all products and services fully meet the applicable financial monitoring and compliance requirements.

The Bank is a permanent member of specialised committees of professional associations: the Association of Banks of Russia (the Association "Russia"), the National Financial Market Council and Compliance Council under the Federal Financial Monitoring Service. As a permanent member, the Bank takes part in the development of legislative initiatives, proposes improvements to regulatory standards in the area of AML/CFT and compliance, and joins efforts with representatives of specialised financial organisations and government agencies to develop integrated solutions and uniform approaches to the implementation of legislative requirements.

The Department consistently tracks and takes into account events related to regulatory (compliance) risk, while also issuing recommendations on how to manage this risk.

It also monitors compliance with business ethics and anti-corruption principles. In conducting its business, the Bank recognises the social importance of its operations and its responsibility to shareholders, customers, business partners, society and the government.

The Bank runs a hotline for receiving and handling enquiries from employees, customers, counterparties, partners and other third parties. The main types of queries are related to:

- conflicts of interest;
- corruption cases;
- breach of corporate conduct rules and professional ethics standards;
- cases of unauthorised use of insider information and market manipulation.

That said, the Department ensures confidentiality and protects the personal data of employees reporting violations and abuse. It collects and reviews whistle-blower reports, issues recommendations to units on settling the reported cases and preventing similar cases going forward, and gives advice to employees.

On a daily basis, the Bank analyses its products and services, regulatory documents, queries from supervisory bodies and customer complaints to assess them from the standpoint of possible regulatory (compliance) risk, their implications and mitigation measures. Information concerning regulatory (compliance) risk with a breakdown by business areas is reported to the Bank's designated bodies on a quarterly basis.

In 2022, the Bank took part in the Russian Business Anti-Corruption Rating (the "Rating") conducted by the national non-governmental organisation Russian Union of Industrialists and Entrepreneurs, which affirmed the Bank as a class A1 institution – an organisation or company with the highest level of corruption prevention and minimum corruption risk.

CLASS

A1

(top) rating

ASSIGNED TO THE BANK
AS PART OF THE RUIE
RUSSIAN BUSINESS
ANTI-CORRUPTION
RATING

Statutory Audit Commission

The Bank's financial and business activities are monitored by the Statutory Audit Commission, which makes sure the Bank's operations are aligned with the interests of its shareholders and comply with the applicable Russian laws.

The Statutory Audit Commission¹ oversees the following:

- the Bank's compliance with Russian accounting regulations, compiling reports and reporting;
- reliability of information contained in the reports and other financial documents of the Bank;
- set-up of the Bank's internal control system;
- steps taken by the Bank in furtherance of instructions from the Russian President and the Russian Government.

The Commission acts on the basis of the Charter and the Regulation on the Statutory Audit Commission of the VTB Bank. The Commission is elected at the Annual General Meeting of Shareholders, which determines its size and composition for the period until the next Annual General Meeting. At the meeting held on 3 June 2022, the Annual General Meeting of Shareholders elected a new Statutory Audit Commission made up of five members, including a chairman, for a new term.

In 2022, according to the 2021–2022 work plan (Minutes No. 1 dated 30 September 2021), the Statutory Audit Commission reviewed the data included in annual accounting (financial) statements for 2021 in compliance with the Russian Accounting Standards (RAS), including the statement of financial results and other documents presented to the Annual General Meeting of Shareholders. It also assessed the Bank's compliance with the applicable laws in 2021.

Based on the results, the Commission prepared and approved a positive opinion where it acknowledged the overall accuracy of the accounts and the absence of material grounds for not confirming the data in the balance sheet and the statement of financial results as of 1 January 2022.

In its opinion, the Statutory Audit Commission reaffirmed the following:

- no violations of regulations of the Russian Federation as regards accounting and reporting procedures or financial and business operations were found that could have had a significant impact on the Bank's financial results for 2021;
- the Bank's annual accounting (financial) statements for 2021 and other financial documents are reliable and fair and provide a true picture of the Bank's financial position as of 1 January 2022;
- the Bank's Annual Report for 2021 was prepared in accordance with the applicable Russian laws;
- the information contained in the report on interested-party transactions completed by the Bank in 2021 is accurate;

¹ The positions and biographies of the Statutory Audit Commission members are reported as of 31 December 2022.

- the Bank complies with the statutory requirements set by the Bank of Russia;
- the Bank’s corporate governance, risk management and internal controls meet the requirements set by the Russian laws and regulations of the Bank of Russia and are in accordance with the nature and scale of the Bank’s operations.

The opinion of the Statutory Audit Commission on its audit of the Bank’s financial and business operations in 2021 was presented to the Annual General Meeting of Shareholders on 3 June 2022.

In line with its 2021–2022 work plan, the Statutory Audit Commission held two in-person meetings which reviewed the following matters, among others:

- implementation of the Bank’s staff and administrative budget in accordance with RAS;
- execution of the Bank’s business plan for net operating income including provisions (RAS);
- implementation of the Bank’s Development Strategy and Long-Term Development Programme;
- integration of the Corporate Governance Code’s provisions into the Bank’s programme documents;
- assessment of the organisation and monitoring of the Bank’s internal controls;
- the procedure for calculating dividends paid by the Bank;
- implementation of the Bank’s non-core asset disposal programme;
- implementation of the Bank’s Investment Programme;
- compliance with the Bank’s procurement procedures;
- implementation of directives of the Russian Government;
- the accuracy of information contained in the report on interested-party transactions completed by the Bank in 2021;
- the Bank’s internal regulations governing the activities of the Statutory Audit Commission;
- election of the Chairman of the Statutory Audit Commission;
- approval of the Statutory Audit Commission’s work plan for 2022–2023 (corporate year);
- approval of the programme for auditing the Bank’s financial and business operations for 2022–2023 (corporate year);
- approval of the programme for verifying the analysis of the Bank’s internal regulations by the Statutory Audit Commission.

In 2022, VTB Bank regularly provided the members of the Statutory Audit Commission with information necessary to monitor the Bank’s financial and business operations, including annual and interim accounting (financial) statements under RAS, consolidated financial statements under IFRS, as well as information on the Bank’s implementation of directives and instructions issued by the Russian Government, on the Long-Term Development Programme and on the non-core asset disposal programme.

On 3 June 2022, the Bank’s Annual General Meeting of Shareholders approved the Regulation on Remuneration and Compensation Paid to Members of the Statutory Audit Commission in accordance with the recommendations of the Supervisory Council’s Staff and Remuneration Committee (Minutes No. 58).

According to this document, the remuneration is paid to members of the Statutory Audit Commission for the period from election to the Statutory Audit Commission at the General Meeting of Shareholders to election of a new Commission at the next General Meeting (the “Calculation Period”).

Remuneration payable to the Statutory Audit Commission for performing its duties in the Calculation Period includes the following components:

- the basic part for performing relevant duties;
- a bonus for chairing the Statutory Audit Commission.

The basic part of the remuneration paid to members of the Statutory Audit Commission is 20% of the average remuneration paid to a member of the Bank’s Supervisory Council who is not a public servant (the “professional director”).

The actual remuneration paid by the Bank to each member of the Statutory Audit Commission is determined by the Commission Chairman and reviewed by the Staff and Remuneration Committee within the remit established by the Regulation on the Staff and Remuneration Committee.

The Bank established a bonus equal to 30% of the basic remuneration paid to Commission members for chairing the Commission. The basic part is payable to a member of the Statutory Audit Commission provided they were present at and / or attended remotely in the form of a conference call and/or video conferencing at least half of the meetings and participated in at least half of absentee votings held by the Statutory Audit Commission in the Calculation Period.

The bonus is payable to the Chairman of the Statutory Audit Commission for performing relevant duties provided they were present at and / or attended remotely in the form of a conference call and / or video conferencing at least half of the meetings and participated in at least half of absentee votings held by the Statutory Audit Commission in the Calculation Period.

On 5 July 2022, in accordance with the Regulation on Remuneration and Compensations for Members of the Statutory Audit Commission approved by the General Meeting of Shareholders on 3 June 2022 (Minutes No. 58), the Supervisory Council’s Staff and Remuneration Committee made a decision on the actual amount of the remuneration for 30 June 2021 – 2 June 2022 payable to the Commission members who are not public servants.

Internal Audit Coordination Commission and Coordination Committee for Compliance and Internal Control

The VTB Group Management Committee established an Internal Audit Coordination Commission as well as a Coordination Committee for Compliance and Internal Control aimed at preventing money laundering, financing of terrorism and financing the proliferation of weapons of mass destruction.

External Auditor



In order to audit and confirm the reliability of its annual financial statements, VTB Bank engages an external professional auditor.

In accordance with Russian laws, the external auditor is approved on the basis of an open tender to conduct the Bank’s statutory annual audit. In March 2020, VTB Bank held an open online tender to select an auditor for carrying out a statutory annual audit of the Bank’s accounting (financial) statements for 2020–2022.

Based on its results, the Bank and the only bidder, Ernst & Young LLC, entered into Agreement No. GFS-2020-00017 dated 29 March 2020 providing for the statutory annual audit of the Bank’s accounting (financial) statements and VTB Group’s consolidated financial statements for 2020–2022. The tender procedure was governed by Federal Law of Russian Federation No. 44-FZ On the Contract System of the Federal and Municipal Procurement of Goods, Works and Services dated 5 April 2013.

The auditor was selected by a tender commission consisting of competent Bank employees and representatives of the Federal Agency for State Property Management. The tender commission assessed the bids based on the correlation between the contract price and the bidder’s qualifications.

In March 2022, EY announced the start of separating its Russian firm from the global organisation. From 11 July 2022, after the separation had been completed and the EY Russia practice had been rebranded, it continued to work as a group of assurance and consulting firms under a new B1 brand.

A member of the EY global network until 8 July 2022, Ernst & Young LLC was renamed Centre for Audit Technologies and Solutions LLC in April 2022, with relevant changes recorded in the Unified State Register of Legal Entities. The legal status of Centre for Audit Technologies and Solutions LLC remained unchanged.

All obligations under Agreement No. GFS-2020-00017 dated 29 March 2020 remain in force and will be fulfilled by Centre for Audit Technologies and Solutions (former Ernst & Young LLC) in compliance with its provisions.

In line with the International Standard on Review Engagements 2410 “Review of interim financial information performed by the independent auditor of the entity” brought into effect by Order of the Russian Ministry of Finance No. 2n dated 9 January 2019 and Russian laws, VTB and Centre for Audit Technologies and Solutions signed an agreement for quarterly reviews of VTB Group’s interim condensed consolidated financial statements prepared under IAS 34 Interim Financial Reporting introduced by Order of the Russian Ministry of Finance No. 217n dated 28 December 2015 as of 30 June 2022 (for six months of 2022).

2.5. Investor Relations



Developing relations and supporting a constructive dialogue with shareholders and the investment community have traditionally been a high priority for VTB Group. The Bank’s approaches extend beyond mandatory corporate procedures and have for many years been recognised as Russia’s best-in-class practices. In 2022, the Russian Institute of Directors assessed VTB Bank’s National Corporate Governance Rating at 8+, which corresponds to the Best Corporate Governance Practices in line with the new methodology.

VTB Group’s senior management and dedicated business units engage with investors on an ongoing basis: the Investor Relations Department is responsible for communications with institutional investors, and its Shareholder Relations Service is responsible for communications with retail shareholders.

In addition, the Bank’s subsidiaries – VTB Registrar, SOGAZ Insurance Company and VTB Pension Fund as well as divisions of VTB’s global business lines (Corporate Investment Business and Retail Business) – interact with shareholders, among other things, in providing special products and services to the Bank’s shareholders.

The remote communication channels put in place by the Bank during the pandemic proved that they are sought after and were successfully integrated into the investor and shareholder relations programme.

The Bank and VTB Group’s subsidiaries implement various projects and programmes intended to enhance minority shareholders’ engagement in the Bank’s governance and activities, as well as to increase their loyalty and interest in the Group’s long-term development.

Key investor and shareholder facts and events in 2022

- A significant increase in the number of shareholders: the number of VTB shareholders grew by more than one third coming close to 800 thousand;
- imposition of blocking sanctions on VTB by a number of countries;
- transition to a special disclosure procedure by credit organisations, including with respect to the publication of financial statements (amidst increased sanctions pressure);
- the Annual General Meeting of Shareholders held in the form of absentee voting;
- resumption of in-person meetings with shareholders;
- shareholder centres open for personal visits;
- creation of a new community for minority shareholders on VKontakte, a Russian social network, after the ban on Facebook and Twitter;
- revival of the Shareholder mobile app following the AppStore and Google Play

bans and its launch on Russia's RuStore and NashStore app marketplaces;

- major tweaks and upgrades to the remote communication channels (Shareholder mobile app, interactive Shareholder's Guide and shareholder newsletters);
- "Stock Market Today – Crisis or New Opportunities!", an online conference for retail investors; and
- fourth season of the Beginner Investor's Course.



RECORD HIGH NUMBER OF SHAREHOLDERS

787 thousand

RETAIL SHAREHOLDERS

As of 1 December 2022, the number of VTB Bank's shareholders stood at 788,560, with retail shareholders making up a sizeable part in terms of their quantity (786,898 people).

The number VTB shareholders increased by 37% year-on-year (as compared to 1 December 2021).

The strongest growth was recorded in the first half of the year. According to the register, the share of retail shareholders in total free float was progressively rising over the reporting period to reach 31.6% by the end of the year.

Shareholder growth factors:

- rapid influx of new private investors to the stock market;
- increased market volatility amid sanctions pressure and falling stock prices;
- conversion of depositary receipts into ordinary shares;
- increased activity and engagement on the part of shareholders and private investors as a result of a successful comprehensive shareholder engagement programme; and
- new formats for shareholder relations.

Shareholder Meetings and Events

The Bank resumed in-person shareholder meetings for the first time since the introduction of COVID-19 restrictions in 2020.

In July, VTB staged a workshop for shareholders and customers in Stavropol. This was the first in-person meeting of the Bank's officials with shareholders after a two-year break. The workshop saw around 100 applications from participants, with more than 50 people attending it personally.

As part of the preparations for the Annual General Meeting of Shareholders, VTB organised in-person consultations for its shareholders at shareholder centres in St Petersburg and Yekaterinburg, which were attended by both the Bank's officials and members of the Shareholders Consultative Council. With temporary restrictions in place on the disclosure of corporate financial information, shareholders welcomed the invitation to this event and set much store by its timeliness and expediency.

Minority shareholders showed keen interest in the Bank's ongoing operating activities, plans to pivot towards new geographic and industry-specific markets, subsidiary management strategies, and M&A pipeline. The agenda had a dedicated section focusing on the Bank's plans to resume dividend payouts, Eurobond servicing and payment of coupons on subordinated bonds.

On 14 December 2022, the website of VTB Registrar streamed "Stock Market Today – Crisis or New Opportunities!", an online conference attended by stock market experts, renowned financial bloggers and members of the Shareholders Consultative Council. The participants who have an account on the Shareholder mobile app could put their questions to the experts via the app, with the number of questions sent exceeding 50. The online conference had around 100 registered participants and garnered over 3,300 views.

Shareholder Mobile App



SHAREHOLDER MOBILE APP



NASHSTORE



RUSTORE

The Shareholder mobile app is the Bank's flagship tool for digital shareholder communications. It was launched back in 2016, with the number of downloads in the span of five years exceeding 85 thousand.

Thanks to the mobile app, any shareholder, regardless of where they live or are currently located, has access to updates on the operations of the Bank and VTB Group, and can take part in the management of the Bank by voting at general meetings, receive announcements about shareholder events and submit applications to participate in them.

App users have access to recommendations from the leading analysts of VTB Group and information on stock prices, and can keep track of their investment portfolio and catch up on important updates and corporate events for shareholders. The app enables users to see all the privileges available to VTB shareholders. In addition to that, the app keeps shareholders updated on applicable legislative changes and provides them with relevant advisory and support information.

In April 2022, AppStore and Google Play blocked the VTB Shareholder mobile app as part of the sanctions package, after which the website of VTB Registrar offered its users a PC version of the app. By May 2022, the app had been rebranded as Shareholder and had once again become available on AppStore and Google Play. In August, the app was released on Russia's RuStore and NashStore marketplaces.

In 2022, the app added new features:

- the app now has a dedicated section of the Shareholders Consultative Council which provides all the necessary information on the Council and offers a feedback form;
- the main page offers an interactive news feed with links to external information resources;
- each app user can become a member of the Shareholder Club to discuss news and publications with other members; and
- shareholders can use the app to participate in online conferences and complete online testing and surveys.

In the reporting year, 76 news pieces and over 100 information materials were posted, including regular analytical stock market updates from VTB, reviews of legislative changes and quarterly newsletters from the Shareholder Relations Service.

The app is most actively used during General Meetings of Shareholders and shareholder events. In 2023, the Bank will carry on with app improvements and updates.

Shareholder Newsletter

In order to maintain high shareholder awareness, VTB prepares a regular news digest and distributes it via email, the Shareholder mobile app and the Bank's website. The shareholder newsletter is available in HTML and PDF formats and contains information on important corporate and shareholder events, new products and services, financial performance and other matters of relevance to shareholders.

In 2022, we changed the format of the shareholder newsletter to make it more reader friendly, include more news pieces, and integrate interactive elements enabling quick access to necessary resources and services.

Currently, the topics covered by the newsletter include key corporate events of the Bank, stock market news, General Meetings of Shareholders, products and privileges available to shareholders, online events and meetings, training programmes and tests, updates on the Shareholders Consultative Council, relevant reports and press releases.

The newsletter was published six times in 2022 to reach an average of about 200 thousand recipients.

>85

THOUSAND
USERS

INSTALLED THE
SHAREHOLDER MOBILE
APP IN THE SPAN
OF FIVE YEARS

~200

THOUSAND
RECIPIENTS

OF VTB'S SHAREHOLDER
NEWSLETTER

The newsletter is now distributed via the Bank's CRM system to all customers identified as "VTB shareholders", which has helped significantly enhance the outreach. The new technology ensures a higher quality of analytics and statistics: for example, the system tracks such metrics as open rate, reader engagement, page depth and clicks on links leading to other resources of the Bank.

Investor Relations Section on the VTB Website



INVESTOR RELATIONS SECTION

The Investor Relations section of the Bank's website was viewed more than **390 thousand** times in 2022. There were **17 news pieces** published specifically for shareholders.

>20

THOUSAND
VIEWS

GARNERED BY THE
SHAREHOLDER'S
GUIDE IN 2022

VTB Shareholder's Guide

In 2022, the Bank continued to develop its interactive format for providing information to shareholders and investors, the Shareholder's Guide. The Guide seeks to help private investors who own or are purchasing VTB shares to learn more about VTB Group's structure and corporate governance principles and to understand their rights and obligations. The Guide offers a comprehensive overview of information that may be useful to investors – from share capital structure to ESG initiatives of the Bank.

In October 2022, the Shareholder's Guide saw several major upgrades, including new original charts and elements, sections and renders.

In 2022, the Guide's pages were viewed over 20 thousand times.

Social Media

In 2016, the Shareholders Consultative Council created dedicated Facebook and Twitter accounts for VTB shareholders. When these social media were blocked in spring 2022, the Shareholders Consultative Council made its page available on VKontakte, a Russian social network. In nine month since its creation, more than 1,100 users started to follow to the Shareholders Consultative Council's VKontakte page.

The new resource posted over 90 materials for shareholders on the activities of the Shareholders Consultative Council and VTB Group's corporate events. Dedicated publications spotlighted the preparation and running of the Annual General Meeting of Shareholders, the financial literacy programme, and shareholder events. A new section that kindled particular interest in the audience in 2022 gave insights into legislative changes in the realm of corporate governance and financial markets.

In November 2021, VTB launched its account on Pulse, a social network for the customers of Tinkoff Investments. This is Russia's biggest and the world's sixth largest social network for investors and traders, which brings together over two million users, including more than 30 major issuers from Russia. In 2022, the Bank's account became one of the most popular channels on Pulse, as it boasted over 21 thousand followers. The channel has 60 publications focusing primarily on the Bank's ongoing operations, stock market news, activities of the Shareholders Consultative Council, and legislative changes in areas that might be of interest to the shareholders. Furthermore, VTB was the first issuer to hold a mass quiz on Pulse: a competition with questions on VTB Group's history took place at the end of the year.

Social media are an effective tool to quickly convey important information to shareholders, attract younger audience, and actively engage with new shareholders. Other benefits offered by social media include informal approach, large-scale involvement, targeted feedback, and unbiased assessment of the shareholders' sentiment and demands.

Online Training Courses

>50
THOUSAND
PEOPLE

TOOK THE BEGINNER
INVESTOR'S COURSE
OVER THE SPAN OF
FOUR SEASONS

Mindful of the prevailing market trends and a rapid increase in the number of private investors among its shareholders, the Bank regularly develops training courses to improve the financial literacy of retail investors.

In late October 2022, we launched the fourth season of the Beginner Investor's Course with a focus on financial crises and turbulence. In two months, over 7 thousand people used the course to test their knowledge, while the total number of users since the project's inception surpassed 50 thousand.

One of the key objectives of the Investor Relations Department is to ensure a high standard of services provided to shareholders in all their dealings with VTB. That is why we developed a training course for our front-line staff, which introduces new front-desk hires to the key elements of the Bank's corporate governance, and the business units and subsidiaries of VTB Group engaged in interactions with minority shareholders. The course also provides answers to some of the most frequent questions addressed by shareholders to the employees of the retail segment.

In the second half of 2022, the course was suspended due to the amendment of the shareholder preference and privilege programme. Once adjustments to the programme are completed, integration of the training course into the onboarding system will be resumed.

Management of Shareholder Queries

7
THOUSAND
QUERIES

FROM MINORITY
SHAREHOLDERS
PROCESSED IN 2022

In 2022, the Bank processed an average of 580 queries from minority shareholders per month, with the total number of queries reaching 6,953.

Shareholders primarily used electronic communication channels (50% of queries) and telephone (25%).

The availability of a wide range of remote awareness raising tools for shareholders and educational programmes has proved its strength. In 2022, the number of material queries on brokerage services, share records, and the privilege programme demonstrated year-on-year growth.

Shareholder Centres

VTB runs shareholder centres in Moscow, St Petersburg and Yekaterinburg where shareholders, their representatives and other stakeholders can take advice on a broad range of matters. Personal queries filed by shareholders with the centres primarily had to do with the procedure for dividend accrual, payout and taxation, transactions with securities and their records, and transfer of ownership rights.

Furthermore, the centres play a crucial role in the organisation of General Meetings of Shareholders and other corporate events. In 2022, the centres remained open during voting at the General Meeting of Shareholders despite lockdown restrictions.

Given restrictions on the disclosure of corporate information that remained in effect in 2022, the centres offered minority shareholders an opportunity to read materials for the Annual General Meeting of Shareholders in their offices, with employees of the Investor Relations Department providing advice on the agenda items and draft resolutions. Shareholders were also given an option to vote at the Annual General Meeting of Shareholders remotely through designated e-terminals.

Employees of the shareholder centres engage with VTB shareholders on an individual basis and implement a number of social programmes. For example, in 2022 they made arrangements in their respective regions to congratulate veteran shareholders and shareholders who were residents of besieged Leningrad.

Support for Veteran Shareholders

RUB
>7.8
MILLION

EARMARKED TO
SUPPORT VETERAN
SHAREHOLDERS IN 2022

The Bank pays special attention to social support of veteran shareholders, with a yearly Victory Day campaign being its essential part. This support is provided to VTB shareholders who took part in the Great Patriotic War or represent similar categories, such as home front workers, residents of besieged Leningrad or former underage prisoners of concentration camps.

Since 2014, these shareholders have been receiving memorable gifts and financial aid for the Victory Day. Financing for this initiative comes from the personal funds of Andrey Kostin, President and Chairman of the VTB Management Board, with relevant amounts credited to VTB Multicards held by veterans or transferred by postal order with pre-paid home delivery.

In 2022, the campaign covered 288 people, with total financial aid coming in at RUB 7,830,000.

Projects for Disabled People

In 2022, VTB launched its programme for disabled people. Employees of the Shareholder Relations Service held four financial literacy webinars for Perspektiva, a Russian disability NGO, with topics including personal financial planning, stock market, tax credits, and financial security.

Another project was initiated by the Shareholders Consultative Council: members of the Council acted as financial and legal experts advising readers of the Russian Disabled newspaper (published by the Moscow Municipal Organisation of the All-Russian Society of Disabled People and distributed across the country free of charge). The first publications in the Conversations with Experts column came out in late 2022. The project seeks to nurture a long-term partnership with the newspaper.

Preferential Products For Shareholders

In 2017, VTB launched a programme of special shareholder privileges, which is unique in the Russian market. It offers preferential terms on a wide range of banking and financial services.

As part of the programme, VTB and some of its subsidiaries offer the Bank's shareholders special preferential tariffs and terms on key banking products, reduced brokerage, registration and depository fees, and free service packages.

In 2022, there was a marked increase in the interest shown by shareholders in the programme. By the start of December 2022, some 300 thousand shareholders using VTB products and services had joined the programme.

Shareholders can apply for their privileges at any VTB branch. The shareholder's status is checked automatically. Clients of third-party brokers may be required to provide a proof of securities they hold.

Additionally, VTB shareholders are offered discounts on insurance programmes from SOGAZ and the Shareholder non-state retirement plan, a new bonus product launched by VTB Pension Fund in autumn 2022.

2022 was the first year when the Group's subsidiaries awarded privileges to the best-performing participants of the Beginner Investor's Course as a gift for their achievements in the fourth season of the project.

Number of VTB shareholders using the Bank's retail products, thousand



Shareholders Consultative Council

 **Shareholders Consultative Council (SCC)** an independent advisory body that represents the interests of VTB's minority shareholders, continued its active work in 2022. Shareholder councils are very rare in Russia. However, the Bank of Russia believes that this practice is an effective way to ramp up activity and engagement among shareholders.

Main SCC activities:

- joint sessions and business meetings with the Bank's top managers;
- online shareholder communications and in-person shareholder events; and
- gathering proposals from VTB Group's shareholders and customers.

The Shareholders Consultative Council is re-elected every four years. The fourth line-up of the SCC was elected in 2Q 2021. By an open vote, shareholders elected 14 minority shareholders as new SCC members. Those include experts from different industries, representatives of large and small businesses, professors, IT and state administration experts, and successful investors.

Ten of the SCC members come from Moscow and the Moscow Region, two from Yekaterinburg, and one each from St Petersburg and Stavropol.

Following the 2021 elections, the SCC line-up was renewed by 65%.

At the 2022 Annual General Meeting of Shareholders, VTB's shareholders voted to elect minority shareholders as new members of the Group's governing and control bodies.

2.6. Information Policy and Disclosures



Information disclosure is one of the most important tools for the Bank's interaction with shareholders, investors, customers and other stakeholders, contributing to the creation of long-term, transparent and trust-based relationships with all stakeholders, while also improving the Bank's investment case.

Throughout 2022, the Bank's Supervisory Council monitored compliance on the part of the Bank and its employees with the requirements of the laws of the Russian Federation on the securities market, on the protection of the rights and legitimate interests of investors in the securities market and on advertising; the regulations of the Bank of Russia concerning financial markets; and the requirements and standards of self-regulatory organisations of professional securities market participants that the Bank is a member of; as well as the Bank's internal regulations, including the Regulation on the Information Policy approved by the Bank's Supervisory Council¹.

In making disclosures, VTB Bank is guided by the applicable laws of the Russian Federation, requirements of the Moscow Exchange, Regulation on the Information Policy and its Corporate Governance Code, as well as other requirements and regulations.

INFORMATION ABOUT THE BANK'S OPERATIONS CAN BE DIVIDED INTO THREE GROUPS

1

Information that must be disclosed in the prescribed manner and by the means specified in regulatory documents and by regulatory authorities.

2

Information disclosed by the Bank on a voluntary basis by any means chosen by the Bank.

3

Publicly available information that is freely provided at the request of stakeholders for informational purposes.

1 Minutes No. 18 of the Bank's Supervisory Council dated 1 December 2017.

However, in 2022, in view of the sanctions risks, the Bank sought to maintain a balance between the amount of information disclosed that is mandatory for public joint stock companies and complying with the recommendations of the Bank of Russia² and the Russian Government³ to limit the disclosure of information that is sensitive to the Bank if such disclosure may lead to restrictive measures against the person about whom the disclosure is made.

VTB's disclosure principles



CONSISTENCY, TIMELINESS AND REGULARITY



ACCESSIBILITY



VERACITY, COMPLETENESS AND COMPARABILITY



REASONABLE BALANCE BETWEEN OPENNESS AND COMMERCIAL INTERESTS



PROTECTION OF INFORMATION CONTAINING STATE, TRADE AND / OR BANKING SECRETS AND / OR MEANT FOR INTERNAL USE BY THE BANK ONLY, AS WELL AS ANY OTHER INFORMATION PROTECTED BY LAW, INCLUDING INSIDER INFORMATION AND PERSONAL DATA

1st place

IN INTERFAX'S RANKING OF DISCLOSURE LEADERS OF THE YEAR

>80 million

VISITORS ON THE BANK'S WEBSITE

>5 thousand

STATEMENTS ON THE DISCLOSURE WEBSITE

2 Information letter of the Bank of Russia No. IN-03-23/69 dated 20 May 2022, information letter of the Bank of Russia No. IN-02-28/81 dated 14 June 2022, information letter of the Bank of Russia No. IN-02-28/108 dated 24 August 2022.

3 Russian Government Resolution No. 351 dated 12 March 2022 On Specifics of Disclosure and Provision of Information Subject to Disclosure and Provision in Accordance with the Requirements of the Federal Law On Joint Stock Companies and the Russian Federal Law On Securities Market and Specifics of Insider Information Disclosure in Accordance with the Requirements of the Federal Law On Prevention of Illegal Use of Insider Information and Market Manipulation and on Amendments to Some Legislative Acts of the Russian Federation dated 12 March 2022, Russian Government Resolution No. 586 On Certain Specifics of Information Disclosure and/or Provision in accordance with Certain Regulations of the Russian Federation dated 5 April 2022.

PRIMARY DISCLOSURE CHANNELS	2022 RESULTS
The Interfax newswire and the Bank's dedicated page:	• 5,125 statements – the 1st place in Interfax's ranking of Disclosure Leaders of the Year; • new version of the Corporate Governance Code; • other documents as required by law.
VTB Bank's official website: www.vtb.ru www.vtb.com which offers the most complete information about the Bank's activities and is regularly updated in accordance with the applicable laws and the Bank's internal regulations.	In addition to information published in accordance with the applicable laws, the Bank disclosed 887 PRESS RELEASES 80.6 MILLION NUMBER OF VISITS IN 2022
The Bank's account with the Unified Federal Register of Legally Significant Information on Activities of Legal Entities, Individual Entrepreneurs and Other Subjects of Economic Activity:	130 STATEMENTS
Information workshops, conferences, press conferences, meetings, forums and other meetings with stakeholders:	• 1 conference call following the disclosure of IFRS statements; • 1 workshop for shareholders; • 1 webinar and online broadcast for shareholders and investors (online conference for shareholders); • 2 in-person consultations with shareholders.



VKONTAKTE

180.8 THOUSAND FOLLOWERS



ODNOKLASSNIKI

58 THOUSAND FOLLOWERS



TELEGRAM

185 THOUSAND FOLLOWERS



VIBER

40 THOUSAND FOLLOWERS



RUTUBE

360 FOLLOWERS

Respect for nature is an important part of VTB's corporate philosophy. The Bank prioritizes responsible resource management to reduce its impact on the environment.

Together
**we expand
opportunities**

SECTION CONTENT

3.1. Strategy of sustainable development	150
3.2. Social projects	152
3.3. Personnel	159
3.4. Responsible resource management	166



VTB has traditionally been a reliable partner in ensuring the sustainable development of the country. Society, businesses and the government can respond effectively to global challenges only if they consolidate their efforts. Open and transparent business conduct that the public can understand and socially responsible behaviour are in line with VTB Group's strategic interests.

3.1. Sustainable Development Strategy

In the current situation resulting from large-scale international sanctions, the Russian financial industry must place a strong emphasis on structural transformation, import substitution and diversification of foreign trade relations. Now it is very important to build new production, logistics and supply chains while also adapting financial tools and capabilities to a new operating environment

VTB'S sustainable development goals



VTB Bank is actively searching for alternatives and opportunities for growth. As always, we prioritise preserving an active customer base and offering high-quality products and services. Amid by restrictions, the Bank started to draft a new strategy focused on the domestic market and eliminating the impact of sanctions.

In 2022, we took the following steps as part of our new strategy:

- Transformed our Internet bank as quickly as possible;
- Enabled money transfers to neighboring countries using our own software;
- Launched a project to create a digital bank in the messenger;
- Continued to refurbish offices using cutting-edge solutions.

As a critically important bank, VTB successfully implements government programmes and offers preferential financing terms to support domestic manufacturers.

VTB has long been doing consistent work to develop its own technologies and integrate Russian software in all its core processes. Our timely efforts in this area enable the transition of our key systems to our own solutions.

The reporting year gave a new impetus to our programmes aimed at digitalisation of products and services. Currently, we are completing migration to cutting-edge microservice IT infrastructure, which will make us more flexible and fast in responding to customer queries and offering new products aligned with their needs.

As part of the Paperless Banking programme, the following areas now rely on electronic workflow:

- Document exchange with government agencies – by nearly 100%;
- Relations with 23 thousand counterparties – by more than 90%;
- Accounting and cash transactions – by 98%.

Importantly, all our business units along with support and control units have contributed to the transition.

In the new reality, a special emphasis is placed on social aspects of our operations. In particular, our Retail Business offers personalised solutions to a wide range of customers and takes part in all relevant government programmes. We also pay attention to supporting families. That said, we started to create a package of products to support Russian families at every stage, from child birth to parent retirement.

As a socially responsible bank, VTB is running a comprehensive programme to adapt its products, services and offices to the needs of people with disabilities. We also do our best to adjust our existing products and services to the needs of mobilised soldiers. For example, we issued dedicated Mir cards and provided help to borrowers by restructuring their loans and granting them repayment holidays. Our call centre has a designated hotline for such customers and their relatives.

Given the strong influence of non-economic factors on the economic and financial aspects, our ability to respond to emerging challenges in a fast and efficient manner increasingly depends on the professionalism, initiative and determination of our team. Changes require our people to show flexibility, ability to learn new skills and forge ties with new partners.

In November 2021, the Supervisory Council of VTB Bank adopted a new Sustainable Development (ESG) Strategy (for the period until 2025). With the approval of the ESG Strategy, the Bank launched a comprehensive effort to embed sustainable development elements in its operations.

This section of the annual report represent VTB's key results and achievements in 2022 as regards sustainable development, including an internal environment, as well as the impact on society and nature¹.

¹ For more details, see the Bank's Sustainability Report.

3.2. Social Projects

As part of its approved Sustainable Development Strategy and in accordance with the Corporate Social Responsibility Policy, VTB contributes to the national and global sustainable development goals both through its core activities and through participation in initiatives aimed at improving the quality of life in the regions where it operates, developing healthcare, science, education, and culture, and protecting the environment.

Decisions related to the allocation of funds for sponsorship and charitable activities are made by the standing Committee for VTB Bank's Sponsorship and Charitable Activities. The Committee reports to the Bank's Management Board and to the President and Chairman of the Management Board.

Regional charity projects and those under the federal programme A World without Tears are mainly steered by VTB-Strana, our corporate Charitable Foundation for Support of Social Initiatives and Provision of Targeted Assistance.

As part of its sponsorship and charitable activities, VTB continues to implement the following six large-scale targeted programmes:

A SPORTING COUNTRY

3 GOOD HEALTH AND WELL-BEING

10 REDUCING INEQUALITIES

11 SUSTAINABLE CITIES AND HUMAN SETTLEMENTS

PATRIOTISM AND A COUNTRY OF TRADITIONS

10 REDUCING INEQUALITIES

16 PEACE, JUSTICE AND EFFECTIVE INSTITUTIONS

17 PARTNERSHIP FOR SUSTAINABLE DEVELOPMENT

A COUNTRY FOR BUSINESS

8 DECENT WORK AND ECONOMIC GROWTH

9 INDUSTRIALISATION, INNOVATION AND INFRASTRUCTURE

17 PARTNERSHIP FOR SUSTAINABLE DEVELOPMENT

A CULTURAL COUNTRY

4 QUALITY EDUCATION

10 REDUCING INEQUALITIES

11 SUSTAINABLE CITIES AND HUMAN SETTLEMENTS

A HEALTHY COUNTRY

3 GOOD HEALTH AND WELL-BEING

15 CONSERVATION OF TERRESTRIAL ECOSYSTEMS

AN EDUCATED COUNTRY

4 QUALITY EDUCATION

8 DECENT WORK AND ECONOMIC GROWTH

9 INDUSTRIALISATION, INNOVATION AND INFRASTRUCTURE

Financing these programmes enables the Bank to share its core values and social mission with the society. The programmes include both sponsorship and charity projects.

As part of strategic projects, we separately finance long-term and large-scale projects of national importance, such as our cooperation with FC Dynamo to preserve the national sporting traditions, promote mass sports, and bring up young people.

In 2022, VTB implemented 323 social projects worth RUB 15.2 billion, including RUB 9.1 billion for sponsorship and RUB 6.2 billion for charity.

In addition, VTB-Strana ran 1,576 sponsorship and charity projects worth RUB 1.6 billion, providing support to 608 educational institutions, 186 hospitals, 90 veterans organisations, 40 children's organisations, and 31 cultural institutions. On top of that, the foundation held two grant competitions for RUB 20 million and two fundraising events for the Bank's customers and employees in the run up to 1 September and the New Year, which helped raise RUB 3 million for parentless children.

323

SOCIAL PROJECTS IN 2022

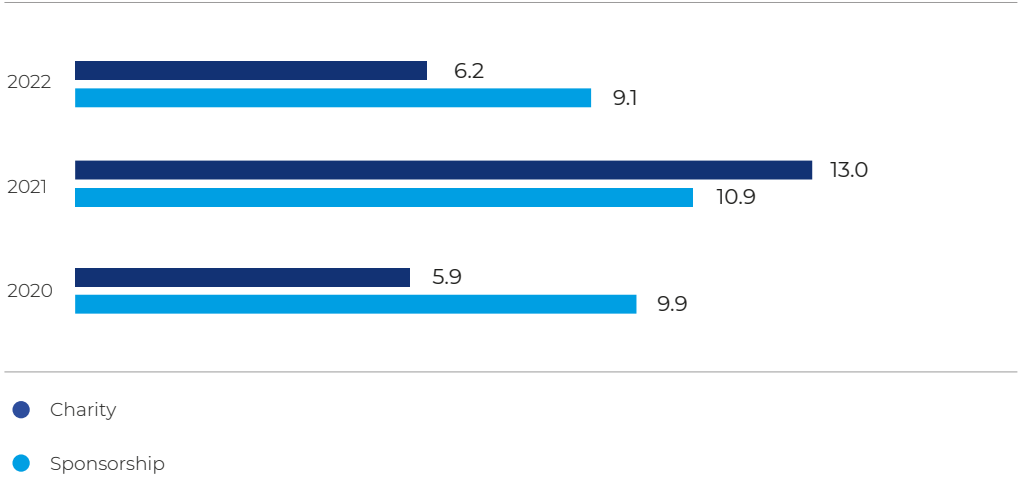
> RUB 15 billion

1576

SPONSORSHIP AND CHARITY PROJECTS RUN BY VTB-STRANA

RUB 1.6 billion

VTB Bank's sponsorship and charitable activities, RUB billion



43

SPORTS PROJECTS

1.6 RUB BILLION

A Sporting Country

The Bank's Sporting Country programme seeks to support both high-performance and mass sports with a view to promoting healthy lifestyles. This is an excellent initiative to foster physical activities among people of all ages, genders and walks of life.

The Bank set up multiple grants and awards to help people succeed in sports. This way athletes can reach their full potential without worrying about financial aspects. The initiative also promotes physical activities among ordinary people by offering discounts for VTB cardholders on gym memberships or sports goods purchases at affiliated shops.

Despite the restrictions on holding international competitions, the Bank's Sporting Country programme supported 43 long-term sports projects worth RUB 1.6 billion in 2022, including assistance to the Artistic Gymnastics Federation of Russia, VTB United Basketball League, KAMAZ Master rally team, Russian Volleyball Federation, etc.

Also, VTB regularly finances sports events in the regions where it operates. For instance, the Bank sponsored a wrestling tournament in Krasnoyarsk, 4th Half-Marathon in Lipetsk, Siberian International Marathon, Crystal Cup Russian Sailing Championship in Taganrog, All-Russian Equestrian Competition in the Rostov Region, and the Far Eastern Tennis Tournament in Khabarovsk.

The Bank continues to support initiatives aimed at ensuring equal opportunities for the younger generation otherwise deprived of the right to participate in sports or other activities. In 2022, regional children's sports schools and clubs sought support from VTB to buy equipment and hold competitions. As an example, the Dynamo football school in Kostroma with more than 700 trainees received the Bank's assistance with sportswear and equipment purchases for the third time. VTB also helped open new branches of the Dynamo Football Academy in Ulyanovsk and Veliky Novgorod. This season, 100 athletes aged from 7 to 12 will start free training at FC Dynamo-Electron in Novgorod.

Our investment in physical training programmes enables youngsters to unlock their potential and become productive members of society. Sports are also essential for rehabilitation and socialisation of people with disabilities. As an enthusiastic supporter of high-performance sports, VTB Bank has always been looking to make sports accessible to everyone and rendering regular support to the foundations doing this job for several years now.

To promote healthy lifestyles and improve the urban environment, the Bank continues to develop the Velobike project, which keeps expanding: its bike-sharing services now available in Balashikha (near Moscow), Yuzhno-Sakhalinsk, and the Far Eastern Federal University campus on the Russky island. In 2022, Velobike users made 3.3 million trips, mostly in the metropolitan area. During the season, Moscow and the Moscow Region operated a total of 776 parking stations with a combined fleet of 7.5 thousand bicycles.

Patriotism and a Country Of Traditions

This programme aims to foster a sense of patriotism and pride in the country. The Bank supports unique projects aimed at reviving national and spiritual values, while also rendering assistance to socially minded foundations with a focus on supporting federal and local veterans foundations.

In 2022, VTB allocated funds for patriotic education to the Young Army All-Russian Military and Patriotic Social Movement Association for children and youth, St Petersburg Cadets, Russian Union of Free Youth, St Petersburg branch of the Russian Peace Foundation, and the Russian Military Historical Society.

Since inception, our mission and primary social focus have been set to preserve and restore cultural heritage sites. In the reporting year, VTB continued to financially support museums, including the Novgorod State United Museum and the Kizhi State Open-Air Museum of History, Architecture and Ethnography. The Bank also supports churches and cathedrals across Russia, including assistance rendered to the Valaam and New Jerusalem monasteries.

To foster national traditions in Russian regions, the Bank sponsored the Soul of the North international exhibition of bone-carving art in the Yamal-Nenets Autonomous Area, Property of the North exhibition in Syktyvkar, Baikal ice fishing tournament, etc.

VTB implemented a total of 72 projects in 2022, mostly in the form of charity.

72
PROJECTS

TO REVIVE NATIONAL
AND SPIRITUAL VALUES

2.9 RUB
BILLION

61
CULTURAL
PROJECTS

1.3 RUB
BILLION

A Cultural Country

For the purposes of the Culture national project, VTB Bank has traditionally supported initiatives of Russia's key cultural institutions, national heritage sites, music bands and performers at the federal level, as well as the most important channels for the distribution of cultural values (film production and TV). In 2022, VTB contributed to 61 cultural projects.

The Bank's regular partners include the Moscow State Conservatory and St Petersburg Philharmonia, as well as music theatres and groups such as the Bolshoi Theatre, the Primorsky Stage of Mariinsky Theatre, the Charity Foundation of Valery Gergiev, the Eifman Ballet, and the musicAeterna orchestra and choir. In 2022, musical events sponsored by VTB attracted an audience of over 2.2 million. The Bank is a patron of leading drama theatres, including the Chekhov Moscow Art Theatre, the Pyotr Fomenko Workshop Theatre, Russian Academic Youth Theatre, the Tovstonogov Bolshoi Drama Theatre, the Tabakov Theatre, and the Vakhtangov Theatre.

During the year, they staged 35 premieres and gave more than 2,800 performances attended by 1.7 million guests.

While working with the pillars of national culture, the Bank is not unmindful of the regions. VTB provides regular support to cultural events, including the Baltic House International Theatre Festival in St Petersburg and the International Volkov Festival in Yaroslavl.

In 2022, VTB Bank supported twelve exhibitions at leading museums of Moscow and St Petersburg, including the Tretyakov Gallery, the Hermitage and the St Petersburg State Museum of Theatre and Music, attracting more than 1.5 million visitors.

The exhibition "Brother Ivan. The Collections of Mikhail and Ivan Morozov" at the Pushkin State Museum of Fine Arts was attended by 384 thousand people. The exhibition was accompanied by an extensive educational programme, including video tours, podcasts and a special Music Dimension project prepared by the Bank in collaboration with another partner, the musicAeterna orchestra.

In late November 2022, a landmark event for VTB Bank took place in Moscow – the Bank unveiled its first in-house cultural centre dedicated to the study of constructivist theory and practice in the refurbished building of the former Zotov bakery plant. The Zotov Centre will host exhibitions, avant-garde cinema, lectures and public events, as well as run a grant research programme.

The Bank also makes efforts to promote an accessible environment in cultural institutions. Since 2020, VTB has been a partner of the inclusive programme at the Jewish Museum and Tolerance Centre, producing Dialogues on Art. A Podcast for the Hearing Impaired, a special project in the Russian sign language. In 2022, the Bank initiated the Inclusion in Culture round table the St Petersburg Philharmonia and took part in the annual Relay for Kindness festival in Peterhof.

22
HEALTHCARE
PROJECTS

1 RUB
BILLION

A Healthy Country

Keeping people in good health and relentlessly improving Russia’s healthcare are top priority challenges for both the state and business. VTB’s A Healthy Country programme was created to achieve this goal by providing charitable support to healthcare institutions and projects related to cutting-edge medical technologies. The programme also supports biodiversity conservation projects across Russia.

Since inception, A Healthy Country project has already had a significant impact on the society – from improving access to health services in all regions of the country to developing new treatments that improve patients’ health and reduce the cost of medical care. In 2022, 22 projects worth RUB 976 million were implemented as part of A Healthy Country programme, including RUB 143 million to support regional healthcare institutions at various levels.

VTB Bank has been operating its nationwide corporate charity programme A World without Tears for almost 20 years. The programme finances the purchase of expensive medical equipment, medicines and supplies for children’s hospitals across the country. In 2022, 15 hospitals in Moscow and 10 regional locations received a support of RUB 70 million, with two regions (the Republic of Dagestan and the Komi Republic) joining the programme for the first time. We hold traditional festivals and present gifts for children undergoing treatment in participating hospitals. In 2022, we implemented a new format, the Letter to Santa. VTB-branded mailboxes were installed in 13 hospitals to collect letters to Santa and VTB Bank. Some 2,500 children all over the country received individual gifts as part of the campaign.

In addition to purchasing equipment for hospitals, VTB contributes to scientific research and the development of medical infrastructure. In the reporting year, for example, the Foundation for Support and Development of Paediatric Haematology, Oncology and Immunology received funding for the programme of molecular genetic diagnosis for children with cancer predisposition syndromes. The Bank also supported the Life Genome Charity Fund for medical and social genetic aid projects to implement a genetic testing programme for children with severe inherited diseases and their families.

The Bank participates in the inclusive project United Country – Accessible Environment. In 2022, to draw an accessibility map, the project monitored sports clubs and summer cafés in terms of accessibility for people with disabilities, organised a children’s ski race and a half-marathon in wheelchairs, and held “kindness lessons” at schools in 78 regions.

VTB Bank’s efforts to combat climate change and protect the environment are aimed, in particular, at supporting protected areas and increasing populations of rare species in Russia’s ecosystem, as well as promoting awareness projects. In the reporting period, the Bank supported seven environmental projects worth RUB 108.8 million. In particular, the Bank continued to provide funding to Amur Tiger Autonomous Non-profit Organisation and the Kronotsky Nature Reserve, and also participated in:

- the second stage of the Ecosystem. Protected Land Russian National Youth Environmental Forum in Kamchatka;
- the 12th International Forum Arctic: Today and the Future;
- the 2022 Arctic Floating University expedition;
- the 8th The Most Beautiful Country Photo Contest of the Russian Geographical Society; and
- the Russian Ecological Dictation.

The Bank’s employees are also engaged in environmental initiatives across its footprint. Among other things, they hold tree planting events, clean-ups, collect recyclable materials (batteries, plastics, and waste paper), participate in the Green Russia national campaign, support animal shelters, and vaccinate homeless animals against rabies.

VTB Bank believes that investing in people’s health and well-being will bring long-term benefits not only to some individuals but to the society as a whole, and help us build a healthier future together.

An Educated Country

65
EDUCATIONAL
PROJECTS

0.8 RUB
BILLION

Quality education is one of national priorities to which VTB has chosen to contribute. As part of its global An Educated Country social programme, the Bank contributes to improving education levels across the country in line with its strategy to support the regions where it operates. VTB sponsors educational institutions and implements charitable initiatives.

The year of 2022 saw VTB provide a total of RUB 0.8 billion to sponsor 65 educational projects.

The following Bank’s initiatives are worth notice:

- cooperation with universities in the regions where the Bank operates;
- cooperation with the Graduate School of Management at St Petersburg State University, including management of the business school, updating and implementing a development strategy, as well as joint development of a number of educational projects;
- VTB Bank’s specialised department at the Financial University under the Government of the Russian Federation;
- implementation of charitable projects aimed at supporting education in the regions where the Bank operates; and
- improvement of financial literacy among the population.

We support secondary and higher education institutions across our footprint. Over the past year, 83 educational institutions in 33 Russian regions received funds to renovate their facilities, classrooms, lecture halls and gyms, as well as to carry out campus projects.

The Bank continues to cooperate with leading universities such as St Petersburg State University, Higher School of Economics, MGIMO, Moscow State University, Moscow Institute of Physics and Technology, Far Eastern Federal University, Financial University, the Russian Institute of Theatre Arts, and Gerasimov Institute of Cinematography. VTB also funds renovating the teaching infrastructure, updating information media of educational institutions and supporting gifted students. In the reporting year, the Bank signed a strategic partnership agreement with the Financial University under the Government of the Russian Federation and opened a special Modern Banking Practices and Technologies department.

VTB Group considers it necessary to improve the financial literacy of the population. To this end, we co-founded, together with other leading Russian banks, the Association for the Development of Financial Literacy.

Support for gaming areas in the format of mini-banks at Kidburg vocational centres (with an average attendance of 1.8 million children per year) and the Financial ABC course in the Good Night, Little Ones! programme (50 broadcasts per year, over 30 million viewers) help shape a positive attitude to finance among children of preschool and primary school age. To support the skills of schoolchildren and students, regular Olympiads (Mission Possible. Your Vocation as a Financier and I am a Professional) are held.

The Bank systematically organises dedicated sessions aimed at different audiences, from the basic level (children, people with disabilities, public sector employees, pensioners) to the advanced one (financial analysts and investors). Financial literacy course materials are also available on the Bank's web resources.

A Country For Business

VTB has made a tradition of sponsoring and organising business events at the national and international levels. Every year, the Bank supports numerous conferences, forums and exhibitions related to strategically important areas of its business and addressing current challenges for the business community.

In 2022 alone, VTB supported 57 events, including 11 major ones, such as:

- St Petersburg International Economic Forum;
- Moscow Financial Forum;
- Eastern Economic Forum;
- Finopolis Forum of Innovative Financial Technologies; and
- Industrial Policy in a New Reality national industrial summit.

These initiatives are focused on contributing to the development of the Russian economy by creating an effective platform for a dialogue between governments, investors and entrepreneurs from around the world. Using a shared platform, representatives from different sectors can freely exchange ideas and find solutions related to the needs of a particular sector or region.

In addition, the Bank aims to contribute to Russia's national development within the framework of digital transformation. In accordance with the Bank's strategic priority for innovative development, it participated in a number of IT projects, including the 26th Russian Internet Forum and OpenTalks.AI conference. In partnership with the Skolkovo Technopark, the Bank organised DATA FUSION 2022, a large-scale project, which included a Data Fusion Contest, Data Fusion Awards and a conference. Jointly with the Open Data Science community, VTB organised the Data Fest, as well as hackathons and meetups on digitalisation and data analysis.

The Bank of Russia's Fintech Hub supported the VTB API Hackathon competition, an in-house event of VTB Bank aimed at experts in open software interfaces (131 teams, six finalists).

For various groups of customers, the Bank regularly organises online and offline events on geopolitical trends, structural transformation of the economy, investment policy, strategic approaches, sectoral markets, financial literacy and other relevant topics. VTB actively contributes to events of the kind aimed at promoting technological progress in various sectors of the Russian economy.

3.3. Personnel

As of 31 December 2022, VTB Bank's and VTB Group's* headcount was 55.0 thousand and 85.9 thousand employees, respectively (vs 60.6 thousand and 72.9 thousand as of 31 December 2021).

		VTB Bank	VTB Group
	HEADCOUNT, PEOPLE	55,048	85,943
	AVERAGE WORK EXPERIENCE, YEAR	6.2	5.8
	PERCENTAGE OF WOMEN, %	72	70
	PERCENTAGE OF MEN, %	28	30
	AVERAGE AGE, YEAR	36.3	36.5
	PERCENTAGE WITH HIGHER EDUCATION, %	83	82

Recruitment

In 2022, VTB Bank's HR service demonstrated short lead times and rapidly filled the vacancies. It hired over 10.7 thousand people.

10.7
thousand

PEOPLE WERE HIRED
BY VTB IN 2022,
INCLUDING

~1
thousand

MANAGERS

>6
thousand

EMPLOYEES TO FILL
THE VACANCIES IN THE
REGIONS AND CONTACT
CENTRES

As a result, all key units were able to operate without interruption and maintain a high level of customer service.

In 2022, VTB Bank continued to rank high among employers. For the second year in a row, it was one of the leaders in the platinum category of Russia's Best Employers rating from Forbes. The Bank also made it to the Top 3 banking employers ranking put together by HeadHunter, Randstad Award and Best Company Awards.

Young Talent Development

VTB expands internship opportunities every year. In 2022, it welcomed over 450 interns from all across Russia. Over the years of running internship programmes, VTB has received some 60 thousand applications from candidates, selected and trained more than 1.7 thousand people, and more than 50% of young professionals have been hired.

>450
people

WERE TRAINED
IN 2022

20
thousand

APPLICATIONS
REACHED IN 2022

40
applicants

PER 1 POSITION
IN 2022

In 2022, VTB held the fourth More.Tech 4.0 hackathon¹ for IT developers, analysts and designers where they could practise web design and analytics. The hackathon attracted 845 participants from all around Russia – an all-time record for the project.

1 A forum and contest.

>1.4
THOUSAND
PEOPLE

TOOK PART IN A
PROGRAMME OF
PERSONALISED
GRANTS FOR
STUDENTS OF RUSSIAN
HIGHER EDUCATION
INSTITUTIONS

In the reporting year, the Bank launched the third season of the Your Future Start personal grant programme as a training course for students of Russian universities. Out of 8 thousand applications submitted in 2022, over 1.4 thousand were selected and 20 winners received RUB 200 thousand grants from the Bank to finance their professional development.

In 2022, the Financial University launched a special Modern Banking Practices and Technologies department with support from VTB. It aims to train future bankers and develop their skills in risk management, big data, banking automation and other modern financial technologies. In the reporting year, the Bank financed the repairs and equipment of a VTB-branded classroom at the Financial University. It now hosts training courses, workshops, round tables and other events attended by the Bank's experts.

Personnel Assessment

VTB Bank holds annual personnel assessments. In 2022, it evaluated the 2021 performance of some 38 thousand employees using a special methodology. Among others, VTB assessed over 5 thousand employees from cross-functional teams and streams of the Retail Business, Medium and Small Business, and Technology units. Personnel assessment helps identify key employee competencies, skills and achievements and check whether employees match their job profiles and receive a fair remuneration. For instance, results of cross-functional team assessment are used for paying out bonuses. Every year, the Bank's employees draw individual plans setting goals and mapping out their further professional development. For example, 45 thousand employees prepared individual plans for 2022. Progress against these plans was evaluated in early 2023.

Apart from focusing on existing staff, the assessment is used for recruiting new talent. It helps evaluate the candidates' competencies and potential.

VTB Bank applies the following personnel assessment tools:

- assessment and development centres;
- competency-based interviews;
- 360-degree reviews; and
- online assessment.

In the reporting year, around 4 thousand people were evaluated using these techniques.

Training and Development

In 2022, staff training focused on the fast adaptation to a new environment. Over 49 thousand employees learned to effectively deliver on day-to-day business objectives in line with new requirements.

The key focus areas of staff development in 2022:

- support of business and management based on corporate values and efficient response to external challenges;
- upskilling of experts in various areas;
- development of front-office employees;
- promotion of digital competencies and training in new software.

As regards business and management support, projects to unlock leadership potential, improve managerial competencies and enhance performance amid turbulence and sanctions are still relevant. In 2022, over 3 thousand managers took this kind of training, with projects to develop team leadership, boost employee motivation in times of uncertainty and unlock leadership potential enjoying strong demand from business line managers. Head Office managers were interested in programmes to enhance HR management and build product strategies, while managers of IT, support and control functions sought to develop communication, leadership and change management skills.

In 2022, we launched Management Essentials: Practical Management School, a programme to develop management skills. The programme was designed for managers as part of the Bank’s strategic partnership with the Graduate School of Management at St Petersburg University to provide hands-on training in team management and personal leadership. Over the year, some 220 new local managers took this training.

Training programmes paid a special attention to staff development in line with corporate values. For this purpose, VTB created catalogues of 186 programmes and enabled its managers and employees to choose the most suitable ones. Over the year, over 2.8 thousand managers and more than 25 thousand employees received relevant training.

In 2022, as part of its digital transformation efforts, the Bank continued to develop employees’ digital competencies by offering over 200 programmes in the following domains:

- data management;
- information security;
- digital technology;
- development of digital products.

An important milestone in developing digital products was training 12 thousand employees engaged in cross-functional workstreams and teams. In the course of the programme, they learned about the ins and outs of product development and automation of the Banks’ business processes. Over 1 thousand employees took training in the school of Scrum Masters¹.

As part of VTB’s import substitution efforts, over 36 thousand employees took a course in the effective use of MyOffice domestic software.

¹ A Scrum Master organises experts from different fields into a team, helps split large tasks into small ones and makes sure team members agree on how the end product would look like.



A special emphasis in 2022 was placed on higher quality of customer service amid continuously changing external challenges. For that purpose, nearly 9 thousand Bank’s front office employees took programmes in customer-oriented interactions and business conduct.

On top of that, more than 48 thousand staff members received mandatory training in such areas as health and safety (including fire safety) as provided for by Russian laws, the Bank of Russia’s regulations and the Bank’s internal regulations. Employees also studies civil defence and emergency response measures, among other things, as part of first aid workshops.

The Bank seeks to ensure a comprehensive development of its staff. In 2022, we launched an open lecture club called Continuous Improvement. The project saw experts give more than 30 lectures for 6 thousand employees. The topics ranged from professional development to health, family and hobbies.

Our key training principles are:

- continuity;
- effectiveness;
- timeliness;
- accessibility.

In 2022, all training programmes relied on these principles and were available in various formats based on cutting-edge approaches in staff development.

Internal Communications

Digitalisation of internal communication channels

 Team corporate messenger	 Start mobile app
 Corporate Portal 3.0	 VTB Book of Values
 Team Energy corporate magazine	 Communication support of the Technology Unit

In particular, we created a Team corporate messenger and a Start mobile app with self-service options to enable internal communication between employees. As part of our omni-channel platform, we launched a Corporate Portal 3.0 with basic functions for a test group of employees. The portal has the main page, a phone book, a news section and a personal account.

Every month, we publish around 100 pieces of news on the portal, with average views over the year rising by 20%. The website is supported by 200 ambassadors who have various positions in the Bank and represent the entire regional network.

The reporting year also saw the Bank publish its Book of Values featuring 200 stories from employees guided by corporate values at work. The book is available to all employees in an interactive section of the intranet portal. The stories are also published at the Team Energy magazine.

To integrate VTB Group employees into the shared information space, the electronic magazine moved to an external website hosted by an in-house platform developed as part of our import substitution efforts.

From April to July 2022, the Bank organised a number of corporate clean-ups in Moscow, St Petersburg, Kazan and other areas of presence. The campaigns brought together some 5 thousand employees from more than 70 cities. Also in 2022, the Bank's business units held performance review and strategic sessions.

Noteworthy is our communication support to the Technology Unit. In 2022, the Bank organised projects to foster an agile culture, town hall meetings and award ceremonies for unit employees. A conference with unit managers took place to sum up the results of the three-year transformation.

Digitalisation of HR Processes

In 2022, we continued to develop a unified automated personnel management system.

As part of its rollout, we took the following steps:

- commissioned new self-service solutions (requests for additional payments and allowances, delegation, view of the staff list and annual bonuses, organisational and staffing changes, etc.);
- upgraded the system in line with statutory requirements, including a switch to proactive payments of allowances from the Social Insurance Fund of the Russian Federation.

In 2022, we kept transitioning to electronic workflow as part of our Paperless Banking programme. At present, as much as 83% of HR documents are electronic.

In 2022, the Paperless Banking programme saw the following initiatives put in place:

- an Employer's EUES¹ can now be used to sign orders on the employee leave and compensation for unused vacation;

1 Enhanced unqualified electronic signature.

- self-service solutions were upgraded to enable e-signing (requests for changing a day-off or employee resignation);
- e-signing of employment documents via the Goskey app is currently at the rollout stage.

The Bank keeps improving its robotic recruitment technology to reduce talent sourcing time and ensure high qualifications of candidates. In 2022, the technology was instrumental in hiring over 5.9 thousand employees across Russia (77% of all new hires).

In 2022, we expanded the functions of the chatbot facilitating the onboarding of selected candidates. The chatbot prepares a new hire for the first working day, answers questions and familiarised them with the Bank's values. It is now available to all units of the Head Office and the regional network to ensure proper integration of new employees.

3.4. Responsible Resource Management

Respect for nature is an important part of VTB’s corporate philosophy. The Bank prioritizes responsible resource management to reduce its impact on the environment.

As part of their operations carried out in line with the green office principles, VTB Group companies:

- upgrade real estate assets to improve their environmental efficiency;
- implement initiatives to reduce electricity, fuel and paper consumption;
- arrange for the recycling of office waste.

Reducing the Environmental Impact of Our Own Operations

In 2022, VTB Bank continued to improve its energy efficiency by upgrading operational assets, implementing resource-saving technologies and training employees in the rational use of resources.

Energy-saving LED lighting and inverter air conditioning are now being used in the construction and renovation of the Bank’s offices. Besides leveraging resource- and energy-saving technologies, VTB Group companies are gradually downsizing their own vehicle fleets and cargo transportation operations, while also streamlining vehicle routes.

By the end of 2022, the **Bank implemented the following energy efficiency improvements across its offices:**

- **85%** of offices were equipped with energy-saving LED lighting;
- **40%** of offices were equipped with energy-efficient inverter air conditioning;
- **433** offices were equipped with the Smart Office utility monitoring system, which enables remote management of energy consumption.

As a result of these measures, VTB Bank achieved a total energy saving of 7% or **16,173 thousand kWh**.

Furthermore, **148** of the Bank’s facilities were switched to direct contracts with independent energy suppliers, with expected **annual savings of RUB 3.9 million**.

Resource Saving

VTB implemented a range of initiatives to reduce its resource consumption.

INITIATIVE	CONSUMPTION CUTS / RESOURCE SAVINGS
Pilot project to install motion sensors*	Up to 10% reduction in electricity consumption in premises equipped with sensors
Installation of mixers with infrared sensors and faucet aerators** in bathrooms	Up to 30% reduction in water consumption
Installation of thermostatic radiator valves** on heating systems	Up to 20% reduction in heat consumption
Transition to electronic document flow	26% reduction in paper consumption
Installation of additional monitors for document verification without printing	
Development of paper procurement standards for the regional network	
Electronic approval of printed inventory documents	
Optimisation of in-house vehicle fleet: down 8% (since 2019, down 19%)	24% reduction in fuel consumption (gasoline and diesel) since 2019
Fleet renewal: over 70% of vehicles meet Euro 5 and 6 standards	

* In administrative buildings and additional offices in Moscow and the Moscow Region, as well as in the buildings of the Regional Centre for Operational Support and the Customer Service Department in the Central Federal District.

** In administrative buildings and additional offices in Moscow and the Moscow Region.

Paperless Banking

VTB launched its Paperless Banking programme in late 2020. To cut down on paper use, we introduced new tools and paperless technologies in both internal processes and interactions with clients and partners.

In just two years, the Bank successfully transitioned to efficient paperless document storage and electronic document flow. Currently, 97% of documents are processed and stored electronically, resulting in cost savings of over RUB 3.5 billion since the programme’s launch. Over the past two years, the Bank reduced its paper consumption by 900 million sheets (more than 4.5 thousand metric tonnes), saving approximately 100 hectares of forest. The implementation of digital technologies will help us save over **2.5 thousand tonnes of paper annually**.

Waste Management

All generated office waste, including **418.9 tonnes of paper**, was handed over to contractors for recycling. Our employees are becoming increasingly involved in various waste sorting initiatives:

- over **174 kg of used batteries** were collected since 2021 across the Bank’s largest office buildings in Moscow (West Federation and Eurasia towers in the Moscow International Business Centre, and the Vorontsovsky Branch) and sent to the Federal Environmental Operator for disposal;
- in May and November 2022, VTB joined Kind Caps, an ecological and charity volunteer movement (Moscow), and Useful Caps, a social and environmental initiative (Yekaterinburg), respectively. Since joining the project, the Bank’s employees collected a total of over **110 kg of plastic caps**.

Resource Consumption Across VTB Group

RESOURCE TYPE	2022	2021	2020
Heat, Gcal	144,942	172,663	133,620
Electricity, thousand kWh	212,871	229,614	237,553
Natural gas, thousand m³	2,836	1,860	2,618
Paper, tonnes	1,522	2,066	2,455
Drinking water, thousand litres	3,850	3,592	2,958

04 Financial Statements

Together
**we operate
data**



The Group's loan portfolio amounted to RUB 17.4 trillion, up 18.1% year-on-year, while the retail loan portfolio increased by 17.5% to RUB 5.6 trillion.



4.1. Financial statements in accordance with IFRS

Please find below the key financial indicators of VTB Group under IFRS. For a better understanding of the financial position of the Group, its results of operations and its cash flows, these key financial indicators should be considered in conjunction with the audited consolidated financial statements of the Group.



<https://www.vtb.com/ir/ifrs-financial-results/>

SUMMARY CONSOLIDATED INCOME STATEMENT for the year ended 31 December (in billions of Russian roubles)

	2022	2021	CHANGE
Interest income calculated using the effective interest method	1,558.0	1,128.6	38.0%
Other interest income	100.3	92.3	8.7%
Interest expense	(1,305.7)	(547.2)	138.6%
Payments to deposit insurance system	(31.6)	(27.4)	15.3%
Net interest income	321.0	646.3	-50.3%
Provision charge for credit losses on debt financial assets	(424.4)	(95.1)	346.3%
Net interest (expense) / income after provision for credit losses	(103.4)	551.2	-118.8%
Net fee and commission income	146.8	158.5	-7.4%
(Losses net of gains) / gains net of losses arising from financial instruments at fair value through profit or loss and through other comprehensive income	(74.5)	31.9	-333.5%
Losses net of gains arising from foreign currencies and precious metals	(299.7)	(82.0)	265.5%
Gains arising from extinguishment of liabilities and other gains net of losses other than interest arising from financial instruments at amortised cost	5.6	5.1	9.8%
Share in profit of associates and joint ventures	6.4	48.0	-86.7%
Impairment of investments in associates and joint ventures	(2.3)	–	n/a
(Losses net of gains) / gains net of losses from disposal of subsidiaries and associates	(228.6)	29.7	-869.7%
Provision charge for credit losses on credit related commitments and other financial assets	(94.9)	(18.4)	415.8%

	2022	2021	CHANGE
Reversal of provision / (provision charge) for legal claims and other commitments	5.0	(2.5)	300.0%
Revenue and other gains from operating lease of equipment	16.2	31.0	-47.7%
Expenses related to equipment leased out	(9.0)	(17.4)	-48.3%
Net insurance premiums earned from non-state pension fund activity	8.4	10.7	-21.5%
Net insurance claims incurred, movement in liabilities to policyholders and acquisition costs on non-state pension fund activity	(19.4)	(15.0)	29.3%
Excess of fair value of acquired net assets over cost	196.3	0.2	98,050.0%
Other operating income	9.0	8.2	9.8%
Other non-interest (losses) / gains from financial activities	(481.5)	29.5	-1,732.2%
Revenue and other gains from other non-financial activities	33.7	60.2	-44.0%
Cost of sales and other expenses from other non-financial activities	(33.7)	(63.8)	-47.2%
Expenses from write-down of property held for sale in the ordinary course of business	(0.1)	(0.8)	-87.5%
Impairment of land, premises and intangible assets other than goodwill used in non-financial activities	(1.7)	(1.9)	-10.5%
Net (loss) / gain from change in fair value of investment property recognised on revaluation or disposal	(7.3)	3.4	-314.7%
Revenues less expenses from other non-financial activities	(9.1)	(2.9)	213.8%
(Impairment) / reversal of impairment of land, premises and intangible assets other than goodwill	(5.7)	0.1	-5,800.0%
Net loss from disposal of land, premises and intangible assets other than goodwill	(29.4)	–	n/a
Other operating expense	(30.9)	(29.7)	4.0%
Staff costs and administrative expenses	(284.0)	(308.8)	-8.0%
Non-interest expenses	(350.0)	(338.4)	3.4%
(Loss) / profit before tax	(797.2)	397.9	-300.4%
Income tax benefit / (expense)	184.6	(70.5)	361.8%
Net (loss) / profit	(612.6)	327.4	-287.1%
Net (loss) / profit attributable to:			
Shareholders of the parent	(619.5)	325.3	-290.4%
Non-controlling interests	6.9	2.1	228.6%
Basic and diluted (losses) / earnings per share (expressed in Russian roubles per share)	(0.04981)	0.02341	-312.8%

SUMMARY CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
for the year ended 31 December (in billions of Russian roubles)

	2022	2021
Net (loss) / profit	(612.6)	327.4
Other comprehensive (loss) / income:		
Other comprehensive (loss) / income to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of debt financial assets at fair value through other comprehensive income, net of tax	29.2	(29.3)
Reclassification of gains to income statement on sale of debt financial assets at fair value through other comprehensive income, net of tax	2.9	(0.6)
Cash flow hedges, net of tax	–	(0.1)
Share of other comprehensive (loss) / income of associates and joint ventures	(13.0)	6.5
Effect of translation, net of tax	(56.6)	(3.8)
Total other comprehensive loss to be reclassified to profit or loss in subsequent periods	(37.5)	(27.3)
Other comprehensive (loss) / income not to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of equity financial assets at fair value through other comprehensive income, net of tax	(3.3)	0.4
Actuarial (losses net of gains) / gains net of losses arising from difference between pension plan assets and obligations	(2.2)	0.3
Land and premises revaluation, net of tax	(1.9)	5.4
Total other comprehensive (loss) / income not to be reclassified to profit or loss in subsequent periods	(7.4)	6.1
Other comprehensive loss, net of tax	(44.9)	(21.2)
Total comprehensive (loss) / income	(657.5)	306.2
Total comprehensive (loss) / income attributable to:		
Shareholders of the parent	(663.5)	304.2
Non-controlling interests	6.0	2.0

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION
as at 31 December (in billions of Russian roubles)

	2022	2021	CHANGE
ASSETS			
Cash and short-term funds	918.7	1,173.9	-21.7%
Mandatory cash balances with central banks	31.9	165.1	-80.7%
Trading financial assets	1,207.2	818.2	47.5%
Derivative financial assets	100.2	297.1	-66.3%
Due from other banks	765.7	1,225.5	-37.5%
Loans and advances to customers	16,311.7	13,791.2	18.3%
Investment financial assets	2,938.6	1,426.3	106.0%
Investments in associates and joint ventures	280.7	303.2	-7.4%
Assets of disposal groups	204.3	–	n/a
Land, premises and equipment	398.8	488.0	-18.3%
Investment property	96.8	89.8	7.8%
Goodwill and other intangible assets	472.6	378.7	24.8%
Deferred income tax asset	377.6	134.4	181.0%
Other assets	319.2	567.9	-43.8%
Total assets	24,424.0	20,859.3	17.1%
LIABILITIES			
Due to other banks	1,617.5	1,643.7	-1.6%
Customer deposits	18,545.9	15,179.6	22.2%
Derivative financial liabilities	55.0	202.1	-72.8%
Other borrowed funds	853.2	370.6	130.2%
Debt securities issued	187.8	193.8	-3.1%
Liabilities of disposal groups	154.8	–	n/a
Deferred income tax liability	57.1	34.9	63.6%
Other liabilities	1,201.8	694.9	72.9%
Total liabilities before subordinated debt	22,673.1	18,319.6	23.8%
Subordinated debt	219.7	317.7	-30.8%
Total liabilities	22,892.8	18,637.3	22.8%
EQUITY			
Share capital	659.5	659.5	0.0%
Share premium	433.8	433.8	0.0%
Perpetual bonds and loan participation notes	387.0	393.8	-1.7%
Treasury shares and bought back perpetual bonds and loan participation notes	(12.2)	(3.4)	258.8%
Other reserves	48.7	89.8	-45.8%
Retained earnings / (loss)	(24.8)	610.8	-104.1%
Equity attributable to shareholders of the parent	1,492.0	2,184.3	-31.7%
Non-controlling interests	39.2	37.7	4.0%
Total equity	1,531.2	2,222.0	-31.1%
Total liabilities and equity	24,424.0	20,859.3	17.1%

05 Annexes

5.1. Share Capital



As of 31 December 2022, VTB Bank's share capital stood at **RUB 651,033,883,623.38** and was divided into ordinary shares and Type 1 and Type 2 preference shares.

- The Bank's main shareholder (as of 31 December 2022) was the Russian Federation represented by:
- the Federal Agency for State Property Management (12.1% of the share capital, or 60.9% of voting shares);
 - the Russian Ministry of Finance (32.9% of the share capital);
 - the State Corporation Deposit Insurance Agency (47.2% of the share capital).

Following the imposition of sanctions against VTB Group, the following measures were implemented:

- a ban was introduced on securities transactions for investors from unfriendly countries;
- special C type accounts were introduced for dividend payments on these securities, affecting the holders of approximately 14% of VTB's shares;
- VTB delisted its GDRs and terminated the depositary receipt programme on the London Stock Exchange, converting all depositary receipts into ordinary shares;

These and other events impacted the Bank's shareholder structure, with a substantial increase in the share of retail investors.

In accordance with its Charter, as of 31 December 2022, the Bank had the right to issue a maximum number of 14 trillion ordinary shares with a nominal value of RUB 0.01 each. The state registration number of ordinary shares is 10401000B. The state registration date of the ordinary share issue is 29 September 2006.

Ordinary shares of VTB Bank trade on the Moscow Exchange. As of the end of 2022, the shares of VTB Bank (PJSC) were included in the Level 1 quotation list of the Moscow Exchange and in the following indices:

- MOEX Russia Index;
- RTS Index;
- MOEX Russia Index (all sessions);
- MOEX Equity Subindex;
- MOEX Broad Market Index;
- MOEX Financials Index;
- RTS Finances Index;
- RTS Broad Market Index; and
- MOEX Active Management Index (IMOEXW).

VTB Bank Type 1 and Type 2 preference shares are not traded on exchanges and do not offer a fixed dividend for the year. The amount of dividend is approved by the General Meeting of Shareholders. In addition, the Bank's Charter provides for the possibility of paying out interim dividends.

The state registration number of Type 1 preference shares is 20301000B. The state registration date of the issue is 13 December 2016.

All Type 1 preference shares were issued to one shareholder, the Russian Federation, represented by the Russian Ministry of Finance.

The state registration number of Type 2 preference shares is 20401000B.

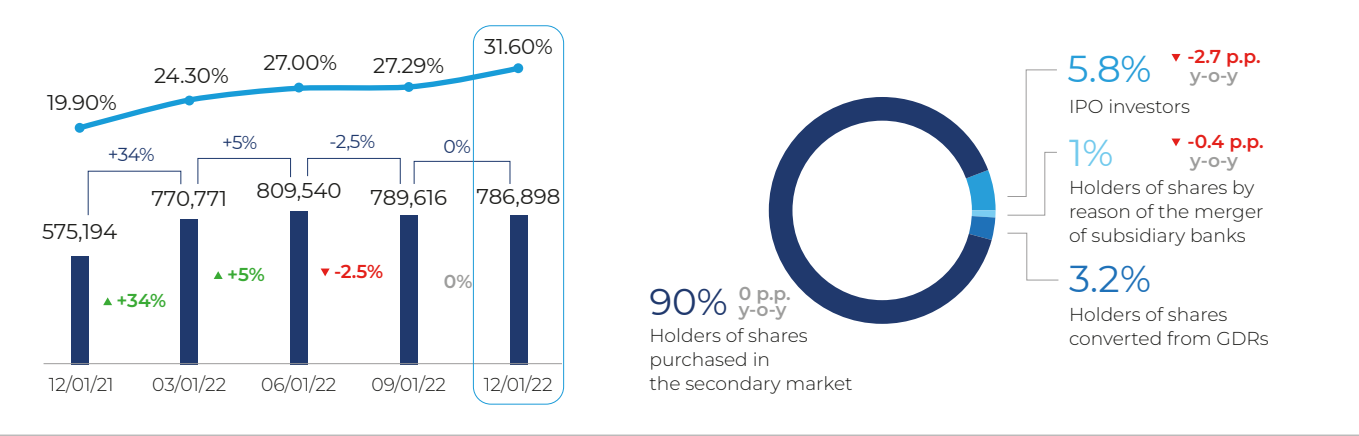
The state registration date of the issue is 13 December 2016. All Type 2 preference shares are owned by one shareholder, the State Corporation Deposit Insurance Agency.

TYPE OF SHARES	NUMBER OF SHARES	NOMINAL VALUE, RUB
Ordinary shares	12,960,541,337,338	0.01
Type 1 preference shares	21,403,797,025,000	0.01
Type 2 preference shares	3,073,905,000,000	0.1
Total	37,438,243,362,338	

As of December 2022, the Bank had a total of ca. 788,560 shareholders, including 786,898 retail shareholders. In 2022, the number of shareholders increased by 36.5%, or 211,704 individuals. The share of retail shareholders in total free float was progressively rising over the reporting period to reach 31.6%.

Currently, over 93% of the Bank's shareholders are minority shareholders who purchased shares in the secondary market. 45,264 shareholders, or 5.8% of the total current number of shareholders, participated in the Bank's initial public offering in 2007.

Changes in the number of retail shareholders in 2022



5.2. Dividends



One of the main rights of shareholders is the right to receive a share of the Bank’s net profit in the form of dividend payments. Dividend payments are approved by the Bank’s Annual General Meeting of Shareholders.

The Bank’s Charter also provides for the possibility of paying interim dividends for the first quarter, six months and nine months of the reporting year.

The record date for persons entitled to receive dividend income is determined by the General Meeting of Shareholders but may not be earlier than 10 days before the date when the decision to pay dividends is made or later than 20 days following such decision. The time period for the payment of dividends depends on the type of registered shareholder.

Dividend payments to nominal shareholders and trustees listed in the shareholder register shall be made within 10 business days, while dividend payments to other registered shareholders shall be made within 25 business days of the record date.

Shareholders unable to receive dividend because VTB Bank or the registrar lack accurate and necessary address or bank account details, or due to any other delay on the creditor’s part, can claim such unpaid (unclaimed) dividend within three years of the date on which the dividend is approved.

Any dividends accrued but unclaimed by shareholders within three years are reallocated to retained earnings of the Bank, and the related obligation is deemed discharged. Accordingly, a shareholder failing to claim the accrued dividends within three years loses the right to receive them. Dividends credited to a shareholder’s bank account are considered paid.

	2017	2018	2019¹	2020
Total amount of dividend payments, RUB million	73,516	26,820	20,120	32,737²
Dividend payout ratio				
% of VTB Bank’s net profit under RAS	73	12	10	43
% of VTB Group’s net profit under IFRS	61	15	10	48³
Dividend payments, RUB million				
Ordinary shares	44,759	14,240	10,024	18,146
Type 1 preference shares	11,804	5,164	4,144	5,989
Type 2 preference shares	16,953	7,416	5,952	8,601

1 Excluding dividends paid as part of the capital transfer following the transfer of credit claims related to state defence procurement contracts to another authorised bank.
2 The amount of dividend consists of payments from the 2020 net profit (RUB 0.0000173965919370917 per ordinary share) and payments from retained earnings from previous years (RUB 0.00138273422595461 per ordinary share).
3 The percentage is calculated only for the amount of dividends paid from 2020 net profit.

	2017	2018	2019¹	2020
Dividend per share, RUB				
Ordinary shares	≈0.00345	≈0.00110	≈0.00077	≈0.00140
Type 1 preference shares	0.00052	≈0.00024	≈0.00019	≈0.00028
Type 2 preference shares	≈0.01170	≈0.00241	≈0.00193	≈0.00280
Dividend yield, %				
Ordinary shares	5.5	2.4	1.9	3.7
Type 1 preference shares	5.5	2.4	1.9	2.8
Type 2 preference shares	5.5	2.4	1.9	2.8

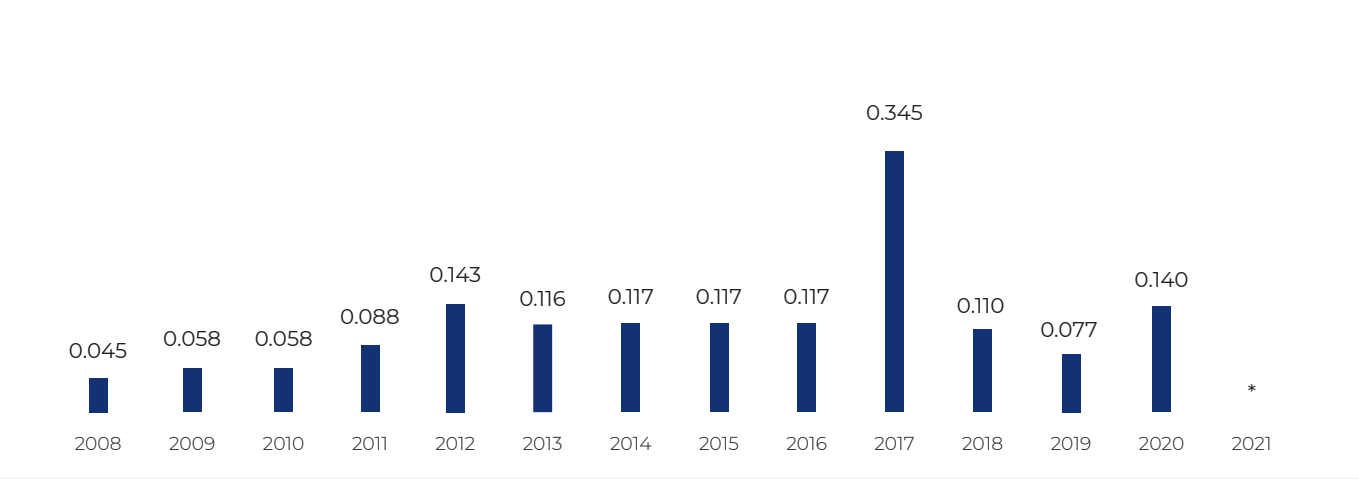
No dividends were declared and paid for 2021.

Payments are made by bank transfer to bank accounts provided to the Bank’s registrar by shareholders and nominal shareholders of record. Where the registrar lacked accurate and necessary bank account details, dividends were paid by postal order.

Dividends for previous periods were paid in full except for shareholders of record with missing or incorrect address and/or bank account details. There are no outstanding liabilities for dividends owed to the budget.

On 3 June 2022, the Annual General Meeting of Shareholders approved a decision to pay no dividends for 2021.

Record of dividend payments, kopecks per ordinary share (rounded)



* No dividends declared and paid in 2021.

Dividend Taxation

The Bank, as a tax agent, withholds dividend tax and transmits it to tax authorities.

To claim a withholding tax exemption or a reduced tax rate on dividends paid to mutual funds and foreign organisations and individuals, documents confirming the right to preferential tax treatment must be provided at the place of share registration:

- the Bank’s registrar (VTB Registrar);
- depository;
- trustee in the case of shares placed under trust management.

The dividend tax rate is 13% for individual and corporate residents of the Russian Federation and 15% for non-residents. Starting from 2021, a new progressive tax rate has been introduced. If the tax base for income from the resident’s equity participation exceeds RUB 5 million in a given tax period, a tax rate of 15% applies to the excess amount.

The tax rate is applied to the taxable amount of dividends, which may be less than the total amount of dividend payments, as those are reduced by the amount of income received by VTB Bank in the form of dividends from equity participation in other companies because tax on these amounts has already been withheld.

If there is an applicable international double tax treaty, tax is paid at a rate specified in the treaty, subject to Russian laws.

5.3. Long-Term Development Programme

VTB Bank implements a Long-Term Development Programme for 2020–2023 approved by its Supervisory Council¹. It was drafted in furtherance of the Bank’s Development Strategy for 2019–2022 approved by the Supervisory Council² in line with the Guidelines on Long-Term Development Programmes for Strategic Open Joint-Stock Companies and Federal State Unitary Enterprises, and Open Joint-Stock Companies in which the Aggregate Share of the Russian Federation Exceeds 50% introduced by Russia’s Ministry of Economic Development and the Federal Property Management Agency as part of implementing Russian President’s Instructions No. Pr-3086 dated 27 December 2013, as well as the requirements of the new directives of the Russian Government to update the Long-Term Development Programme, taking into account the plan of action to accelerate growth and increase the efficiency of investments in fixed assets, bring the Long-Term Development Programme in line with the goals of the Russian President’s Decree No. 204 On National Goals and Strategic Objectives of the Russian Federation until 2024 dated 7 May 2018 (Directives No. 276p-P13 dated 17 January 2019), and transition to priority use of domestic software (Directives No. 10068p-P13 dated 6 December 2018).

The Long-Term Development Programme defines the Group’s target development model, including priority development areas and strategic goals and objectives by area, key and additional performance indicators, as well as strategic initiatives to implement the same.

In accordance with the instructions of the Russian Government (Directives No. 4955p-P13 dated 17 July 2014), the Bank conducts an annual audit of the Long-Term Development Programme implementation. The audit is governed by the Standard for Assessing the Implementation of the Long-Term Development Programme³ approved by the Bank, which stipulates the requirements for selecting the auditor (bidding process), planing and conducting the audit within specified deadlines, and making decisions based on the audit results, as well as by the relevant terms of reference for conducting the audit.

The audit of the Long-Term Development Programme implementation in 2022 was performed by Centre for Audit Technologies and Solutions LLC, an independent auditor, with an audit report prepared based on the audit results. The report on the Long-Term Development Programme implementation in 2022 and the results of the audit of the same are to be reviewed by the Bank’s Supervisory Council.

¹ Minutes No. 15 of the Bank’s Supervisory Council dated 22 December 2020.

² Minutes No. 5 of the Bank’s Supervisory Council dated 23 April 2019.

³ Approved by the Bank’s Supervisory Council (Minutes No. 1 dated 29 January 2021).

5.4. Key Performance Indicators System

Introducing key performance indicators (KPIs) into the incentive system for responsible executives is an essential mechanism for monitoring the achievement of the goals set in the Bank's Development Strategy and Long-Term Development Programme and ensuring that employee performance is aligned with the Bank's overall strategic direction.

The Bank has¹ the following regulations in place governing the development of its KPI system:

- Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank²;
- List of Key Performance Indicators for Assessing the Performance of Members of VTB Bank's Management Board³;
- Procedure for Calculating Remuneration of the Members of VTB Bank's Management Board Based on KPI Achievement⁴;
- Methodology for Calculating the Total Shareholder Return KPI and Assessing its Achievement⁵.
- Methodology for Establishing Performance-Based KPIs for Members of the Management Board of VTB Bank⁶.

The Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank sets out the following principles:

- alignment of the Bank's remuneration system with the nature and scale of its operations, its performance, risk profile and risk appetite;
- dependence of remuneration of the Bank's executive bodies on the achievement of goals and objectives defined in the Long-Term Development Programme;
- dependence of KPIs of the sole executive body on corporate Group KPIs based on the Bank's and its subsidiaries' IFRS consolidated financial statements and defined in the Long-Term Development Programme.

The variable part of remuneration payable to members of the Bank's Management Board is aligned with the achievement of established KPIs as stipulated in the Procedure for Calculating the Variable Part of Remuneration of the Members of the Bank's Management Board, Methodology for Establishing Performance-Based KPIs for Members of the Management Board of VTB Bank, as well as the employment contracts of the Bank's top management.

KPIs are established to evaluate the performance of the Bank's executive bodies, taking into account the areas of responsibility of the Bank's executives. Individual targets set for the executives with regard to the quality of project / task / programme implementation may also serve as KPIs.

The annual list of KPIs, their target values and weight are set by the Supervisory Council individually for each member of the Management Board in accordance with the regulations adopted by the Bank.

1 As of 31 December 2022.

2 Minutes No. 4 of the Bank's Supervisory Council dated 15 April 2019.

3 Minutes No. 4 of the Bank's Supervisory Council dated 25 March 2021.

4 Minutes No. 26 of the Bank's Supervisory Council dated 30 December 2014.

5 Minutes No. 26 of the Bank's Supervisory Council dated 30 December 2014.

6 Minutes No. 10 of the Bank's Supervisory Council dated 2 July 2021.

5.5. Non-Core Asset Management

VTB identifies non-core asset management as one of the priority areas to focus on to improve operating efficiency. The Supervisory Council of VTB Bank carries out an annual review of non-core assets with a view to updating and improving internal regulations and increasing the efficiency of non-core asset management in accordance with Amendments No. 2 to the Charter of VTB Bank approved by the Extraordinary General Meeting of Shareholders (Minutes No. 57 dated 22 November 2021).

In line with the Guidelines for Identifying and Disposing of Non-Core Assets⁷, uniform principles and approaches to non-core asset management are applied and monitored across the Bank's subsidiaries. In accordance with Minutes No. 28-05-06/1-pr dated 26 April 2022 from the Meeting of the Interagency Commission for Monitoring the Disposal of Non-Core Assets by State Corporations, State-Owned Companies and Joint-Stock Companies in which the Share of the Russian Federation Exceeds 50%, and by their Subsidiaries, since mid 2022 the Bank has submitted additional reporting, as per new reporting forms, on disposal of non-core assets and the scope of assets scheduled for disposal in the reporting period by the Bank and its subsidiaries.

In accordance with the provisions of the Asset Disposal Programme, the Bank regularly updates the Register of Non-Core Asses and the Action Plan for Disposal of Non-Core Assets of VTB Bank⁸ and discloses them, as required, on the interagency (IA) portal for state property management and on the Bank's website⁹. Also in line with the Asset Disposal Programme, the Bank prepares quarterly progress reports on the disposal of non-core assets, publishing them on the IA Portal and notifying the Russian Ministry of Finance accordingly, including through the new reporting forms.

Further to their non-core asset disposal programmes, VTB Group companies regularly develop and approve registers of non-core assets as well as action plans for their disposal.

7 Approved by Order of the Russian Government No. 894-r On Approval of Guidelines for Identifying and Disposing of Non-Core Assets dated 10 May 2017 and Minutes No. 28-05-06/1-pr of the Meeting of the Interagency Commission for Monitoring the Disposal of Non-Core Assets by State Corporations, State-Owned Companies and Joint-Stock Companies in which the Share of the Russian Federation Exceeds 50%, and by their Subsidiaries, dated 26 April 2022.

8 Minutes No. 20 of the Bank's Supervisory Council dated 27 December 2021.

9 <https://www.vtb.com/ir/>. Due to the sanctions imposed on VTB Bank in 2022, the disclosure of approved forms has been temporarily suspended.

5.6. Procurement

VTB Bank's procurement activities are focused on ensuring that we can obtain quality products in a timely and efficient manner, while maintaining a transparent procurement process, making efficient use of our funds, promoting fair competition, and expanding opportunities for legal and physical persons, including small and medium-sized businesses, to participate in procurement. We manage our procurement process in line with the requirements of Federal Law of Russian Federation No. 223-FZ On Procurement of Goods, Work and Services by Certain Legal Entities dated 18 July 2011, and a set of core principles, which include:

- transparency;
- equal, fair, non-discriminatory competition among bidders without undue restrictions;
- targeted and cost-efficient use of procurement funds;
- no restrictions on participating in procurement in the form of non-measurable requirements for participants.

To achieve its goals, VTB Bank employs advanced procurement management and technical solutions.

Key areas for the Bank's procurement process development::

- changing the organisational model of procurement management by setting up a unified competence centre (i.e. centralising procurement activities);
- digitalising the procurement management process;
- implementing effective procurement management tools (including category management, selection and evaluation of potential suppliers based on established criteria, conducting multi-vendor procurement);
- implementing continuous procurement process improvements;
- supporting small and medium-sized enterprises;
- implementing an import substitution programme.

In 2022, a group of unfriendly countries imposed anti-Russian sanctions and restrictive measures against procurers. In response, the Russian Government took action to mitigate the risks for procurers associated with the sanctions, issuing the following regulations:

- Russian Government Resolution No. 301 On Grounds for Non-Disclosure in the Unified Information System for the Procurement of Goods, Work and Services of Information About Suppliers (Contractors, Vendors) under Concluded Contracts, dated 6 March 2022;
- Russian President's Decree No. 166 On Measures to Ensure the Technological Independence and Security of Critical Information Infrastructure in the Russian Federation, dated 30 March 2022;

- Federal Law of the Russian Federation No. 159-FZ On Amendments to Article 1 of the Federal Law of the Russian Federation on Procurement of Goods, Work and Services by Certain Types of Legal Entities, dated 11 June 2022.

To maintain the efficiency of its procurement amid the restrictions and changes in the market environment and procurement laws, VTB Bank implemented a range of measures. These included newly developed and approved procurement formats (procurement through a corporate online store, reverse auction, request for price quotes, and proposal selection) and new business scenarios added to the procurement framework.

The Bank implemented processes to obtain approval of the authorised government body for the procurement of foreign software and related support services as required by new laws and regulations governing critical infrastructure procurement. We also focused on searching for and entering into contracts with new suppliers/vendors to replace those that discontinued operations in Russia or with VTB Bank.

Despite the imposed restrictions, VTB Bank continued to implement projects aimed at enhancing its procurement. These included:

- Introducing a legally binding electronic document flow for the internal management system and its integration with federal electronic document flow systems. As of December 2022, the share of electronic document flow in the Bank's general internal document flow was 93%.
- Improving the procurement planning and implementation based on the domestic Iproc solution. Currently, 100% of the Bank's procurement is automated, with the relevant system designed to streamline the procurement process, reduce the workload of VTB Bank employees, and ensure compliance with procurement laws.
- Introducing a robotic solution to support transactional procurement throughout the entire procurement cycle from initiation to contract signing. The project to introduce the solution has been completed, with the robot now successfully handling up to 30 procurements per day.

In the reporting period, the Bank's total procurement amounted to RUB 477 billion, with 344 competitive bidding contracts awarded and a procurement saving of more than RUB 10 billion achieved.

5.7. Report on Compliance with the Principles and Recommendations of the Corporate Governance Code

The report on compliance with the principles and recommendations of the Corporate Governance Code was reviewed by the Supervisory Council of VTB Bank at its meeting on 26 May 2023 as part of the preliminary approval of VTB Bank’s Annual Report for 2022. VTB Bank’s Supervisory Council confirms that the data provided in this report present complete and accurate information about the Bank’s compliance with the principles and recommendations of the Code of Corporate Governance in 2022.

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE ¹	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
1.1	The company shall ensure equal and fair treatment for all its shareholders in exercising their rights to participate in the management of the company.			
1.1.1	The company creates the best possible conditions for its shareholders to participate in the general meeting, for the development of sound positions related to agenda items at the general meeting, for coordinating their activities, as well as an opportunity to express their views on the issues under consideration.	The company has established a straightforward means of communicating with the company, such as a hotline, email or online forums, allowing shareholders to express their opinions and send questions regarding the agenda during preparations for the general meeting. The company undertook such actions before each general meeting that took place during the reporting period.	Compliance	
1.1.2	The procedure for giving notice of the general meeting and the provision of materials for the general meeting gives shareholders an opportunity to properly prepare for participation in the meeting.	1. In the reporting period, notices of an upcoming general meeting of shareholders were posted (published) on the website no later than 30 days before the date of the general meeting, unless a longer period was stipulated by the applicable laws. 2. The notice about an upcoming meeting indicated the documents required for admission to the premises. 3. Shareholders were provided with access to information about who proposed the agenda items and who nominated individuals to the board of directors and the statutory audit commission (in case its appointment is provided for in the company's charter).	Compliance	
1.1.3	In the course of the preparation for, and the holding of, a general meeting, shareholders had the opportunity to receive information about the meeting and materials for the meeting without hindrance and in a timely manner to pose questions to the executive bodies and members of the board of directors and to communicate with one another.	1. In the reporting period, shareholders had the opportunity to pose questions to members of the executive bodies and members of the board of directors in the course of the preparation for, and during, the general meeting. 2. The position of the board of directors (including dissenting opinions, if any, entered in the minutes) on each agenda item at general meetings held during the reporting period was included in the materials for the general meeting. 3. The company provided entitled shareholders with access to the list of persons entitled to participate in the general meeting from the date of its receipt by the company in all cases regarding general meetings held during the reporting period.	Compliance	

1 “Compliance” means that the company meets all the criteria for assessing compliance with the respective principle of corporate governance. Otherwise, the status of “partial compliance” or “non-compliance” is indicated.

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
1.1.4	Implementation of the shareholder right to request that a general meeting be convened, to nominate candidates to governing bodies and to make proposals for the inclusion of items to the general meeting agenda did not involve needless difficulties.	1. According to the company's charter, shareholders have the right to submit proposals for the inclusion of items to the annual general meeting agenda within at least 60 days after the end of the respective calendar year. 2. During the reporting period, the company did not refuse to accept proposals for the agenda or nominations to the company's various bodies as a result of typos or other insignificant errors in the shareholder's proposal.	Compliance	
1.1.5	Every shareholder had an opportunity to freely exercise their right to vote in the simplest and most convenient way.	According to the company's charter, shareholders have the right to fill out electronic voting ballots using a link to the website specified in the notice of the general meeting of shareholders.	Compliance	
1.1.6	The procedure established by the company for conducting general meetings grants all individuals present at the meeting equal rights to express their opinions and ask questions.	1. When conducting general meetings of shareholders during the reporting period in the form of a meeting (joint presence of shareholders), sufficient time was provided for reports on agenda items, as well as time to discuss those items; shareholders had an opportunity to express their opinions and ask questions on the agenda. 2. The company invited nominees to the governing and oversight bodies and took all necessary measures to ensure their participation in the general meeting of shareholders where their nominations were put to vote. The nominees to the governing and oversight bodies present at the general meeting of shareholders were available to answer questions from shareholders. 3. The sole executive body, person in charge of accounting, chairman and other members of the audit committee of the board of directors were available to answer questions from shareholders during general meetings held in the reporting period. 4. In the reporting period, the company used telecommunications facilities to enable shareholders to participate remotely in general meetings, or the board of directors made an informed decision against the use of telecommunications facilities due to that being unnecessary (impossible).	Compliance	
1.2	Shareholders shall be given equal and fair opportunities to participate in the profits of the company by receiving dividends.			
1.2.1	The company has developed and implemented a transparent and clear mechanism for determining the amount and payment of dividends.	1. The company's regulation on dividend policy has been approved by the board of directors and disclosed on the company's official website. 2. If the dividend policy of the company which prepares consolidated financial statements uses the company's reporting indicators to determine the amount of the dividend, then the relevant provisions of the dividend policy shall take into account the consolidated financial statements. 3. In the reporting period, the reasons for the proposed distribution of net profit, including to pay dividends and cover the company's own needs, and their assessment for compliance with the company's dividend policy, along with economic justification of the allocation of a certain portion of net profit for the company's own needs, were included in the materials for the general meeting of shareholders whose agenda contained an item on profit distribution (including the payment/ announcement of dividends).	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
1.2.2	The company does not adopt a decision to pay dividends if such a decision, while not formally in violation of legal restrictions, is unjustified from an economic point of view and could lead to misconceptions about the company's activities.	Apart from legal restrictions, the company's regulation on dividend policy defines financial and economic circumstances under which the company should not pay dividends.	Compliance	
1.2.3	The company does not permit any diminution of the dividend rights of existing shareholders.	During the reporting period, the company did not take any actions that led to the diminution of the dividend rights of existing shareholders.	Compliance	
1.2.4	The company is committed to preventing shareholders from using other means of earning a profit (income) at the company's expense beyond dividends and liquidation value.	In the reporting period, the company's controlling persons have not earned any profit (income) at the company's expense beyond dividends (e.g. through transfer pricing, unjustified rendering of services by the controlling person to the company at inflated prices, dividend-replacing corporate loans to the controlling person and/or its controlled entities).	Compliance	
1.3	The corporate governance system and practices shall ensure equal terms and conditions for all shareholders owning shares of the same class (category), including minority and foreign shareholders, as well as their equal treatment by the company.			
1.3.1	The company has created conditions for the fair treatment of each shareholder by the company's governing and oversight bodies, including conditions preventing abuse by major shareholders in relation to minority shareholders.	In the reporting period, the company's controlling persons prevented abuse of shareholder rights; conflicts between the controlling persons and shareholders of the company did not take place or, if any, were given due attention by the board of directors.	Compliance	
1.3.2	The company does not undertake actions that lead or may lead to artificial redistribution of corporate control.	There are no quasi treasury shares or their holders did not exercise voting rights in the reporting period.	Compliance	
1.4	Shareholders shall be provided with reliable and effective ways to register their rights to their shares, as well opportunity to dispose of their shares freely and easily.			
1.4.1	Shareholders shall be provided with reliable and effective ways to register their rights to their shares, as well opportunity to dispose of their shares freely and easily.	The techniques and conditions of services provided by the company's registrar meet the needs of the company and its shareholders and ensure most effective registering of the rights to shares and exercise of shareholders' rights.	Compliance	
2.1	The board of directors shall carry out strategic management within the company, define the basic principles and approaches to organising a risk management and internal control system within the company, supervise the activity of executive bodies and also perform other key functions.			
2.1.1	The board of directors is responsible for decisions relating to the appointment and dismissal of members of executive bodies, including in connection with improper performance of their duties. The board of directors also carries out oversight measures to ensure that the company's executive bodies act in accordance with the approved development strategy and the company's main areas of activity.	1. The board of directors has the authority, per the charter, to appoint and dismiss members of executive bodies, as well as to determine the terms of their contracts. 2. In the reporting period, the nominations (appointment, HR) committee considered whether the qualification, skills and experience of members of the executive bodies meet the existing and prospective needs of the company as per its approved strategy. 3. In the reporting period, the board of directors reviewed the report(s) of the sole executive body and of members of the collective executive body (if any) on the implementation of the company's strategy.	Compliance	
2.1.2	The board of directors establishes the basic guidelines for the company's activities in the long term, evaluates and approves the company's key performance indicators and key business goals, and evaluates and approves the strategy and business plans for the company's core activities.	1. In the reporting period, the board of directors at its meetings addressed issues related to progress on the implementation and update of the company's strategy, approval of the company's financial and economic plan (budget), as well as the consideration of criteria and indicators (including interim) related to implementation of the company's strategy and business plans.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
2.1.3	The board of directors determines the principles of, and approaches to, organising a risk management and internal control system in the company.	1. The principles of, and approaches to, organising a risk management and internal control system in the company have been defined by the board of directors and set out in the company's internal regulations on risk management and internal control. 2. In the reporting period, the board of directors approved (reviewed) the acceptable level of risk (risk appetite) of the company or the audit and/or risk committee (if any) considered the feasibility of submitting the matter of reviewing the company's risk appetite for the board of directors' consideration.	Compliance	
2.1.4	The board of directors defines the company's policy on remuneration and / or reimbursement (compensation) of expenses to members of the board of directors, executive bodies and other key executives.	1. The company has developed and implemented a policy (policies), approved by the board of directors, on the remuneration and reimbursement (compensation) of expenses to members of the board of directors, executive bodies and other key executives. 2. Matters related to this policy (policies) were considered during the reporting period at meetings of the board of directors.	Compliance	
2.1.5	The board of directors plays a key role in the prevention, detection and resolution of internal conflicts between the company's bodies, shareholders and employees.	1. The board of directors plays a key role in the prevention, detection and resolution of internal conflicts. 2. The company has established a system for identifying transactions involving a conflict of interest, and a system of measures to resolve such conflicts.	Compliance	
2.1.6	The board of directors plays a key role in ensuring the transparency of the company, timely and complete disclosure of information, and unhindered access of shareholders to corporate documents.	The company's internal regulations designate officers in charge of implementing the information policy.	Compliance	
2.1.7	The board of directors oversees the company's corporate governance practices and plays a key role in its material corporate events.	In the reporting period, the board of directors reviewed the results of the self-assessment and/or external assessment of the company's corporate governance practices.	Partial compliance	In line with internal regulations approved by the Bank's Supervisory Council, members of the Supervisory Council carry out an annual assessment of the Bank's corporate governance framework, including assessment of their own performance. Assessment results are usually reviewed at an in-person meeting of the Supervisory Council. In 2022, the Bank prepared respective materials to conduct a self-assessment of corporate governance for 2021 and have the matter submitted for review by the Supervisory Council in March and April 2022. Amid changes in the external environment and the Supervisory Council prioritising efforts to mitigate the sanctions pressure, and given the considerable reshuffles in the composition of the Supervisory Council following the Annual General Meeting of Shareholders held in June 2022, a decision was made to postpone the corporate governance self-assessment to the next year.

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
2.2	The board of directors shall be accountable to the company's shareholders.			
2.2.1	Information about the board of directors' performance is disclosed and presented to shareholders.	1. The company's annual report for the reporting period includes information on individual attendance of directors at board and committee meetings. 2. The company's annual report includes information on key results of the assessment (self-assessment) of the board of directors' performance carried out in the reporting period.	Partial compliance	2. See comments to clause 2.1.7
2.2.2	The chairman of the board of directors is available to the company's shareholders.	The company has in place a transparent procedure enabling shareholders to direct their queries to the chairman of the board of directors (or the senior independent director, as applicable) and receive their feedback.	Compliance	
2.3	The board of directors shall be an efficient and professional governing body capable of making objective and independent judgements and passing resolutions for the benefit of the company and its shareholders.			
2.3.1	Only individuals who have impeccable business and personal reputation, knowledge, skills and experience required to make decisions that fall within the remit of the board of directors and ensure that its functions are discharged effectively are elected to the board of directors.	During the reporting period, the board of directors (or its nominations committee) evaluated nominees to the board of directors for having the required experience, knowledge and business reputation, being free from conflicts of interest, and meeting other criteria.	Compliance	
2.3.2	The members of the board of directors are elected through a transparent procedure that enables shareholders to receive information about the nominees that is sufficient to get an understanding of their personal and professional qualities.	Whenever the agenda of a general meeting of shareholders held during the reporting period included the election of the board of directors, the company provided shareholders with biographical details of all nominees to the board of directors, the results of their assessment by the board of directors (or its nominations committee) and the information on each nominee's compliance with the independence criteria set forth in Recommendations 102–107 of the Code, as well as the nominees' written consent to be elected to the board of directors.	Compliance	
2.3.3	The board of directors is balanced, including in terms of qualifications of its members, their experience, knowledge and business qualities, and is trusted by the shareholders.	During the reporting period, the board of directors analysed its needs in terms of professional qualifications, experience and skills and determined what competencies are required in the short- and long-term.	Compliance	
2.3.4	The board of directors has a sufficient number of members to organise its operation in the most efficient way, including the possibility to set up its committees, and to enable substantial minority shareholders to elect a nominee for whom they vote.	In the reporting period, the board of directors reviewed whether the number of its members was sufficient to meet the company's needs and protect the interests of shareholders.	Compliance	
2.4	The board of directors shall include a sufficient number of independent directors.			
2.4.1	An independent director is a person having sufficient professional skills, experience and independence to form their own opinions and make unbiased and fair judgements that are not influenced by the company's executive bodies, individual groups of shareholders or other stakeholders. It should be noted that, under normal circumstances, a nominee (elected member of the board of directors) who is associated with the company, its major shareholders, significant counterparties, competitors or the government may not be deemed independent.	During the reporting period, all independent members of the board of directors met all the independence criteria set forth in Recommendations 102–107 of the Code or were recognised as independent by a resolution of the board of directors.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
2.4.2	The nominees to the board of directors and elected directors are assessed for compliance with the independence criteria, with the latter assessed on a regular basis. In such assessment, substance shall prevail over form.	1. During the reporting period, the board of directors (or its nominations committee) formed an opinion on each nominee's independence and presented respective conclusions to the shareholders. 2. During the reporting period, the board of directors (or its nominations committee) at least once reviewed the independence of the directors listed as independent directors in the company's annual report. 3. The company has the procedures in place stipulating the steps required to be taken by a director who fails to maintain their independence, including such director's obligation to promptly notify the board of directors accordingly.	Compliance	
2.4.3	Independent directors constitute at least one third of the board of directors.	1. Independent directors constitute at least one third of the board of directors.	Compliance	
2.4.4	Independent directors play a key role in preventing internal conflicts within the company and overseeing material corporate actions to be taken by the company.	Independent directors (who have no conflict of interest) carry out a preliminary review of material corporate actions implying a potential conflict of interest, and the results of such review are presented to the board of directors.	Compliance	
2.5	The chairman of the board of directors shall ensure that the board discharges its functions to the best of its ability.			
2.5.1	The board of directors is chaired by an independent director, or a senior independent director is appointed from among the independent directors to coordinate their work and liaise with the chairman of the board of directors.	1. The board of directors is chaired by an independent director, or a senior independent director is appointed from among the independent directors. 2. The role, rights and duties of the chairman (and, if applicable, of the senior independent director) are duly set out in the company's internal regulations.	Compliance	By decision of the Bank's Supervisory Council, a senior independent director was elected from among the independent directors.
2.5.2	The chairman of the board of directors maintains a constructive atmosphere during meetings, facilitates open discussion of agenda items and oversees implementation of the board of directors' resolutions.	The performance of the chairman of the board of directors was evaluated as part of the board of directors' performance assessment (self-assessment) in the reporting period.	Partial compliance	2. See comments to clause 2.1.7.
2.5.3	The chairman of the board of directors ensures timely provision to members of the board of directors of information required to make decisions on agenda items.	The duty of the chairman of the board of directors to ensure timely provision to members of the board of directors of complete and reliable information concerning agenda items is stipulated in the company's internal regulations.	Compliance	
2.6	The duty of the chairman to ensure timely provision to members of the board of directors of materials concerning agenda items shall be stipulated in the company's internal regulations.			
2.6.1	Members of the board of directors make decisions based on all available information, without any conflict of interest, subject to equal treatment of the company's shareholders, and assuming normal business risks.	1. The company's internal regulations stipulate that a board member shall notify the board of directors if they have a conflict of interest in respect of any item on the agenda of a meeting of the board or a board committee prior to the discussion of the relevant agenda item. 2. The company's internal regulations stipulate that a board member shall abstain from voting on any item where they have a conflict of interest. 3. The company has established a procedure that allows the board of directors to get professional advice on matters within its remit at the company's expense.	Compliance	
2.6.2	The rights and duties of members of the board of directors are clearly defined and set out in the company's internal regulations.	The company has adopted and published an internal regulation that clearly defines the rights and duties of members of the board of directors.	Compliance	

1 Specify which of the two approaches permitted by the principle has been implemented by the company and explain the rationale.

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
2.6.3	Members of the board of directors have sufficient time to perform their duties.	1. Individual attendance at board and committee meetings as well as the time committed to serving on the board of directors and its committees were reviewed as part of the board of directors' performance assessment (self-assessment) in the reporting period. 2. In accordance with the company's internal regulations, members of the board of directors shall inform the board of directors of their intention to join management bodies of other entities (except for entities controlled by the company), as well as of relevant appointments made.	Partial compliance	1. See comments to clause 2.1.7.
2.6.4	All members of the board of directors have equal access to the company's documents and information. Newly elected members of the board of directors are provided, in the shortest possible time, with sufficient information about the company and the operation of the board of directors.	1. In accordance with the company's internal regulations, members of the board of directors have the right to access documents and make queries regarding the company and its controlled entities, and the company's executive bodies shall provide relevant information and documents. 2. The company has in place a formalised induction programme for newly elected members of the board of directors.	Compliance	
2.7	Meetings of the board of directors, preparations for them and their attendance by board members shall ensure effective performance of the board of directors.			
2.7.1	Meetings of the board of directors are held as necessary, taking into account the scale of operations and the targets of the company at a given period of time.	The board of directors held at least six meetings during the reporting year.	Compliance	
2.7.2	The company's internal regulations set out procedures for the preparation and holding of board meetings that enable members of the board of directors to prepare for such meetings in a proper manner.	1. The company has an approved internal regulation that sets out procedures for the preparation and holding of board meetings and also stipulates that a notice of a board meeting shall be given, as a rule, at least five days before the date of the meeting. 2. In the reporting period, directors unable to attend a board meeting in person had an opportunity to participate in the discussion of the agenda items via a conference call and video conferencing.	Compliance	
2.7.3	The format of each meeting of the board of directors is determined based on the importance of the agenda items. The most important matters are resolved at meetings of the board of directors held in person.	The company's charter or internal regulations provide for the most important matters (as per the list set out in Recommendation 168 of the Code) to be considered at in-person meetings of the board of directors.	Compliance	
2.7.4	Resolutions on the most important matters concerning the company's operations are passed at meetings of the board of directors by a qualified majority or a majority of all elected members of the board of directors.	The company's charter provides for resolutions on the most important matters listed in Recommendation 170 of the Code to be passed at meetings of the board of directors by a qualified majority of at least three quarters of the votes or by a majority of all elected members of the board of directors.	Compliance	
2.8	The board of directors shall set up committees for preliminary consideration of the most important matters related to the company's operations.			
2.8.1	An audit committee comprised of independent directors has been set up for preliminary consideration of matters related to controlling the company's financial and business operations.	1. The board of directors has set up an audit committee comprised solely of independent directors. 2. The company's internal regulations set out the tasks of the audit committee, including those listed in Recommendation 172 of the Code. 3. At least one member of the audit committee, who is an independent director, has experience and knowledge in preparing, analysing, assessing and auditing accounting (financial) statements. 4. Meetings of the audit committee were held at least once a quarter during the reporting period.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
2.8.2	A remuneration committee, comprised of independent directors and headed by an independent director who is not the chairman of the board of directors, has been set up for preliminary consideration of matters related to adopting an efficient and transparent remuneration scheme.	1. The board of directors has set up a remuneration committee comprised solely of independent directors. 2. The remuneration committee is chaired by an independent director who is not the chairman of the board of directors. 3. The company's internal regulations set out the tasks of the remuneration committee, including those listed in Recommendation 180 of the Code, as well as the conditions (events), upon the occurrence of which the remuneration committee considers revising the company's remuneration policy for members of the board of directors, executive bodies and other key executives.	Compliance	
2.8.3	A nominations (appointments, HR) committee has been set up for preliminary consideration of matters related to talent management (succession planning) and professional composition and performance of the board of directors.	1. The board of directors has set up a nominations committee (or its tasks listed in Recommendation 186 of the Code are fulfilled by another committee) predominantly comprised of independent directors. 2. The company's internal regulations set out the tasks of the nominations committee (or the tasks of the committee with combined functions), including those listed in Recommendation 186 of the Code. 3. During the reporting period, the nominations committee, either independently or jointly with other committees of the board of directors or the company's dedicated shareholder relations unit, liaised with the shareholders, including but not limited to major shareholders, in selecting nominees to the company's board of directors with a view to forming the board of directors most fit for the company's goals and objectives.	Compliance	The functions of the nominations committee are performed by the Supervisory Council's Staff and Remuneration Committee.
2.8.4	Taking into account the company's scale of operations and level of risks, the company's board of directors made sure that the composition of its committees is fully in line with the company's business goals. Additional committees were either set up or not deemed necessary (strategy committee, corporate governance committee, ethics committee, risk management committee, budget committee, health, safety and environment committee, etc.).	During the reporting period, the company's board of directors considered whether the structure of the board of directors was consistent with the scope and nature of the company's operations, as well as its goals, needs and the risk profile. Additional committees were either set up or not deemed necessary.	Compliance	The Bank has set up a Strategy and Sustainability Committee, which has an active work programme. The Committee reviews, and prepares recommendations on, matters of strategic development, sustainability, social and environmental responsibility, corporate governance improvements, and better management of the Bank's capital.
2.8.5	Committees are composed in a manner so as to enable comprehensive discussions of matters under preliminary consideration, taking into account the diversity of opinions.	1. During the reporting period, the audit committee and the nominations committee (or another relevant committee with combined functions) were chaired by independent directors. 2. The company's internal regulations (policies) include provisions stipulating that persons who are not members of the audit committee, the remuneration committee and the nominations committee (or another relevant committee with combined functions) may attend committee meetings only at the invitation of the chairman of the respective committee.	Compliance	
2.8.6	Committee chairmen inform the board of directors and its chairman on the work of their committees on a regular basis.	During the reporting period, committee chairmen reported to the board of directors on the work of committees on a regular basis.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
2.9	The board of directors shall ensure performance assessment of the board of directors, its committees, and members of the board of directors.			
2.9.1	The board of directors' performance assessment is aimed at determining the efficiency of the board of directors, its committees and members, consistency of their work with the company's development requirements, as well as bolstering the work of the board of directors and identifying areas for improvement.	1. The company's internal regulations set out the procedures for the assessment (self-assessment) of the board of directors' performance. 2. The assessment (self-assessment) of the board of directors' performance conducted in the reporting period included performance assessment of the committees, individual members of the board of directors and the board of directors as a whole. 3. The results of the assessment (self-assessment) of the board of directors' performance conducted in the reporting period were reviewed at an in-person meeting of the board of directors.	Partial compliance	2–3. See comments to clause 2.1.7.
2.9.2	The board of directors' performance assessment is aimed at determining the efficiency of the board of directors, its committees and members, consistency of their work with the company's development requirements, as well as bolstering the work of the board of directors and identifying areas for improvement.	To conduct an independent assessment of the board of directors' performance during the last three reporting periods, the Company engaged a third party (advisor) at least once.	Compliance	
3.1	The company's corporate secretary shall ensure efficient ongoing interaction with shareholders, coordinate the company's efforts to protect shareholder rights and interests, and support the effective work of the board of directors.			
3.1.1	The corporate secretary has knowledge, experience and qualifications sufficient to perform their duties, has impeccable reputation and is trusted by the shareholders.	The company's website and annual report provide biographical information about the corporate secretary (including age, education, qualifications, experience) and information about the positions in governing bodies of other legal entities held by the corporate secretary for at least the last five years.	Compliance	
3.1.2	The corporate secretary is sufficiently independent of the company's executive bodies and has the necessary authority and resources to perform their tasks.	1. The company has adopted and disclosed an internal regulation on the corporate secretary. 2. The board of directors approves the appointment and dismissal of the corporate secretary, as well as decisions to award additional remuneration to the corporate secretary. 3. The company's internal documents stipulate the right of the corporate secretary to request and receive company documents and information from governing bodies, business units and officers of the company.	Compliance	
4.1	Remuneration payable by the company shall be sufficient to attract, motivate and retain employees who have the required skills and qualifications. Remuneration payable to members of the board of directors, executive bodies and other key executives of the company shall be paid in accordance with the remuneration policy adopted by the company.			
4.1.1	The remuneration payable by the company to members of the board of directors, executive bodies and other key executives provides sufficient motivation for them to work effectively, enabling the company to attract and retain competent and skilled professionals. At the same time, the company avoids unnecessarily high remuneration, as well as unjustifiably large gaps between remunerations of the above listed persons and the company's employees.	Remuneration payable to members of the board of directors, executive bodies and other key executives takes into account remuneration levels at peer companies.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
4.1.2	The company's remuneration policy was drafted by the remuneration committee and approved by the board of directors. The board of directors, assisted by the remuneration committee, oversees the introduction and implementation of the company's remuneration policy, revising and amending it as required.	During the reporting period, the remuneration committee reviewed the remuneration policy (policies) and/or its (their) implementation, assessed their effectiveness and transparency, and made recommendations to the board of directors to revise the same as necessary.	Compliance	
4.1.3	The company's remuneration policy includes transparent mechanisms for determining the amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company and regulates all types of payments, benefits and privileges provided to such persons.	The company's remuneration policy (policies) includes (include) transparent mechanisms for determining the amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company and regulates (regulate) all types of payments, benefits and privileges provided to such persons.	Compliance	
4.1.4	The company defines a policy on the reimbursement (compensation) of expenses detailing a list of reimbursable expenses and specifying service levels that members of the Board of Directors, executive bodies and other key executives of the company may qualify for. Such a policy can be part of the company's remuneration policy.	The policy (policies) on remuneration or other internal regulations of the company establish rules for reimbursement of expenses incurred by members of the board of directors, executive bodies and other key executives of the company.	Compliance	
4.2	Remuneration system for members of the board of directors shall ensure alignment of the financial interests of members of the board of directors with the long-term financial interests of shareholders.			
4.2.1	The company pays fixed annual remuneration to members of the board of directors. The company does not pay remuneration for attending individual meetings of the board of directors or its committees. The company does not provide any short-term or additional financial incentives to members of the board of directors.	1. During the reporting period, remuneration payable to members of the board of directors was paid in line with the company's approved remuneration policy. 2. During the reporting period, the company did not provide to members of the board of directors any short-term or additional financial incentives linked to the company's performance. The company did not pay remuneration for attending individual meetings of the board of directors or its committees.	Compliance	
4.2.2	Long-term holding of the company's shares is the best way to align the financial interests of members of the board of directors with the long-term interests of shareholders. At the same time, the company does not link the right to dispose of shares to performance targets, and members of the board of directors do not participate in stock option plans.	If the company's internal regulation(s), i.e. the remuneration policy (policies), provides (provide) for the granting of the company's shares to members of the board of directors, clear rules shall be defined and disclosed in respect of share ownership by members of the board of directors with a view to encouraging long-term ownership of such shares.	Compliance	Members of the Board of Directors do not participate in the Bank's stock option plans.
4.2.3	The company does not provide for any extra payments or compensations in the event of early termination of powers of members of the board of directors resulting from the change of control or any other circumstances.	The company does not provide for any extra payments or compensations in the event of early termination of powers of members of the board of directors resulting from the change of control or any other circumstances.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
4.3	The company's system of remuneration for members of executive bodies and other key executives shall be linked to the company's performance and personal contribution of members of executive bodies and other key executives to delivering that performance.			
4.3.1	Remuneration payable to members of executive bodies and other key executives of the company is determined in such a way as to provide for a reasonable and justified ratio of the fixed and variable parts of remuneration, depending on the company's performance and the employee's personal contribution to delivering the same.	1. During the reporting period, annual KPIs approved by the board of directors were used to determine the amount of the variable part of remuneration payable to members of executive bodies and other key executives of the company. 2. As part of the latest assessment of the remuneration system for members of executive bodies and other key executives of the company, the board of directors (remuneration committee) made sure that the company applied an effective ratio of the fixed and variable parts of remuneration. 3. The amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company is determined with due regard to the risks posed to the company to avoid providing decision-makers with incentives to take excessive risks.	Compliance	
4.3.2	The company has in place a long-term incentive programme for members of executive bodies and other key executives of the company based on the company's shares (options or other equity-linked instruments of the company).	The long-term incentive programme for members of executive bodies and other key executives based on the company's shares (equity-linked financial instruments) adopted by the company (if any) implies that the right to dispose of the awarded shares and other equity-linked financial instruments takes effect at least three years after such shares or equity-linked financial instruments are awarded. The right to dispose of such shares or other equity-linked financial instruments is linked to the achievement of the company's performance targets.	Compliance	
4.3.3	The compensation (golden parachute) payable by the company in case of early termination of powers of members of executive bodies or key executives at the company's initiative, provided that there have been no actions in bad faith on their part, does not exceed the double amount of the fixed part of their annual remuneration.	During the reporting period, the compensation (golden parachute) payable by the company in case of early termination of powers of members of executive bodies or key executives at the company's initiative, provided that there had been no actions in bad faith on their part, did not exceed the double amount of the fixed part of their annual remuneration.	Compliance	
5.1	The company shall have in place an effective risk management and internal control system providing reasonable assurance that the company's goals will be achieved.			
5.1.1	The board of directors has determined the principles of, and approaches to, organising a risk management and internal control system in the company.	Functions of different governing bodies and units of the company pertaining to risk management and internal controls are clearly defined in the company's internal regulations / relevant policy approved by the board of directors.	Compliance	
5.1.2	The company's executive bodies establish and maintain an effective risk management and internal control system in the company.	The company's executive bodies ensured the distribution of duties, powers and responsibilities related to risk management and internal control between their subordinate unit and department heads.	Compliance	
5.1.3	The company's risk management and internal control system ensures an objective, fair and clear representation of the current state of the company and its future prospects, integrity and transparency of the company's reporting, as well as reasonable and acceptable risk exposure.	1. The company has an approved anti-corruption policy in place. 2. The company has arranged for safe, confidential and accessible means (a hotline) of notifying the board of directors or the audit committee of the board of directors about violations of the law, the company's internal procedures and code of ethics.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
5.1.4	The board of directors takes necessary measures to ensure that the company's risk management and internal control system is consistent with the principles and approaches set by the board of directors with regard to its operation, and that it functions effectively.	1. During the reporting period, the board of directors (the audit committee and/or the risk committee (if any)) arranged for the assessment of the reliability and effectiveness of the company's risk management and internal control system. 2. During the reporting period, the board of directors reviewed the findings from the assessment of the reliability and effectiveness of the company's risk management and internal control system, with the review results disclosed in the company's annual report.	Compliance	
5.2	The company shall perform internal audits for regular independent assessment of the reliability and effectiveness of the risk management and internal control system and corporate governance practices.			
5.2.1	To perform internal audits, the company sets up a separate internal audit unit or engages an independent external organisation. The functional and administrative subordination of the internal audit unit are separated. The internal audit unit functionally reports to the board of directors.	To perform internal audits, the company has set up a separate internal audit unit functionally reporting to the board of directors or engaged an independent external organisation under the same principle of subordination.	Compliance	
5.2.2	The internal audit unit assesses the effectiveness of internal control, risk management, and corporate governance systems. The company applies generally accepted standards of internal audit.	1. During the reporting period, the reliability and effectiveness of the risk management and internal control system was assessed as part of the internal audit process. 2. During the reporting period, the quality of corporate governance practices (select corporate governance practices), including communication procedures (in particular those related to internal control and risk management) across all management levels of the company, and the quality of stakeholder engagement were assessed as part of the internal audit process.	Compliance	
6.1	The company and its operations shall be transparent to shareholders, investors and other stakeholders.			
6.1.1	The company has developed and implemented an information policy ensuring efficient communication between the company and its shareholders, investors and other stakeholders.	1. The board of directors approved the company's information policy developed in line with the Code's recommendations. 2. During the reporting period, the board of directors (or one of its committees) reviewed matters related to the efficiency of communication between the company and its shareholders, investors and other stakeholders, and the potential need to revise the company's information policy.	Compliance	
6.1.2	The company discloses information on its corporate governance system and practices, including detailed information on compliance with the principles and recommendations of the Code.	1. The company discloses information on its corporate governance system and applied general principles of corporate governance, with relevant disclosures made, in particular, on its corporate website. 2. The company discloses information on the composition of executive bodies and the board of directors, independence of members of the board of directors, and their membership in committees of the board of directors (as defined in the Code). 3. If the company has a controlling person, the company publishes a memorandum of the controlling person setting out the latter's plans for the company's corporate governance.	Compliance	
6.2	The company shall make timely disclosures of complete, up-to-date and reliable information about itself to enable shareholders and investors to make informed decisions.			
6.2.1	The company discloses information based on the principles of regularity, consistency and timeliness, as well as accessibility, reliability, completeness and comparability of disclosed data.	The company has established a procedure to coordinate the work of all its structural units and employees whose activities are related to or may require information disclosure.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
		2. If the company's securities are traded on organised foreign markets, the company ensures that the disclosure of material information in the Russian Federation and in the said markets throughout the reporting period is made at the same time and to the same extent. 3. If foreign shareholders held a significant number of the company's shares, information disclosures during the reporting year were made in the Russian language as well one of the most widely used foreign languages.		
6.2.2	The company avoids a formalistic approach to information disclosure, and discloses material information about its operations even if such disclosure is not required by law.	1. The company's information policy defines approaches to disclosing information about other events (actions) that have a material impact on the price of its securities and the disclosure of which is not required by law. 2. The company discloses information on its capital structure in its annual report and on its website in line with Recommendation 290 of the Code. 3. The Company discloses information on its material controlled entities, including their key business areas, mechanisms for ensuring their accountability, and powers of the company's board of directors to set their strategy and assess their performance. 4. The company discloses a non-financial report, i.e. a sustainability report, environmental report, corporate social responsibility report or other report containing non-financial information, including ESG data (including data related to climate change), other than the report of the issuer of issue-grade securities and the annual report of a joint-stock company.	Compliance	
6.2.3	The annual report, as one of the most important tools of information exchange with shareholders and other stakeholders, contains information that makes it possible to assess the company's performance in the reporting year.	1. The company's annual report contains information on the results of the audit committee's evaluation of the effectiveness of the external and internal audit process. 2. The company's annual report contains information on the company's environmental protection and social policies.	Compliance	
6.3	The company shall provide information and documents requested by shareholders in compliance with the equal access principles.			
6.3.1	The company provides information and documents requested by shareholders in compliance with the principles of equal and unhindered access.	1. The company's information policy (internal regulations governing the information policy) stipulates (stipulate) a procedure for providing shareholders with unhindered access to the company's information and documents at their request. 2. The information policy (internal regulations governing the information policy) contains (contain) provisions stipulating that if a shareholder requests information about the company's controlled entities, the company shall take the necessary steps to obtain such information from the relevant controlled entities.	Compliance	
6.3.2	When providing information to shareholders, the company ensures reasonable balance between the interests of particular shareholders and its own interests consisting in preserving the confidentiality of important commercial information which may materially affect its competitiveness.	1. During the reporting period, the company did not refuse shareholders' requests for information, or such refusals were justified. 2. In cases stipulated by the company's information policy, shareholders are warned about the confidential nature of information and take responsibility for maintaining its confidentiality.	Compliance	

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
7.1	Actions which materially affect or may materially affect the shareholding structure or financial position of the company and, consequently, the position of its shareholders (material corporate actions) shall be taken on fair terms ensuring that the rights and interests of shareholders and other stakeholders are protected.			
7.1.1	Material corporate actions include reorganisation of the company, acquisition of 30% or more of the company's voting shares (take-over), execution by the company of material transactions, an increase or decrease in the company's charter capital, listing or de-listing of the company's shares, as well as other actions which may lead to material changes in the rights of shareholders or violation of their interests.	The company's charter sets out a list of (criteria for) transactions or other actions deemed to be material corporate actions. As per the company's charter, decisions regarding material corporate actions fall within the remit of the board of directors. If the laws expressly reserve such corporate actions to the general meeting of shareholders, the board of directors provides shareholders with appropriate recommendations.	Partial compliance	The Bank's Charter does not specify a list of transactions and material corporate actions. At the same time, it reserves decision-making regarding such material corporate actions to the Bank's Supervisory Council and General Meeting of Shareholders as per the recommendation. In addition, the Regulation on the Audit Committee of the Bank's Supervisory Council stipulates a special procedure for the Committee to deal with matters related to the Bank's material and unconventional transactions (clause 2.2.1 of the Regulation), including a review of their compliance with the applicable standards. Given the above, to avoid overlapping provisions in the Bank's Charter on decision-making on matters reserved to the Supervisory Council and the General Meeting of Shareholders, and also in view of the lack of relevant practice at peer companies, the Bank has deemed it unnecessary to have provisions on material corporate actions and relevant decision-making additionally included in the Charter.
7.1.2	The board of directors plays a key role in making decisions or working out recommendations regarding material corporate actions, taking account of the opinions of the company's independent directors.	The company has in place a procedure enabling independent directors to express their opinions on material corporate actions prior to their approval.	Compliance	
7.1.3	Equal terms and conditions are ensured for all shareholders when taking material corporate actions affecting the rights and legitimate interests of the company's shareholders, and, in case of insufficient statutory mechanisms for protecting shareholder rights, additional measures are taken to protect the rights and legitimate interests of the company's shareholders. In ensuring this equality, the company is guided by the corporate governance principles set forth in the Code on top of formal statutory requirements.	1. In accordance with the company's charter, the board of directors' remit exceeds statutory requirements and covers approval of material transactions other than those stipulated by law, with due regard to the specifics of the company's operations. 2. During the reporting period, all material corporate actions were subject to approval prior to execution.	Partial compliance	Given changes in the external environment and the Bank prioritising efforts to mitigate the sanctions pressure, the Bank's planned steps to amend its Charter in order to expand the Supervisory Council's remit to approve transactions meeting lower materiality criteria than those stipulated by law have not been taken. Currently, in order to minimise potential risks, the Regulation on the Audit Committee of the Bank's Supervisory Council stipulates a special procedure for handling material and unconventional transactions (clause 2.2.1 of the Regulation). In 2023, the Bank will consider amending its Charter at the Annual General Meeting of Shareholders.

NO.	PRINCIPLES OF CORPORATE GOVERNANCE	CRITERIA FOR ASSESSING COMPLIANCE WITH THE RELEVANT PRINCIPLE OF CORPORATE GOVERNANCE	STATUS OF COMPLIANCE	COMMENTS / EXPLANATION OF DEVIATION FROM THE PRINCIPLE
7.2	The company shall ensure that material corporate actions are taken in a manner enabling shareholders to receive full information on such actions in due time, while also providing shareholders with the opportunity to influence such actions and guaranteeing respect and due protection of shareholder rights when such actions are taken.			
7.2.1	Information about material corporate actions is disclosed along with the reasons, terms and conditions, and consequences of such actions.	During the reporting period, the company disclosed detailed information about material corporate actions (if any) to shareholders in a timely manner along with the reasons, terms and conditions, and consequences of such actions.	Compliance	
7.2.2	Rules and procedures related to material corporate actions are set out in the company's internal regulations.	1. The company's internal regulations set out a procedure and criteria for engaging an independent appraiser to determine the value of the property disposed of or acquired as part of a major transaction or an interested-party transaction. 2. The company's internal regulations set out a procedure for engaging an independent appraiser to assess the value of the company's shares as part of their repurchase (buyback). 3. If there is no formal interest but there exists a conflict of interest or other actual interest with regard to the company's transactions on the part of a member of the board of directors, sole executive body, member of the collective executive body of the company, controlling person of the company, or person entitled to give the company binding instructions, the company's internal regulations stipulate that such persons shall refrain from voting on the transaction in question.	Compliance	

5.8. Information on VTB Bank’s significant transactions

In the reporting period there were no significant transactions recognized as such in accordance with The Federal Law of Russian Federation “On Joint-Stock Companies”. In accordance with the Federal Law of Russian Federation “On Joint-Stock Companies”, a significant transaction is considered to be a transaction (several interrelated transactions) that goes beyond the ordinary course of business and at the same time:

- related to the acquisition, alienation or the possibility of alienation by the company directly or indirectly of property (including a loan, pledge, guarantee, purchase of such a number of shares or other equity securities convertible into shares of a public company, which will entail the company's obligation to send a mandatory offer), the price or book value of which is 25 percent or more of the book value of the company's assets determined according to its accounting (financial) statements as of the last reporting date;
- providing for the obligation of the company to transfer property to a temporary possession and (or) use or grant to a third party the right use of the result of intellectual activity under a license, if the book value amounts to 25 or more percent of the balance sheet value of the company's assets, determined according to the data of its accounting (financial) statements on last reporting date.

5.9. Bank’s Details and Contacts

INVESTOR RELATIONS DEPARTMENT
(institutional investors and analysts)

Phone: +7 (495) 775-71-39
Email: InvestorRelations@vtb.ru

SHAREHOLDER RELATIONS DEPARTMENT
(individual shareholders)

Phone: +7 (495) 258-49-47
Email: Shareholders@vtb.ru

SHAREHOLDERS CONSULTATIVE COUNCIL

Phone: +7 (985) 774-31-55
Email: KSA@vtb.ru

REGISTRAR

JSC VTB Registrar
Legal address: 23 Pravdy St., Moscow, 127015, Russia
Postal address: P.O. Box 54, Moscow, 127137, Russia
Phone/fax: +7 (495) 787-44-83
Email: Info@vtbreg.ru

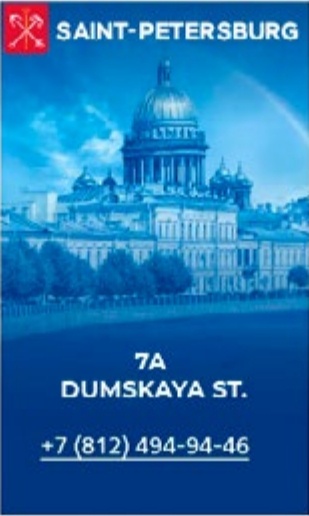
SHAREHOLDER CENTRES



MOSCOW

**37A NOVAYA
BASMANNAYA ST.**

+7 (495) 645-43-61



SAINT-PETERSBURG

**7A
DUMSKAYA ST.**

+7 (812) 494-94-46



EKATERINBURG

**5 MARSHALA
ZHUKOVA ST.**

+7 (343) 379-66-15